

BlawgWorld 2006

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eBook**

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A scenic mountain landscape with a winding road and a road sign. The road is paved and curves to the right, with a yellow dashed line on the left and a white solid line on the right. The road is flanked by a grassy shoulder and a dense forest of evergreen trees. In the background, a massive, rugged mountain rises, its peaks partially shrouded in mist or low clouds. The sky is overcast with grey clouds. A road sign is positioned on the right side of the road, featuring a large green sign with white text and a smaller white sign with green text.

BLAWGWORLD 2006

Capital of Big Ideas

Population: 51

Edited by Sara L. Skiff

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PREFACE



Ideas are free. But while the author confines them to his study, they are like birds in a cage, which none but he can have a right to let fly: for till he thinks proper to emancipate them, they are under his own dominion.

— Sir Joseph Yates, *Miller v. Taylor*, 4 Burr. Part IV, Page 2379.

A *blog* is an easy-to-use publishing tool that enables people to “post” articles, photos, and even videos in reverse chronological order on a Web site. A *blawg* is a legal-oriented blog. Most blogs (and blawgs) feature a *Web 2.0* technology called *RSS Feeds* that enable you to monitor them with an *RSS Newsreader*, an email-like program. [See J.D. Lasica, *RSS Newsreaders and Other Alternatives to Web Browsing*.](#)

According to various studies, approximately 80,000 new blogs launch every day, including dozens of blawgs. No one knows how many blawgs exist, but whatever the number, monitoring them — even with an RSS Newsreader — would amount to a full-time job. You probably don’t have that kind of time yet you probably do want to tap into the blog phenomenon.

This conundrum explains why we created this TechnoLawyer eBook. In it you’ll find thought-provoking essays from the most influential blawgs — 51 essays from 51 blawgs to be precise. The essays were handpicked by each respective blogger as most representative of their blawg. As a result, you will likely find several blawgs worthy of your continued attention. When you do, just click on the blawg’s screenshot to visit its home page. Or just search for the name of the blawg in Google.

As with everything we publish, this eBook is fair game for your comments. To sound off publicly, e-mail us at post@technolawyer.com. You can reach us privately at tlblog@peerviews.com.

Refer a Friend

We published this eBook exclusively for the benefit of TechnoLawyer members. Those not currently a TechnoLawyer members can join for free and receive a free copy of this eBook at www.blawgworld.com.

Our Heartfelt Thanks

We would like to thank each of the participating bloggers for their enthusiastic support of this eBook. Obviously, *BlawgWorld 2006: Capital of Big Ideas* would not exist without their insightful contributions. These bloggers do indeed have big ideas!

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ADAM SMITH, ESQ.



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Bruce MacEwen

Author Bio:

Having practiced in two large New York firms and in-house at a major Wall Street investment bank, Bruce MacEwen understands the realities of practice from the inside, and is passionate about the “business side” of law firms. He was educated at Princeton University (BA, economics), at Stanford Law School (JD), and at NYU Business School (MBA candidate). Bruce lives in Manhattan with his wife and dogs.

Blog Bio:

Adam Smith, Esq., an inquiry into the economics of law firms, addresses every aspect of managing large, complex and sophisticated law firms. The blog enjoys nearly 100,000 visitors/month and was featured in The Wall Street Journal.

Founding Date:

January 2004

Topics:

Strategy, leadership, finance, M&A, globalization, IT, knowledge management, marketing, compensation, and cultural considerations

Are You a Prince or a Baron?

Aren't you relieved that you don't have wolfpacks of Wall Street analysts and the multimedia, 24/7 business press breathing down your neck to deliver “the numbers” every quarter? Isn't it great living in private-firm land and having the luxury of focusing on the long run?

The problem is: Are you really? I would argue that the pressures of your partner-colleagues, who have this irrational belief that every year should bring another new Mercedes and two weeks in the south of France, are at least as relentless in motivating short-term thinking as the most acid-penned analyst. So when [McKinsey](#) does a piece counseling public companies on how to balance “performance” (read: this quarter) with “health” (sustainable, profitable growth), I say it's germane to us. Here's the trap:

“One major European financial-services company recently discovered how easy it is for performance and health to get out of balance. After the company had achieved an impressive turnaround in its short-term financial performance in the three years to 2004, it found to its dismay that this success had been accompanied by falling customer service levels, a huge increase in staff turnover, and a fall in its share price. Management complained that the financial markets didn't understand what the company had achieved. But in reality they understood, all too well, that its short-term success had been purchased at the expense of its underlying health.”

This firm is not the exception. Shockingly, more than 80% of executives surveyed said they would cut R&D and marketing costs to make the quarterly numbers—even if they believed it would hurt long-term health.

I'm now going to assume you're convinced longer-term thinking is a healthy habit to have. Let's try to dimensionalize what that means.

Strategy, as always, comes first.

The trouble with the future is that it's unpredictable, so *deus ex machina* strategies delivered from on high are unlikely to survive an encounter with reality. The sane and effective alternative is to develop a portfolio of initiatives, spanning different practice areas, geographic regions, and most importantly different time-frames, that will give your firm options down the road. Only you can identify what those might be, but some examples would be: Putting a few litigators in an office opened for another reason to test the local waters; making a bet

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on a region's economic growth engine and preparing to serve it (wouldn't it have been nice to have a high-tech practice capability in northern Virginia ca. 1993?); or deciding that it's too expensive to cherry-pick laterals for practice group X and start a concerted effort to groom associates for that field.

Metrics are next. To be of any use, they must be:

- focused,
- relevant; and,
- few.

By "few" I mean three to five, and you probably know subconsciously what some of them are: Client satisfaction; retention of key people; depth of your management pool. If "collection rate on past-due receivables" popped into your mind, go to the back of the class.

Communication. This means both internal and external. Haven't yet done a client survey? Do you think P&G would change the type font on the end-flap of a tube of Crest without multiple focus groups? You care about your clients; it wouldn't hurt to tell them. Ask them what they're worried about. Even spend a "free day" with each of your best clients and let them set the agenda; if that doesn't generate many multiples of the "sacrificed" time, drinks are on me. You should also care what the trade press and even professors at law schools you like to draw from think about your firm; don't leave them to figure it out for themselves.

Internal communication, in a business comprised of "elevator assets," is even more important. And for the record, include associates; you were once one yourself and, with any luck, they are your firm's future.

Leadership is indispensable; nor is it a "soft" value. Anyone bright and verbal enough to be a professional in your firm will be highly attuned to the overall message senior management is delivering. And don't think that message doesn't come through loud and clear, thanks to what Niall FitzGerald, former Unilever Chairman and CEO, called the "extraordinary amplification system" boosting the gain on all pronouncements from the top.

Perhaps above all, in a law firm a leader's goal should be to nurture the future by cultivating talent: This means making sure the right incentives are in place to promote collaboration, effort devoted to the greater interest of the firm and not one partner's individual clientele, sharing, and tying compensation to more than this year's results.

In a memorable metaphor, McKinsey recommends thinking of the role of every manager as that of a "prince" rather than a "baron"—someone responsible for the commonweal as a whole rather than a limited jurisdiction.

Lastly, remember this from Econ 101: Pay people for what you want them to do.

Incentives will always out in the end.

ALEXTRONIC DISCOVERY



Author (s):

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Author Bio:

Alexander H. Lubarsky, LL.M., Esq. is an attorney, author, professor of law and legal technology enthusiast. He is a consultant for ZANTAZ and has previously consulted for Summation Legal Technologies, Fios, Lexis/Nexis and Daticon.

Blog Bio:

Alextronic Discovery is a blog dedicated to the evolving art of electronic evidence management and litigation support solutions that manage electronic (and other) forms of evidence. This blog is geared more for attorneys and litigation support professions than IT folks as the author is an attorney and law professor and closely follows statutory and case law evolution of the rules relating to e-evidence and admissibility/privilege issues at trial.

Founding Date:

November 2003

Topics:

Electronic Discovery, Automated Litigation Support, Retention Policies

Native Native, Oh My!

When I was growing up, native was not yet a pc word for Indian and it was used primarily by my brothers and I when we were trout fishing along the Sacramento river in and around Dunsmuir. "Hey Aaron, I think I've got a native on the line!" The native trout put up a much more dignified and strident fight than did them lazy rainbow plants from the hatchery.

Today, the word native continues to dominate my vocabulary but it is not used in the context of pristine streams and splashing steelhead. Today, the term native is muttered in the war room on the 20-odd something floor of some sterile, large law firm.

Native review is the ability to review electronic data right from its actual source. We ain't talkin' print/scan/ocr here nor are we even talkin' bout tiffin' ... Nope. We're looking at the file via a file viewer or pulling the application up from its bootstraps inside of its own application. Some folks call the review process which utilizes .tiff's produced by the ED vendor a native review, but take tiffs out of the picture and you're sitting pretty with a native native review. That's the kind of review that would make Sitting Bull look like a half-breed.

A native native review is not quite as exciting as having the seven pound brown on your hook while trying to navigate it around the breakwater and into a deep pool, but it is still somewhat well... could I use the word, interesting?

The lack of a tiff is a cost saver and often a time saver. The tendency to open a document in its own application allows the user to learn more about it (track changes in MS Word, hidden formulas can be exposed in Excel etc...). Of course, this can lead to claims of spoliation and evidence tampering if you are tinkering with the exact file as harvested from the original custodian, so there are a few land mines out there.

Perhaps the biggest detriment to a native, native is the inability to redact. Programs such as Summation and Introspect can let the user create the tiff more or less "on the fly" so the file can be appropriately redacted, stamped etc... Usually this beats the alternative of just paying to tiff everything even though a very small subset of the native data reviewed will actually be subject to redaction or other stamping/labeling overlays.

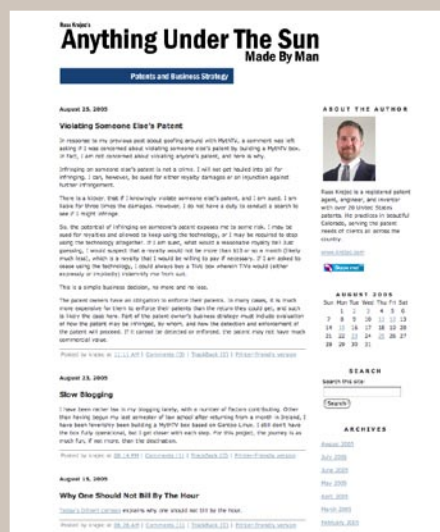
Of course, when it comes time to produce that which is not completely

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privileged or irrelevant, many would welcome the ease of a completely tiffed population so that the data can be exported to a CD or the like. However, native files themselves can be exported without a tiff, but this opens up the file to metadata exposure, history tracking and other little evils that could come back to haunt the producing party. Decisions, decisions!

If you are waffling back and forth trying to figure out if you will indeed go native with your next production, your indecision is understandable. You are not alone. There are several ways to land that fish.

ANYTHING UNDER THE SUN MADE BY MAN



Author (s):

Russ Krajec

Author Bio:

Russ Krajec is a registered patent agent, engineer, and inventor with over 20 United States patents. He practices in beautiful Colorado, serving the patent needs of clients all across the country.

Blog Bio:

Anything Under the Sun Made by Man focuses on intellectual property issues with a business perspective.

Founding Date:

June 2004

Topics:

Intellectual property issues with a business perspective

Debunking the Myth That Patents Are Expensive

When a company considers protecting a product, be it a software program, mechanical device, or other product, the strategy must make good business sense. It is certainly possible to spend vast sums of money on large downtown patent firms and file many international patents, then spend virtually endless amounts of money litigating with infringers, but there are other alternatives.

The first way to limit the IP costs is to be very judicious with the protection. For example, if a software program is to be licensed only in the form of object code, there may be many inventions that lie beneath the surface that cannot be detected by a competitor.

These ideas are best kept as trade secrets and not disclosed for two reasons. The first is that the disclosure has the effect of educating a competitor in how the product is built. The second reason, which is even more important, is that even if there was protection on the idea, it would never be able to detectable when a competitor used the idea. Detectability is one of the key parameters in whether an idea is appropriate for patenting.

The second reason is that in selecting which portion of a product to protect, it is not always necessary to protect every detectable idea. Often, there are one or two key ideas that any infringer would have to violate to copy the bulk of the product. Even if there are many patentable innovations in the product, there may be just one or two ideas that would be the highest priority.

Having whittled down the possible ideas to one or two patentable ideas, the next step is getting the patents issued.

There are several things that can reduce the cost of having patent issued. The most important way to reduce the preparation cost is to be prepared. Do as much research into the prior art as possible, including internet searches, patent searches, and research competitor's products. Define the differences between the invention and the prior art. As I tell all of my clients, the most important thing that can be done beforehand is a thorough business plan. As part of this process, define the exact features that need to be covered from a competitive standpoint as well as a functional standpoint. This definition will be further refined by the patent professional during the patent preparation and prosecution stages.

Preparing and prosecuting the patent application can be done by

continued ...

a number of different people. On the extreme end of the scale, attorneys in the mahogany paneled offices of large downtown office towers will likely be the most expensive option. Many large firms will not take small companies or independent inventors because they like to focus on very large clients with large amounts of legal work. Consequently, the large firms will price the small clients very high and I have heard many stories of small clients who have difficulty even getting their phone calls returned at such large firms.

There are plenty of smaller law firms and solo patent practitioners that charge much less than the huge downtown firms but give excellent service. For budgeting and management purposes, consider hiring a firm that gives fixed fee quotes as opposed to paying by the hour. The former method encourages the firm to be efficient and constrains the costs, while the second method is often abused at the expense of the client.

Another alternative is to prepare and prosecute the patent application in house. While there are considerable risks to preparing and prosecuting patent applications without a trained professional, I have known people who have done so with both great success and terribly disastrous consequences.

As a benchmark, if the idea is reasonably well defined, an average patent may take about 10–30 hours to prepare, depending on the drafter's efficiency and familiarity with the technology.

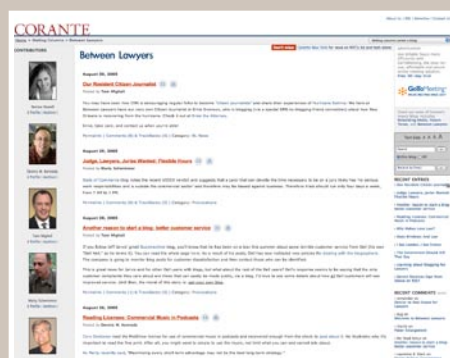
Once the patent issues, enforcing the patent is often cited as a potentially costly activity, but there are other alternatives. The first strategy should be [continuation practice](#). When handled properly, this strategy virtually eliminates litigation and is very inexpensive.

Another alternative to the expense of funding litigation is the use of contingent fees. If there is a high likelihood of prevailing in court, there are many patent litigation firms that will consider taking up the case and getting paid out of the eventual winnings in court. The costs during litigation are generally paid by the client, and the legal fees may be 20–40% of the verdict.

Always consider the business aspects of patent

protection before embarking on this path. The costs along the way should be much less than the potential payoff. If the product could only generate a few thousand dollars a year in revenue, there is no business reason for getting a patent. However, if there are or could be millions of dollars at stake, there may be some financial and business justification for getting a patent.

BETWEEN LAWYERS



Authors:

Denise Howell, Dennis Kennedy, Tom Mighell, Marty Schwimmer and Ernest Svenson

Author Bio:

Between Lawyers is a group blog founded by well-known and long-time lawyer bloggers Denise “Bag and Baggage” Howell, Dennis “DennisKennedy.Blog” Kennedy, Tom “Inter Alia” Mighell, Marty “The Trademark Blog” Schwimmer and Ernest “Ernie the Attorney” Svenson.

Blog Bio:

Between Lawyers provides just-in-time group commentary on the issues raised when technology, culture and the law intersect. We take you behind the firewalls and conference room doors to show you how experienced lawyers deal with these issues and help you prepare for the new challenges we all face.

Founding Date:

March 28, 2005

Topics:

Technology law, practice of law, technology policy, future of law, technology and topic of the day

Steve Gadd, the Culture of Drumming, Creativity and Copyright Control

My wife, my daughter (the young drummer) and I recently went to the St. Louis stop on the Steve Gadd drum clinic tour ([details here](#)). Gadd, perhaps the most respected drummer in the music business today, played drums and answered lots of questions.

Of special interest to me were his comments about the culture of drumming and creativity. He explained how he used to play records at slow speeds to learn how drummers played on certain tracks. He talked about all the drummers he had learned from, drummers he borrowed ideas from and how drummers have always shared ideas and techniques and learned from each other.

He stressed the notion of a great continuing conversation between drummers and that the learning of drumming was transferred by drummers talking to each other and sharing what they knew.

He painted a picture of an exciting, creative space where drum ideas were put out into the world at large and used and modified by other drummers to create an evolving, vibrant music.

He pointed to a number of his tracks that were subtle variations on other drum tracks and how ideas were incorporated into some of the most famous drum tracks in popular music.

When people talk these days about the “remix culture,” I see the world of drumming that Gadd described. With a culture of sharing, music and art grows, evolves, honors the past and creates the future. And that’s how it’s been for thousands of years.

Today, we look at “intellectual property rights,” digital rights management, ownership and control with a such a fierce determination and a fixation on “property” that I worry about whether we’ll be left owning bundles of more and more elaborate IP rights to less and less interesting works and leave a legacy of art and culture that is much poorer than when it was turned over to us so that we could leave our own mark on human culture.

Laws have consequences, often unintended ones. Let’s be very careful out there. Marty points to efforts to control and exploit for financial gain the ownership of weather data. Maybe it’s important. Maybe it’s very important. But I can’t say that it’s not important. Try explaining to your children how someone can “own” the weather information.

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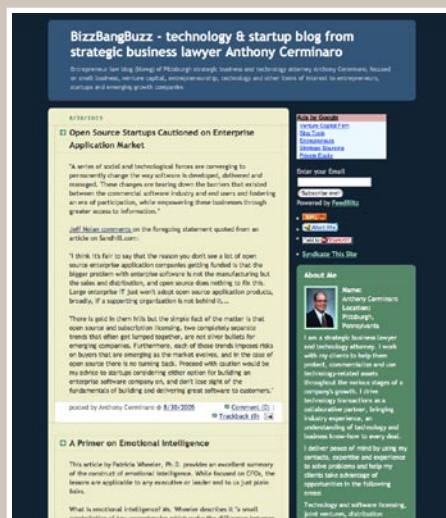
In fact, there's an important kind of creativity based on reorganizing, recasting and repositioning existing ideas and materials in new and unexpected ways that let us see new connections and see with "new eyes." Are we now in danger of legislating and litigating this type of human creativity out of existence?

What is the value of your song if you've made it so only a few can hear it? I can't dance to a copy of your copyright registration form.

Monetarily, it might be greater, at least by record company calculations, but the musicians I've known want as many people as possible to hear his or her song. It's about hit records and hearing your song played and enjoyed by people.

Let's not forget that there is a lot at stake in almost every intellectual property legal issue we face today. I hope we are not creating a world where my daughter can't learn Steve Gadd's drum techniques or play his tracks and try to evolve them into her own without having lawyers negotiate for her rights to do so.

BIZZ BANG BUZZ



Author(s):

Anthony R. Cerminaro

Author Bio:

Anthony R. Cerminaro is a strategic business lawyer and technology attorney. He works with his clients to help them protect, commercialize and use technology-related assets throughout the various stages of a company's growth. Anthony drives technology transactions as a collaborative partner, bringing industry experience, an understanding of technology and business know-how to every deal. He received his B.A. in Economics from Princeton University and his Juris Doctor from the University of Pittsburgh.

Blog Bio:

Bizz Bang Buzz is an entrepreneur law blog (blawg) of Pittsburgh strategic business and technology attorney Anthony Cerminaro, focused on small business, venture capital, entrepreneurship, technology and other items of interest to entrepreneurs, startup and emerging growth companies

Founding Date:

August 1, 2004

Topics:

Technology startups, entrepreneurship, small business

How to Buy a Business in 10 [Not So] Easy Steps

This is the first of three updated articles in which I describe the processes involved in buying and selling a business. This post is from the Buyer's perspective.

1. **ASSEMBLE A TEAM.** Buying a business can be a time consuming and confusing process, particularly for the uninitiated. Before proceeding, a wise buyer assembles a team of experienced advisers familiar with the process by which businesses are bought and sold. Team members ordinarily would include an accountant, tax adviser and attorney. Others could include a business valuation expert, environmental consultant and other professionals with particular expertise.

2. **DETERMINE THE TYPE OF BUSINESS TO BUY.** First, decide the general category of business. For example, service, manufacturing, internet, retail. Then consider the specific type of business, such as software developer, flower shop owner, shoe seller. Decide on the size of the business in terms of sales, profits, and the number of employees. Decide whether to seek a business that is profitable and stable or one that is losing money and in need of new management. The more profitable and stable a business, the more it will cost. If you plan to buy a business outside your area of expertise, you should make certain that key employees will stay on after the change in ownership or that similar expertise can be hired.

3. **FIND A BUSINESS FOR SALE.** Possible sources include business owners, business brokers, investment bankers, print advertising, trade sources and your attorney, accountant and other contacts in your network. Do not overlook any possibility in conducting your search. Business owners are often the best sources of industry information and may be willing to give free advice. Trade sources can be a viable source of information on businesses for sale. Key people within an industry, including suppliers, often know when businesses come up for sale or which owners might be willing to sell if the right offer were presented.

4. **INVESTIGATE THE BUSINESS.** Preliminary investigation may be conducted prior to making an offer or signing a letter of intent. More complete investigation is undertaken prior to the closing. The major areas to be investigated include the Seller's financial statements; the status of pending or threatened litigation; business relationships with suppliers and customers; tax matters; the competitive situation; employee relations and benefits plan matters; status of trademarks, patents, copyrights, trade secrets and other intellectual property;

continued ...

corporate, government and regulatory compliance; warranty and product liability issues; and potential environmental liabilities.

5. **VALUE THE BUSINESS.** Rules of thumb and valuation formulas are a starting point in determining the value of a business. The most useful of these may be the discounted cash flow method which is used to calculate the net present value of the future cash flows of a business based on certain assumptions. *Remember that value is not the same as the price that is paid for a business.* For many reasons, such as the relative bargaining positions of the parties and the skills of their negotiators, businesses are often purchased for more or less than their valuations. Nonetheless, having an accurate picture of the value of a business is essential in determining whether and how to proceed.

6. **MAKE AN OFFER.** This is ordinarily done by presenting the Seller with a letter of intent that serves to outline the agreement of the parties on fundamental issues and commits the parties to an exclusive period of negotiations. Price is the central bargaining issue in the transaction, but price cannot be understood without thinking about terms. Terms are often more important than price. It makes a big difference, for instance if a \$10 million dollar offer is for stock or assets. The tax consequences for buyer and seller are significantly different depending on the choice. Better for the buyer because of a step up in basis, and worse for the Seller because of double taxation. Similar considerations apply to liability issues and the timing and type of payments to be made. For instance, asset deals leave the seller exposed to liabilities that are not assumed by the buyer. Stock deals require the buyer to assume the liabilities of the business. Installment payments are worth less than the same amount paid at closing. Payment in stock of the buyer brings its own set of valuation issues.

7. **NEGOTIATE DEFINITIVE DOCUMENTATION.** The Purchase and Sale Agreement can be a complex document. The major bargaining issues include: price; structure; seller's representations and warranties; the conduct of the parties pending the closing; and conditions to the closing. In a sense, the entire negotiation process involves the apportionment of

liabilities between buyer and seller. This process often is crystallized in a hotly contested negotiation of the agreement's indemnity provisions. The parties must agree on who is to bear the risk of post-closing liabilities, both those that have been disclosed and those which are contingent or unknown. The seller wants to sleep at night. The buyer counters that the buyer is paying good money for a business that exists as the Seller has described. The buyer wants protection if the business turns out not to be as advertised. Resolution usually involves agreement on time limits for making claims and limits on the seller's exposure for certain types of liabilities.

8. **ARRANGE FINANCING.** The buyer's sources of financing depend in part on the size of the business being purchased. The larger the business being acquired the more sources that are available. Not only does the willingness of a particular lender to participate in the transaction increase, the number of potential lenders increases. Banks, insurance companies, commercial finance companies and venture capital companies all may be interested in providing financing for a larger acquisition. Many smaller businesses are purchased with a significant portion of the purchase price financed by the seller. The buyer, however, usually is required to make a down payment and ensure that adequate working capital sources are available. If the funds needed for the down payment are not readily available, the buyer must look for financing from an outside source.

9. **SATISFY CLOSING CONDITIONS.** In addition to the buyer obtaining financing, there may be several other conditions to be met before the purchase is closed. Typical closing conditions include: satisfaction with the results of the due diligence investigation; receiving required opinions, approvals and consents; entry into ancillary contracts; and the absence of certain events such as threatening litigation. Typically, buyer and seller cooperate to satisfy the closing conditions in advance of an agreed upon closing date.

10. **CLOSE THE TRANSACTION.** When the closing date arrives, and all of the conditions to the closing have been met, save those that will be satisfied at the closing, the parties and their representatives ordinarily assemble and

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lay out the paperwork. In neat piles on tables are found bills of sale, required consents, officer's certificates, opinions of counsel, and other transfer memorabilia. After dealing with the inevitable last minute snafus, documents are signed, wire transfers are completed and the business changes hands.

COMPUJURIST



Author(s):

Nerino J. Petro, Jr.

Author Bio:

Nerino J. Petro, Jr. is a practicing attorney in Loves Park, Illinois as well as CEO/ Senior Legal Technologist for CenCom Technologies. He is a Time Matters® and Billing Matters® AIC and provides professional and legal technology services throughout the country including consulting, training, installation and customization.

Blog Bio:

Compujurist is a blog for lawyers and others interested in all aspects of legal technology and practice management. From the mundane to the cutting edge, Compujurist strives to provide concise, timely and interesting information to its readers.

Founding Date:

May 20, 2005

Topics:

Legal Technology and Practice Management

Backup, Why Do I Need to Backup?

In this day and age it still amazes me that there are still lawyers out there that don't take seriously the need for regular backups of their computers! I constantly get asked "Do I really need to backup everything?" Or they wonder why they just can't leave the backup media at the office.

I've tried explaining time and time again why responsible attorneys insure that regular backups are made. That they test the backups to make sure they worked by doing test restores from the backup sets on some type of regular basis. I've explained that I think that safeguarding your data is one of an attorney's ethical obligations as it safeguards the practice and client information that resides on the computer systems. I've lectured over and over again that with the availability of cheap storage, you should back up everything including programs. At this point someone usually raises the point that they have their program disks: can't they just reinstall the programs off of those rather than backing them up so they have a true disaster recovery backup? They don't seem to think about how much time reinstalling the 30 different programs they have installed will take, let alone finding all of the updates and patches for each one. So to everyone in this group: Yes, you need to backup **EVERYTHING!** You need to do this on a **REGULAR** basis (and I don't mean once every 3 months). You need to **VERIFY** your backups by doing test restores from the backup set on some type of regular basis. It all goes back to the old D tente days of Trust but Verify. Don't question why you must do this, just trust me that myself and others who have been doing legal technology for a while have come to this conclusion after many years of experience in the school of hard knocks.

When we get beyond these issues, we then come to the question of why they need to take their backups sets off site. *[Note: I know that online backup services are available, but IMHO they are not financially feasible for a solo office and if there's no broadband, they're not technologically feasible either.]*

There's no point in having a backup that's left to suffer the same fate of a catastrophic loss as the rest of the equipment. If you search the web, you will find numerous postings on this point. By keeping a copy off site, if your office is completely destroyed, equipment stolen, etc. you can restore your critical data because you have that backup in another location. Ideally you rotate between several backup sets so you keep data lag to a minimum.

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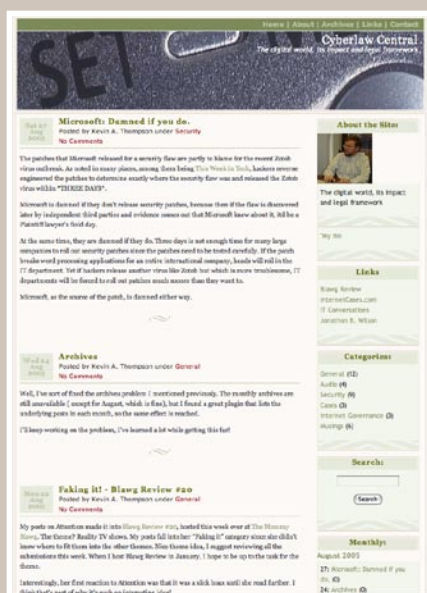
I had several clients in a multi-story office condo where a water line broke in an upper unit and flooded the floors below. A non-client had their backup tape left in the server and when it was flooded and destroyed the server, they also kept their other tapes there as well out in the open which were inundated by water as well and proved to be useless—this did not happen to my clients.

A sound backup strategy including off site storage is just one part of having a good data protection plan: you should also have at least RAID 1 (mirrored drives) on your server computer whether it is a true server running a server OS (like Small Business Server 2003) or a standalone workstation being used as a file server running Win XP Pro. This protects you from a failed drive and allows you to keep working. The off site backup protects you from a catastrophe.

For workstations, I also recommend using a product like Drive Image, Ghost or TruImage to make periodic images of the computer's hard drive. This can prove to be a life saver if you get a piece of malware or virus that you can't get rid; in this case, you can at least restore to the last image. I also like a program called File Map BB found at <http://www.dogkennels.net/filemap/> which keeps track of added files and can help you track down spyware and malware by comparing the latest file counts to a prior one.

There are numerous backup software solutions that are reasonably priced and available including [Emc Dantz Retrospect](#); [Novastor Novabackup](#); [NTI Backup Now](#); [Stomp's Backup MyPC](#); [Aconis TruImage](#) and others. Each of these have slightly different feature sets and may require a floppy disk to create a disaster recovery set (Backup MyPC does) but they will all work for backing up your ENTIRE system. For servers, you may have to buy additional plug-ins or a server version, but can you really afford not to safe guard your all important data? I didn't think so.

CYBERLAW CENTRAL



Author(s):

Kevin Thompson

Author Bio:

Kevin Thompson practices in the area of intellectual property with the firm Davis McGrath LLC in Chicago, Illinois, concentrating on Internet and computer law as well as trademarks, copyrights, and commercial litigation. Kevin advises clients in on-line copyright issues, Internet domain name disputes, and general e-commerce matters.

Blog Bio:

With the tagline "The digital world, its impact and legal framework" as its guide, Cyberlaw Central focuses on the legal implications of the Internet as well as its impact on society. Security issues, Internet governance, as well as general musings on the framework of the Internet are covered.

Founding Date:

May 9, 2005

Topics:

Intellectual property and Internet issues

The Legality of Fan Fiction on the Net

Fan fiction is prevalent on the Internet, but is it legal? It turns out that's a really interesting question. For the great majority of what is available, the answer is no. ISP's that distribute these files and the authors of unauthorized works can both be liable for copyright infringement.

What is fan fiction? Well, fan fiction is generally defined as an amateur-written story that is either set in the same setting as a popular work and/or it involves characters from a popular work. For example, "Star Trek" fans have been writing fan fiction, telling their own tales of Kirk, Spock, and McCoy, for years. Some fan fiction tends towards the mature, with what are called "slash" stories—the characters separated by the slash in the title of the work are almost guaranteed to be getting it on "hot and heavy" someplace in the story. (Some people apparently really like reading Kirk/Spock or Worf/Troi stories. Go figure.) Almost any popular work could be the subject of fan fiction, from X-Files, to Lord of the Rings, to Desperate Housewives.

So what's the problem? Well, first and foremost fan fiction is almost always never authorized by the holder of the copyright in the work. Most of these stories are classified as an "unauthorized derivative work" and are therefore an infringement. A derivative work is one that is based upon one or more preexisting works. The right to create derivative works is one of the exclusive rights given to the copyright holder pursuant to statute. Infringers of federally registered works can be subject to monetary damages, including statutory damages which can range from \$750.00 to \$150,000.00 per work in the case of willful infringement. Plus, attorneys fees can be awarded by a judge in certain cases.

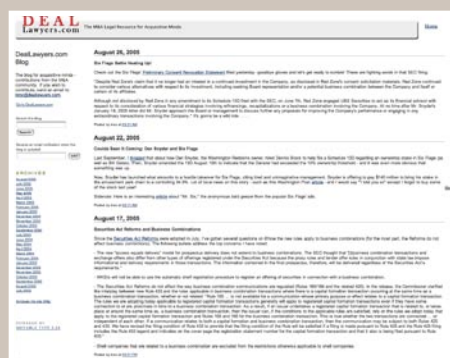
Now, some copyright holders are fine with fan fiction, on the theory that it boosts sales of the authorized works or otherwise keeps the authorized works alive in the imaginations of the fans. Those copyright holders are few and far between. The great majority of fan fiction existing on the Internet is still there only because it's not cost effective for the copyright holder to sue each and every infringer. That is why some copyright holders are enamored with sending Takedown Notices under the Digital Millennium Copyright Act "DMCA"—see my [earlier posting](#) about these notices. They're cheaper than a lawsuit and relatively effective. They also send a lot of cease and desist letters that threaten further action. If an infringer is deriving any economic benefit from the infringement, including selling advertisements on its website, that could be enough of a commercial use for some copyright

continued ...

owners to make enforcement more likely.

These are really fact specific issues. If you are involved with producing or hosting fan fiction, I would strongly encourage you to consult with an attorney. If you are an author whose work is being infringed online, I also suggest consulting an attorney you trust to discuss what options are available to you. For more on the topic, I also suggest reading through the Chilling Effects Clearinghouse website, and their excellent [FAQ list on fan fiction](#).

DEALLAWYERS.COM BLOG



Author(s):

Broc Romanek

Author Bio:

Broc Romanek is Editor of numerous Web sites, such as TheCorporateCounsel.net and CompensationStandards.com. Broc frequently writes and speaks about corporate and securities law; he teaches a MBA corporate governance class at George Mason University; serves on the Advisory Council for the SEC Historical Society and is Editor of the Corporate Governance Advisor.

Blog Bio:

DealLawyers.com Blog was the first legal blog to deal exclusively with M&A issues. It continues to have a strong, loyal following among M&A practitioners. Past posts have been written by several M&A lawyers, including the well-known "Deal Guys": Wilson Chu and Larry Glasgow, who kicked the blog off with their witty partee.

Founding Date:

July 2003

Topics:

Mergers and acquisitions, specifically M&A law

Securities Act Reforms and Business Combinations

Since the [Securities Act Reforms](#) were adopted in July, I've gotten several questions on if/how the new rules apply to business combinations (for the most part, the Reforms do not affect business combinations). The following bullets address the top concerns I have noted:

- The new "access equals delivery" model for prospectus delivery does not extend to business combinations. The SEC thought that "[b]usiness combination transactions and exchange offers also differ from other types of offerings registered under the Securities Act because the proxy rules and tender offer rules in conjunction with state law impose informational and delivery requirements in those transactions. The information contained in the final prospectus, therefore, will be delivered regardless of the Securities Act's requirements."
- WKSIs will not be able to use the automatic shelf registration procedure to register an offering of securities in connection with a business combination.
- The Securities Act Reforms do not affect the way business combination communications are regulated (Rules 165/166 and the related 425). In the release, the Commission clarified the interplay between new Rule 433 and the rules applicable in business combination transactions where there is a capital formation transaction occurring at the same time as a business combination transaction, whether or not related:

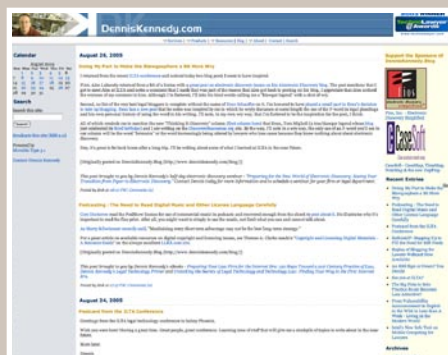
"Rule 165 ... is not available for a communication whose primary purpose or effect relates to a capital formation transaction. The rules we are adopting today applicable to registered capital formation transactions generally will apply to registered capital formation transactions even if they have some connection to or are proximate in time to a business combination transaction. As a result, if an issuer undertakes a registered capital formation transaction that is related to, or takes place at around the same time as, a business combination transaction, then the issuer can, if the conditions to the applicable rules are satisfied, rely on the rules we adopt today that apply to the registered capital formation transaction and Rules 165 and 166 for the business

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combination transaction. This is true whether the two transactions are connected ... or independent of each other. If a communication relates to both a capital formation and business combination transaction, then the communication may be subject to both Rules 425 and 433. We have revised the filing condition of Rule 433 to provide that the filing condition of the Rule will be satisfied if a filing is made pursuant to Rule 425 and the Rule 425 filing includes the Rule 433 legend and indicates on the cover page the registration statement number for the capital formation transaction and that it also is being filed pursuant to Rule 433."

- Shell companies that are related to a business combination are excluded from the restrictions otherwise applicable to shell companies.

DENNISKENNEDY.BLOG



Author (s):

Dennis Kennedy

Author Bio:

Dennis Kennedy practices information technology law and provides legal technology consulting services. A frequent speaker, an award-winning author and a pioneer in the use of the Internet by lawyers, he covers law and technology topics on his blog and the Between Lawyers blog.

Blog Bio:

DennisKennedy.Blog covers technology law, legal technology, electronic discovery and a variety of other technical, musical and personal interests of Dennis Kennedy. He chose the name of the blog so there would be no limit on the topics he could cover.

Founding Date:

February 15, 2003

Topics:

Legal technology, technology law and other musings

All Request Tuesday—What Three Things Should You Resolve Before Becoming a Lawyer

Here's the full question (and it's a good one):

What three things would you tell your younger self, if you could go back in time, or your daughter in the future, to resolve about themselves when trying to decide whether law is the right career?

I've answered this question, in one form or another, on a regular basis over the years, but hadn't considered it in the context of my daughter or my younger self.

These days, I recommend that you resolve the following things:

- 1. The source and focus of your creative energy and your need and form for expressing your creative impulse and yourself.**
 The practice of law might actually be the best place for you, but you'll want to determine whether the practice of law will enable you to express your art or whether it will stifle it. If the latter, it's better to walk away sooner than later. If you are born to play the guitar in a band, riffing through law books will never satisfy you.
- 2. What ways do you really want to help others. The best lawyers I know start their answers to the question "Why do you like to practice law?" with the words "I like to help people..."** As in #1, if you get this right, you can thrive in the practice of law. If you don't resolve it, you will always feel something tugging at you that will pull you away from the practice of law.
- 3. Is it really you and not someone else doing the choosing?**
 Are you going to law school to please parents, boy friend or girl friend, spouse, teacher or even some idealized image you have of yourself? I admire today's law students because they really think about what they are doing and make a conscious choice to become lawyers. The promise of this new generation of lawyers is, therefore, immense, assuming that we don't irretrievably wreck the profession before it gets into their hands. Talk to lawyers of my era and you'll hear more about "the economy was bad," "I followed my then girl friend" and "I wasn't sure what else to do" than you would ever expect. That's part of the reason you'll find very talented people who have left the practice to do other things rather than stay in the profession and try to make changes.

There are other things, of course, that are more practical. I recommend

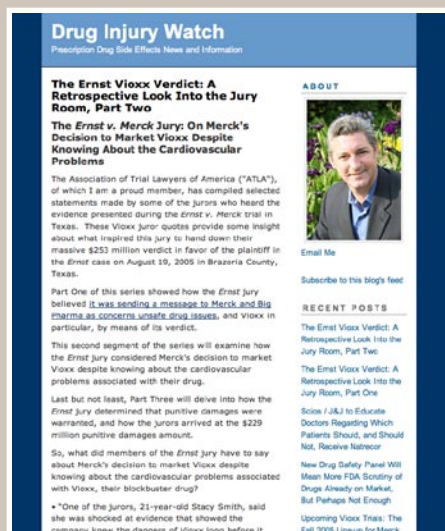
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getting a part-time job at a law firm, learning about the various types of law practice and the everyday realities of the work, and generally doing your homework.

In retrospect, however, I most wish that I would have had the opportunity to work with someone like my career counselor and coach Pat Bush at that younger stage. I might have ended up doing the same things, but I would have had a better understanding why and they would have been my choices, made for solid reasons. Most of us have approached careers as a form of improvisation, which, given the impact of career on your life, is probably not the wisest thing to do.

Finally, I'd want to say to my daughter that our attempts to help you, as wacky as they might seem, are made with the best intentions and based on the best of what we know. We ask that you consider them carefully, but ultimately make your own decisions for you and not for us. In all events, we love you, are proud of you and want you to know that you have earned our respect for your judgment and choices that you make. Of course, I'm from a small town in Indiana and it is far easier for me to write something like that than ever to say it out loud. But, I'm trying to learn.

DRUG INJURY WATCH



Author(s):

Tom Lamb

Author Bio:

Tom Lamb is a products liability lawyer in North Carolina who has a national litigation practice representing patients and their families in drug injury claims involving serious side effects from use of prescription drugs. He received his law degree from George Washington University in 1988 and carries an A-V rating from Martindale-Hubbell.

Blog Bio:

This relatively new blawg seeks to provide up-to-date news and information concerning prescription drug side effects which cause serious injury—thus, “Drug Injury Watch”. Tom Lamb’s daily posts add insight from a drug litigation attorney perspective, but are written to be read by consumers and others.

Founding Date:

April 28, 2005

Topics:

Drug safety alerts, medication errors, Pharma industry trends

What Does Direct-to-Consumer Advertising Have to Do with Prescription Drug Clinical Trials?; NEJM Publishes and Then, in the Same Edition, Challenges a Company-sponsored Study Article

What Does Direct-to-Consumer Advertising Have to Do with Prescription Drug Clinical Trials?

Major Medical Journals Lead Us Astray by Publishing Studies Designed to Help Sell Product for the Drug Company

Today, Richard Smith is Chief Executive of UnitedHealth Europe, in London. Previously, Mr. Smith was an editor for the *British Medical Journal* (“BMJ”) for 25 years, serving 13 years as the lead editor and chief executive of the BMJ Publishing Group. He stopped working for the *BMJ* in July 2004.

Given his experience, Mr. Smith is well-qualified to give the speech he did at the Medical Society of London in October 2004 when receiving the HealthWatch Award for 2004. That provocative speech led to a subsequent article, entitled “Medical Journals Are an Extension of the Marketing Arm of Pharmaceutical Companies”, which appeared in the [May 17, 2005 edition of PLoS Medicine](#).

To put things into context for us, Mr. Smith starts by providing some recent remarks:

“Journals have devolved into information laundering operations for the pharmaceutical industry”, wrote Richard Horton, editor of the *Lancet*, in March 2004. In the same year, Marcia Angell, former editor of the *New England Journal of Medicine*, lambasted the industry for becoming “primarily a marketing machine” and co-opting “every institution that might stand in its way”. Medical journals were conspicuously absent from her list of co-opted institutions, but she and Horton are not the only editors who have become increasingly queasy about the power and influence of the industry. Jerry Kassirer, another former editor of the *New England Journal of Medicine*, argues that the industry has deflected the moral compasses of many physicians...”

The essence of Mr. Smith’s article is that “artificial” drug-safety studies sponsored by the pharmaceutical companies is the primary evil which

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confronts doctors and patients in this age of so-called “blockbuster” prescription drug products. Mr. Smith seems rather confident that doctors and patients, as prescribers and consumers, can deflect the influence that the drug companies push on us by way of their multi-million dollar advertising campaigns. What concerns this former medical journal editor more is the seemingly sinister (mis-) use of medical journals when a drug company gets a sponsored, i.e., “their”, clinical study report published in the likes of the *Annals of Internal Medicine*, the *Journal of the American Medical Society* (“JAMA”), the *Lancet*, and the *New England Journal of Medicine*.

Mr. Smith reveals that “between two-thirds and three-quarters of the trials published in the major journals—*Annals of Internal Medicine*, *JAMA*, *Lancet*, and *New England Journal of Medicine*—are funded by the industry.” In his article, Mr. Smith shows how the drug companies arrange their clinical studies to get the efficacy or safety-profile results they desire—“not by fiddling the results, which would be far too crude and possibly detectable by peer review, but rather by asking the ‘right’ questions—and there are many ways to do this.” If for no other reason, Mr. Smith’s listing of some of those methods used by drug companies for achieving their desired results makes his article recommended reading to anyone who has ever placed faith in a prescription drug based on a medical journal report they read.

To be sure, Richard Smith’s *PLoS Medicine* article will certainly shake one from the complacent view that because it was printed in a major medical journal, it must be true.

NEJM Publishes and Then, in the Same Edition, Challenges a Company-sponsored Study Article

A Classic Example of Medical Journal Manipulation by Pharmaceutical Industry?

In the August 4, 2005 edition of the *New England Journal Of Medicine*, an editorial piece seems to cast some doubt on a research study report appearing in the same publication. By chance, this might be the classic

example of medical journal manipulation which was discussed in my recent post about Big Pharma and major medical journals.

Provigil (modafinil), by Cephalon Inc., is an effective drug used by nighttime employees to improve their alertness and performance, according to the study’s lead author, Charles A. Czeisler, chief of the sleep medicine division at Harvard Medical School as well as at Brigham and Women’s Hospital, in Boston. Interestingly, Dr. Czeisler’s professorship is endowed by Cephalon for \$2 million. Moreover, Dr. Czeisler’s new study was funded by Cephalon, Provigil’s manufacturer, also.

In comparison, Dr. Czeisler’s research failed to impress the author of a biting editorial in the same edition of the *New England Journal of Medicine* (*NEJM*), who said the data developed and presented by Dr. Czeisler suggests that Provigil is “little better than nothing.”

According to an August 4, 2005 report in the *Wall Street Journal* (*WSJ*) about this rather unusual situation, Provigil was first approved by the FDA in 1998, for use to treat excessive sleepiness. In 2003 the FDA approved Provigil for the treatment of “shift-work sleep disorder”. About 5% to 10% of the estimated six million people in the U.S. who work at night reportedly complain of shift-work sleep disorder, the symptoms of which are daytime insomnia, or excessive sleepiness for people working a night shift. In 2004 U.S. doctors wrote 1.9 million prescriptions for Provigil, generating \$414 million in sales for Cephalon. In the August 4 article, *WSJ* reporter Suzanne Sataline isolates the issue: “The debate within the pages of the prestigious medical journal raises renewed questions over the reliability of research sponsored by drug companies.”

Against this background, we take a quick look at this odd *NEJM* “internal” debate.

Dr. Czeisler contends that workers taking Provigil were more awake and had a decline in drive-time accidents or near-misses. “I would characterize [Provigil] as the treatment of choice with patients with shift-work disorder,” Dr. Czeisler said in his *NEJM* study report.

On the other side is Robert C. Basner, director of

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Columbia University's Cardiopulmonary Sleep and Ventilatory Disorders Center. Dr. Basner is the author of the *NEJM* editorial about the Provigil study. In his opinion, the researchers' data showed only slight improvements in workers wakefulness and productivity; further, Provigil seemed to exacerbate insomnia for some patients. "That's not a very robust endorsement of the drug coming from the investigators themselves," said Dr. Basner, "This drug is little better than nothing in terms of making them less sleepy during shift work at night."

There should be some interesting letters to the editor in upcoming editions of the *NEJM* about this apparent controversy concerning the efficacy of Provigil, and probably much more.

ELEGAL CANTON



Author(s):

David Canton

Author Bio:

David Canton is a business lawyer and trade-mark agent with a practice focusing on technology issues. David Canton practices with Harrison Pensa LLP in London Ontario, and has been quoted in publications including the CBA National magazine, Law Times, Canadian Lawyer, Toronto Star, and National Post.

Blog Bio:

eLegal Canton is a blawg about law and technology issues written by a Canadian lawyer.

Founding Date:

November 1, 2004

Topics:

Technology law, intellectual property, privacy

E-mails Have Long Memory

(For the London Free Press - July 16 2005)

E-mail has become a staple in business and personal communication.

And the content of many business e-mails has landed its writers in hot water.

It may be easier to say something confrontational or unpleasant in an e-mail than in person or on the phone—but it is recorded for posterity.

Type that e-mail in anger or disgust if you want—but save it until the next day and rethink whether you want to say that before you send it.

In England the content of an e-mail from a lawyer to his secretary made the front page of the London Times. The lawyer e-mailed his secretary about the ketchup she accidentally spilled on his trousers. He wrote the dry cleaning bill was four pounds and it would be “much appreciated” if she could pay him for this.

In response the secretary wrote “I must apologize for not getting back to you straight away but due to my mother’s sudden illness, death and funeral I have had more pressing issues than you four pounds. I apologize for accidentally getting a few splashes of ketchup on your trousers.

“Obviously your financial need as a senior associate is greater than mine as a mere secretary.”

The e-mail was forwarded throughout the law firm and the legal community and eventually ended up in the paper. This exposure damaged the reputation of the firm and put into question the character of the lawyer. Eventually the lawyer quit the law firm.

In Canada there was a recent court case involving the tone of e-mails between a boss and a subordinate.

The exchange over a project gone awry was considered in Carscallen vs. FRI Corp. After many heated e-mails the subordinate was suspended and demoted. She consequently brought an action against her employer alleging she was constructively dismissed.

While considering the case Justice Echlin warned about the use of e-mail stating:

“While e-mail is a useful method of conveying information, it is less

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appropriate for debate in hotly charged circumstances. It seems odd that neither (the supervisor nor the employee) picked up the telephone and spoke to each other directly. This might have defused matters.

“In the end, it cost (the employer) a valuable employee and cost (the employee) her job.”

The distant nature of e-mail communication may induce people to make comments they would be uncomfortable making in person. This problem is exacerbated by the fact that tone and sarcasm are difficult to convey over e-mail.

Whether business or personal, we must be careful when pressing the send button. If the message contains anything that may be sensitive, we should consider whether the e-mail should be changed, or indeed sent at all.

Remember e-mails are not retractable and there is no guarantee how the recipient will interpret the message. There is also no guarantee how the message will be used in the future.

E-mail messages are increasingly being used in litigation. Unlike oral conversations that are only recorded by planned preparation using tape recording devices, e-mails are automatically stored and easily printed or accessed for future reference or use.

E-mails have a long memory—and can come back and haunt careless writers.

EVAN SCHAEFFER'S LEGAL UNDERGROUND



Author(s):
 Evan Schaeffer

Author Bio:

Evan Schaeffer is a class action and mass torts lawyer based in the St. Louis metropolitan area. His firm is Schaeffer & Lamere, P.C. Schaeffer's Op-Eds and essays have been published in many national publications, including Runner's World, the Chicago Tribune, the Houston Chronicle, and the St. Louis Post-Dispatch.

Blog Bio:

Evan Schaeffer's Legal Underground is a weblog about lawyers for lawyers, law students, and the general public, often focusing on the politics of litigation. The weblog encourages comments by readers, which has created a active community of participants.

Founding Date:

January 2004

Topics:

General interest, the business of lawyering, and tort reform

When Doctors Leave Town, Where Do They Go?

Not long ago, President Bush came to Illinois to give a speech about "medical liability reform." He claimed, as others have, that doctors are fleeing the Illinois counties of Madison and St. Clair, mostly to get away from lawyers.

"Lawyers are filing baseless suits against hospitals and doctors," the president [said](#). "That's just a plain fact."

I practice law in Madison and St. Clair counties, and I know that some residents are nervous. "What if I'm left without a doctor?" they think. It's hard to blame them. For nearly three years, we've had headline after headline about doctors leaving town. Then we had President Bush saying the same thing. (Never mind that it would take most residents of Madison and St. Clair counties only ten or fifteen minutes to cross the Mississippi River and find a doctor in St. Louis.)

Four months after the president's visit, the headlines continue. Here's one from last week's Alton Telegraph: "Another OB/Gyn leaving ... Only remaining female baby doctor in area to head to Oklahoma."

It was the paper's lead story. If the headline were any larger, it would not have fit on the page.

So who's leaving this time? It's Dr. Christine Taylor. "There was just some uncertainty here," she told the newspaper. "It's the malpractice rates, but also because of other doctors leaving."

I know some of the doctors who have left, and their motives often had nothing to do with lawsuits. Meanwhile, new doctors have come to town, but this isn't considered newsworthy.

As for Dr. Taylor, she seems to be one of those classic cases: a doctor leaving town because of lawyers and lawsuits and "malpractice rates."

But wait. Could there have been another motive for her leaving?

It seems so. Due to bad planning on someone's part, the same newspaper with the large headline about Dr. Taylor also featured a quarter-page advertisement from the remaining doctors in her practice. It began like this:

"A Notice to the Patients of Christine Taylor, MD

"Dr. Christine Taylor will be leaving the medical practice of Illini

continued ...

Medical Associates, S.C. on June 24, 2005. She is returning to her home state of Oklahoma to be closer to family. We wish Dr. Taylor and her family the best in her relocation."

What's that? "Closer to her family?" While Taylor did mention the family motive in the newspaper article, she suggested her biggest reason for leaving was the "uncertainty" surrounding lawsuits and malpractice rates. But that's not mentioned in the ad.

So was it the lawyers who drove Dr. Taylor out of town? Or was it her own desire to be closer to her family?

Do I need to mention [again](#) that since 1996, there have been only 11 medical malpractice verdicts in Madison County? And that the doctors won seven, but the patients won only four? (When doctors complain about "malpractice rates," by the way, they often mean, "My net income is not as large as I think I deserve." Nothing wrong with that: doctors should be highly paid. But they shouldn't use doublespeak to mask their real meaning.)

Back to Dr. Taylor. Let's give her the benefit of the doubt. Let's assume the lawyers drove her out of town. If so, it should be safe to assume that things must be a lot better in Oklahoma, where Dr. Taylor is headed. Right?

Wrong. Just ten seconds of searching on Google yielded [this](#) from the Oklahoma State Medical Association: "Critical Condition: Oklahoma is at risk of losing our doctors because of lawsuit abuse!"

Dr. Taylor might be in for a nasty surprise in Oklahoma, especially if she's easily swayed by the type of propoganda we've been hearing for three years in Illinois. But there's another problem: If the propoganda drives her out of Oklahoma, where can she go next?

Not [Ohio](#). Not [Pennsylvania](#). Not Florida. Not [Missouri](#). Not Mississippi.

I could go on, but why bother? There are at least [34 states](#) that doctors claim are "in crisis."

Call me a cynic, but it seems to me that rather than asking some tough questions of their insurance companies, doctors have found it much more

convenient to simply blame the lawyers.

Lawyers are an easy target. It brings to mind another feature of our local newspaper that won't go away: the half-page anti-lawyer ads by the Illinois Chamber of Commerce. The chamber has also started advertising again on the radio, which hasn't happened since the 2004 election. You can read about the radio and print ads on the Chamber's [website](#).

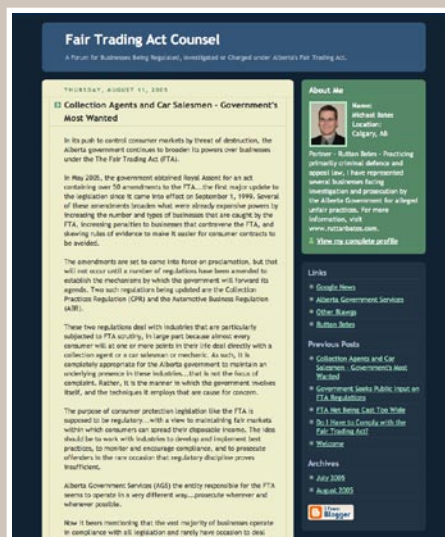
The ads are so obnoxious that the Illinois State Bar Association has decided to get involved. According to an article in the April issue of the Illinois Bar Journal by Illinois State Bar Association president Ole Pace, the ISBA has "commisioned a Duke law professor to do an unbiased study of the relationship between malpractice cases and liability insurance costs."

Pace's article continues:

"We need some facts. Our profession has a real commitment to real reform when it is needed. As a public service, to provide an impartial, factual basis for a real decision, your ISBA commissioned Neil Vidmar, a highly respected professor at Duke Law School, to study and report on malpractice cases in our courts, looking at outcomes and cost and their relationship to liability insurance costs. When the study is done, we'll have a solid and unbiased base of knowledge."

The report should be released soon. If its conclusions are pro-lawyer, it will be interesting to see how the tort-reform lobby will attack the reputation of this "highly respected professor."

FAIR TRADING ACT COUNSEL



Author(s):

Michael Bates

Author Bio:

Mr. Bates practices Criminal and Appellate litigation with Ruttan Bates in Calgary, Alberta. He acts for businesses subject to the provisions of the Fair Trading Act, which includes defending FTA prosecutions. An advocate of courtroom technology, Mr. Bates strives to reduce the costs of litigation and increase the level of advocacy his clients receive.

Blog Bio:

Fair Trading Act Counsel is a forum for companies dealing with the challenges of operating consumer businesses in Alberta. Invariably, these businesses will deal with regulation, investigation, or prosecution under the FTA and the hope is to provide a sounding board for ideas and experiences of other similarly situated companies.

Founding Date:

July 4, 2005

Topics:

Consumer business in Alberta and the Fair Trading Act

Collection Agents and Car Salesmen—Government's Most Wanted

In its push to control consumer markets by threat of destruction, the Alberta government continues to broaden its powers over businesses under the The Fair Trading Act (FTA).

In May 2005, the government obtained Royal Assent for an act containing over 50 amendments to the FTA...the first major update to the legislation since it came into effect on September 1, 1999. Several of these amendments broaden what were already expansive powers by increasing the number and types of businesses that are caught by the FTA, increasing penalties to businesses that contravene the FTA, and skewing rules of evidence to make it easier for consumer contracts to be avoided.

The amendments are set to come into force on proclamation, but that will not occur until a number of regulations have been amended to establish the mechanisms by which the government will forward its agenda. Two such regulations being updated are the Collection Practices Regulation (CPR) and the Automotive Business Regulation (ABR).

These two regulations deal with industries that are particularly subjected to FTA scrutiny, in large part because almost every consumer will at one or more points in their life deal directly with a collection agent or a car salesman or mechanic. As such, it is completely appropriate for the Alberta government to maintain an underlying presence in these industries...that is not the focus of complaint. Rather, it is the manner in which the government involves itself, and the techniques it employs that are cause for concern.

The purpose of consumer protection legislation like the FTA is supposed to be regulatory...with a view to maintaining fair markets within which consumers can spread their disposable income. The idea should be to work with industries to develop and implement best practices, to monitor and encourage compliance, and to prosecute offenders in the rare occasion that regulatory discipline proves insufficient.

Alberta Government Services (AGS) the entity responsible for the FTA seems to operate in a very different way...prosecute wherever and whenever possible.

Now it bears mentioning that the vast majority of businesses operate

continued ...

in compliance with all legislation and rarely have occasion to deal with AGS investigators. However, the point that seems lost on AGS is that a majority of businesses who do run afoul of the FTA do so negligently, unintentionally and are not the stereotypical “evil profiteers” looking to prey on consumers.

For example, one recent AGS investigation resulted in FTA charges being laid against a business for representing that it could supply goods or services when it could not. In fact, the business had installed equipment in a home and had returned numerous times to make repairs / adjustments, but the product still did not work as it was supposed to. At best, this is poor business practice and the consumer should get their money back...it is hardly an appropriate situation for a quasi-criminal prosecution. The spirit of the offence section is to get businesses who sell things they don't actually have to an unsuspecting, and usually elderly, consumer, not to act as some kind of hammer to be dropped on a company whose product's performance is sub-par.

Further evidence of the “prosecute don't prevent” method is found in the manner in which AGS handled complaints regarding a collection agency called Gateway Collections. By its own press release, AGS indicates that it started an investigation into the company in October of 2002 as a result of some consumer complaints about practices of particular collectors. Instead of contacting management with a view to rooting out the problem and working together to ensure FTA compliance, AGS sat back, allowed more complaints to pile up over the next 3 months, and then pounced on the company with some 22 charges...all of which, incidentally, would later be thrown out by the court at trial.

As a collection agency, Gateway operated in jurisdictions across Canada and enjoyed positive working relationships with all provincial regulatory bodies, except in Alberta. The alarming evidence at trial was that no one, not the consumers nor AGS, had contacted Gateway's management to discuss the complaints prior to the laying of charges.

Many other cases can be found on the Alberta Government website that seem to fit this pattern.

Relatively lengthy investigations are undertaken as a result of consumer complaints, and seemingly out of nowhere, AGS lays 20, 30, 40 charges and prosecutes with vigor.

So it appears that collection agencies and automotive industry players should watch their collective backs... with the proposed amendments to the CPR and ABR it seems AGS has them in the cross-hairs. Admittedly, the proposed amendments do include development of Codes of Conduct and other objectives that are ostensibly aimed at the true purpose of regulating. However, there are also proposals for more activities to be classified as offences under the FTA, and if history is an indicator, these are the provisions that AGS will be using first.

To learn more about the proposed FTA amendments, or to take part in a government survey seeking opinion on the issues, visit <http://www.gov.ab.ca/home/index.cfm?page=1229>

GEORGE'S EMPLOYMENT BLAWG



Author(s):

George Lenard and Michael Harris

Author Bio:

A graduate of the Indiana University-Bloomington School of Law and Beloit College, George Lenard has practiced labor and employment law with Harris Dowell Fisher & Harris in St. Louis, for almost 20 years.

Michael Harris, who received his B.A. and Ph.D. from the University of Illinois-Chicago, is a Professor of Management at the University of Missouri-St. Louis and Vice President of Litigation Support Services at EASI-Consult, LLC.

Blog Bio:

George's Employment Blawg has covered labor and employment law news, as well as human resources and other employment-related topics, since May 2003.

Founding Date:

May 12, 2003

Topics:

Employment discrimination law and litigation, human resource practices, workplace and workforce trends

But Can On-Line Dating Systems Learn Anything from On-Line Recruitment Systems?; Recruiting as Dating: The Interview Stage

But Can On-Line Dating Systems Learn Anything from On-Line Recruitment Systems?

If you have ever tried an on-line dating system, you might find this article rather interesting, or amusing, as the case may be.

Charles Handler received permission from his wife (if you believe him; I'm not sure!) to conduct research on on-line dating systems to learn how they operate (hey, what a clever way to cover your tracks, Charles!).

He just recently produced a highly readable article on **what we can learn from on-line date systems and apply to on-line recruitment systems**. Here are some of the lessons he draws from the experience:

Both online dating and online job searching can involve the following basic steps:

- The "applicant" starts by setting up an account and creating a profile.
- High-level knock-out questions are used as pre-screens.
- Personality testing is used in both.

Charles also points out some significant differences between on-line dating and on-line recruitment:

- Both systems use some form of algorithms to compare profiles and calculate matches, but the on-line dating system uses a much more sophisticated approach.
- In online dating, you are provided with the results of your personality profile to help you better understand yourself in terms of what you need in a relationship. This is not the case in on-line recruitment!

From reading Charles' [article](#), there could be some valuable lessons to be learned from on-line dating systems. Might be worth learning more about them; if nothing else, it sounds like a good cover-up for making some new friends ; -)

continued ...

A comment by George:

And I repeat my mantra about personality tests:

- For both dating and hiring, the measurement of personality traits must be accurate;
- There is a presumption, which may be unwarranted, that personality test results can establish what makes a good match for dating or hiring, i.e., what personality traits suit the person for the dating partner or job.

Dating services (and hiring systems) eventually could acquire large enough databases to longitudinally study the accuracy of their predictions in terms of the correlation between their prediction of a good match and some measure of ultimate outcomes (perhaps durable marriages, if the service is pitched to people seeking that, and long-term productive employment).

Until then, how can you defend in court the use of such a process for hiring if it has a disparate impact?

A supplementary comment by George:

OK, I confess: I made the above comment having read only Michael's post, not the article. Now I've scanned the article, and I think my point was pretty much covered in the article. After my recent adventure with administering personality tests to myself, as covered in an earlier post, I will agree wholeheartedly with the final sentence:

When chosen correctly within the correct system, personality tests can be used to enrich our lives in many ways. When chosen poorly or relied upon exclusively for classification or decision making, they can often have a negative impact.

I wish the author had gone further, though I understand it would have pushed the limits of his wife's tolerance, and gone on some computer-arranged blind dates!

Which reminds me, one concern I would have in both arenas is a certain blandness and predictability that might result from finding matches that are "too good." Do we really want spouses who are just like us? Do we really want all employees to fit specific personality

profiles?

I say: "variety is the spice of life," "vive la difference," and "be careful what you ask for, you just may get it."

Recruiting as Dating: The Interview Stage

Some time ago, I had a posting comparing online recruitment to online dating. Now we can take the analogy to the next step, comparing a job interview to a date.

Think about the last time you dated someone; what hints, cues, and other signals did he or she send that indicated his or her interest in dating you again?

In this article, the author offers a number of suggestions from a candidate's perspective as to how to interpret a hiring manager's interest (or lack thereof) in offering you a job.

Before I list them, however, I recommend you, the hiring manager, avoid going "too fast" in a job interview, as [this interviewer](#) attempted. I guess he took the analogy somewhat too "far."

Anyhow, here are hints that an interviewer is NOT interested in pursuing a "date" further; so, if you are a hiring manager, you may want to make sure you are sending the correct signals:

- Starts the interview late without an apology.
- Spends most of the time talking about himself, the job or the company instead of trying to learn about you.
- Doesn't listen when you are talking.
- Allows interruptions, takes phone calls or checks his e-mail.
- Forgets your name.
- Eats lunch without offering you any, flosses his teeth or otherwise acts as if you're not there.
- Ends the interview quickly.

continued ...

- Is vague about when or if he'll call.

Here are some of the things an interviewer will do if he or she is interested in pursuing this further:

- Starts the interview on time, or apologizes if it starts late. Recognizes that your time is valuable.
- During the interview asks you about yourself and lets you do most of the talking because he or she wants to know as much as possible about you.
- Doesn't criticize or belittle you, your education or experience. You don't feel like you're on the defensive.
- Doesn't cut the interview short, but wants to spend as much time as possible with you.

More details can be found [here](#).

A comment by George:

Unfortunately, in hiring as in dating, trying to read too much into subtle "signals" may unduly frustrate and foreclose the parties' future possibilities.

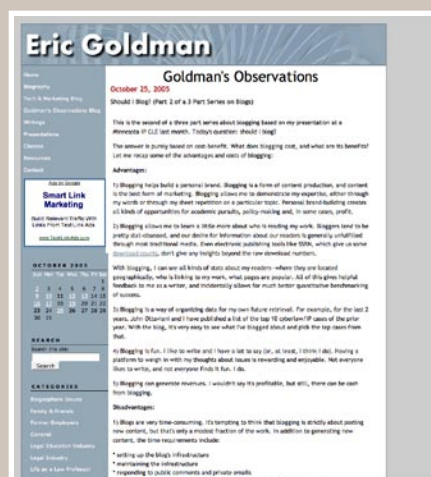
Maybe that guy or gal that didn't seem that interested will call and ask you out again; maybe you will get a second interview or a job offer.

Those negative "signals" may reflect many things besides lack of interest: e.g., rudeness, lack of social skills, inexperience, nervousness, shyness, overwork, etc.

So I agree interviewers should take heed and learn from this article. But interviewees may not want to assume too much from subtle hints. If you're still interested in the job, keep after it.

Take it from someone who has (largely) overcome years of reflexive and negative "assume the worst" thinking about the thoughts and reactions of others—sometimes their thoughts are more positive than one expects.

GOLDMAN'S OBSERVATIONS



Author(s):

Eric Goldman

Author Bio:

Eric Goldman is an Assistant Professor at Marquette University Law School, where he concentrates on Internet, technology, entrepreneurship and IP issues. Previously, he was General Counsel for Epinions.com and an Internet attorney at Cooley Godward LLP. He received his BA, JD and MBA from UCLA.

Blog Bio:

Goldman's Observations blog provides Prof. Eric Goldman's perspectives on law schools, lawyers, and life as a law professor at Marquette University Law School in Milwaukee, Wisconsin.

Founding Date:

February 7, 2005

Topics:

Law school life, the legal industry and legal ethics

What Does "100 Grand" Mean to You?

This [AP story](#) made me laugh out loud. A Kentucky radio station WLTO-102.5 FM announces a contest where the prize is "100 grand" to the 10th caller. A woman, Norreasha Gill, listens to the show, is the 10th caller and is overjoyed at the prospect of adding \$100,000 to her bank account. At bedtime, she promises her three kids that they will have "a minivan, a shopping spree, a savings account and a home with a back yard." (\$100,000 appears to go a lot further in Kentucky than most other places in the country. Plus, in my house, we just read books before bedtime).

She tries to collect her prize. Her dreams are dashed when the radio station tells her that she has won a [100 Grand candy bar](#). She is outraged. As she says, "Nobody would watch and listen for two hours for a candy bar."

(Of course this is not literally true. Some people listen to the radio without any prospect of getting any confectionary treats *at all*).

Moved by her story and the misunderstanding, the radio station offers her \$5,000. She says thanks, that and \$95,000 more will make her happy. Apparently the radio station was unwilling to cough up the cash, and off to court we go.

It appears, on the surface, that we have a classic language ambiguity problem. The phrase "100 grand" means two wildly different things: a lifetime of fulfilled dreams in Kentucky, or a couple minutes of chocolate gorging. Did the radio station deliberately mislead people into thinking that it was talking about the former, not the latter? Would reasonable listeners believe that the radio station was referring to the former? If the answer is yes to either of the 2 questions, this lawsuit may not be as frivolous as it seems.

This case reminds me of the now-classic [Leonard v. Pepsico case](#), which is now taught in law schools throughout the country. In that case, Pepsi ran some commercials touting a "points" program and showing the cool gear that customers could get. Some versions of the commercials show that with a sufficient number of points, customers could procure a Harrier jet. Ordinarily it would be too hard to get enough points to get the Harrier, but Pepsi also allowed customers to buy points—and the cash-to-points conversion rate meant that one could buy points to buy a Harrier jet for a very small fraction of its retail price. (Ignoring other problems, like the fact that it would be illegal to buy or sell the Harrier jet because of its military applications).

continued ...

When Pepsi declined an enterprising customer's efforts to get the Harrier, the customer sued for breach of contract (much like the 100 grand lawsuit). Pepsi's response: c'mon, we all know this is a joke. The district court's opinion has a fascinating discussion of the legal boundaries of humor, and concludes that the ad was just funny enough to allow Pepsi to escape legal liability.

What's interesting is that my students aren't so easily convinced that Pepsi was making a joke. Given the hyperbolic marketing environment of the dot com boom, and the resulting desperate efforts to get attention using increasingly expensive promises (remember [Pepsi's sweepstakes](#) to potentially give away one *billion* dollars?), my students today a little jaded about what marketers are willing to do.

So, is it outlandish that a radio station might give \$100,000 to a listener? Or, was it funny enough to say that the 10th caller would win a 100 grand [candy bar]? In either case, maybe, maybe not. But I'm having a pretty good laugh either way!

UPDATE: The Smoking Gun has the [complaint](#). Gill v. Cumulus Media, Inc. (Ky. Cir. Ct. filed June 22, 2005). The blog post is a little troubling for the defendants—notice where the DJ writes “be caller 10 @ 280-1025 and you’ll be 100 GRAND RICHER!!!” and then immediately follows that with “No joke” (although I don’t understand the rest of that paragraph).

UPDATE 2: This case also brings to mind the case where Hooter's waitresses were told that they would be entered in a drawing for a “Toyota” for selling lots of beer. Then, the winning waitress, Jodee Berry, was presented with a toy Yoda (get the word pun?—yuck yuck yuck). You have to check out this [photo](#) (and story)—the combination of the box and her face tells the whole story. As the photo amply demonstrates, she was not amused. The case settled, and [Jodee got a new Toyota car](#)—but it's not clear if she got the car because Hooters was feeling some legal heat or because Hooters realized that they had screwed up employee morale and a car was a cheap way to buy back some employee goodwill. Also note that in Berry's case, there were facts that managers had referred to a Toyota *car*, so the specificity was a little higher than with the radio announcement.

I/P UPDATES



Author(s):

William F. ("Bill") Heinze

Author Bio:

William F. ("Bill") Heinze is an intellectual property attorney based in Atlanta, Georgia USA. His international practice focuses on providing clients with proactive and preventative services in the areas of process development and training, competitive analysis and monitoring, application prosecution, customs registration, import exclusion, enforcement, and portfolio management and measurement at each stage of the product development cycle.

Blog Bio:

The I/P Updates news service provides free news, information, and subscriptions for sophisticated intellectual property practitioners. If you like the news service, you'll love the way that we practice law.

Founding Date:

May 2004

Topics:

Intellectual property, patents, trademarks, copyrights

Chinese I/P Strategy Directed by Deng Theory and the Three Represents

The [State Intellectual Property Office of the P.R.C.](#) ("SIPO") has [announced](#) the start of work on a new national intellectual property strategy. In an introductory speech, the recently-appointed commissioner of the SIPO, [Tian Lipu](#), [reportedly said](#) that "The strategy-making work should be directed by Deng Theory and the important conceptions of the Three Representatives. At the same time, it should follow the following basic principles, such as government-oriented, innovation-based, coordination-emphasized, etc."

[Deng Xiaoping](#) (1904–1997) theorized that China was in the primary stage of socialism and that the duty of the [Communist Party of China](#) was to perfect "[socialism with Chinese characteristics](#)." The goals of Deng's reforms were summed up by the [Four Modernizations](#)—agriculture, industry, science and technology, and the military—to be achieved through a [socialist market economy](#).

Deng selected [Jiang Zemin](#) as a compromise replacement for Party General Secretary [Zhao Ziyang](#) after opposition to the military crackdown of the [Tiananmen Square protests in 1989](#). Unlike Deng, Jiang was a [neo-conservative](#), believing that social progress is best accomplished through gradual reform of society. His [Three Represent\[ative\]s](#) speech at the 16th Communist Party Congress was credited with legitimizing the inclusion of capitalists and private entrepreneurs in the Party with the phrase "the Party must always represent the requirements of the development of China's advanced productive forces."

As with the [SIPO press release](#), some of the vagueries in interpreting the Three Represents may be due to translational difficulties. Even so, many Chinese, including members of the Party, found Jiang's original speech to be incomprehensible. Although open criticism of the theory is taboo, there have been reports of private unease about its implications from inside the Party. Many have disliked the equation of businessmen with "advanced productive forces," believing that this approach ignores the widening social gap between the rich and poor. Others have feared that promotion of the Three Represents could lead to another [cult of personality](#).

Although his term was supposed to last until 2007, in [March 2005](#), Jiang was succeeded in his last official post by [Hu Jintao](#). Signs of a widening split between Jiang and Hu had appeared weeks before,

continued ...

including publication of a photograph of Hu and Deng, with the image of Jiang washed out. Nonetheless, this latest transition of power was the first peaceful one since the formation of the People's Republic in [1949](#).

Hu and Premier [Wen Jiabao](#) have attempted to move China away from a policy of favoring economic growth at all costs, toward a more balanced view of growth that factors in social inequality and environmental damage. Unlike [Jiang](#) and his "[Shanghai Clique](#)," both Wen and Hu hail from, and have cultivated their political bases in, the vast Chinese interior. Their policies have so far appeared to focus on the plight of [The Three Nongs](#): nongmin (peasants), nongye (agriculture) and nongcun (rural communities). Nonetheless, it appears unlikely that there will be any sudden shifts in China's intellectual property policy under the new Chinese leadership. As Commissioner Tian also pointed out in the SIPO press release, "strategy-making work is a glorious but hard task. There is a lot of research work and coordination work need to be done."

In the meantime, you can do your own research work on "Chinese numbered polices" [here](#).

INTER ALIA



Author(s):

Tom Mighell

Author's Bio:

Tom Mighell is Senior Counsel and Litigation Technology Support Coordinator at Cowles & Thompson, P.C. in Dallas, Texas. He is a frequent speaker and writer on the Internet and legal technology, and he has published the Internet Legal Research Weekly newsletter since 2000.

Blog Bio:

Inter Alia is an Internet Legal Research Weblog, "among other things." The blog's goal is to help legal professionals learn how to get the most out of Internet research, how to best use legal technology, and keep their computers safe and secure.

Founding Date:

August 18, 2002

Topics:

Internet legal research, legal technology, and Weblogs

Mandatory E-filing; Best Adware Solution = Buy a New Computer

Mandatory E-filing

The [Electronic Filing and Service for Courts](#) blog has a nice piece titled [The Benefits of Mandatory E-Filing](#), which argues for the proposition that all filing should be e-filing, and it should be mandatory, across the board. I agree, for the most part; while there are clearly major benefits to e-filing, I'm just not sure making it *mandatory* (at this point, anyway) this soon is the right strategy. Yes, I know e-filing is mandatory in the bankruptcy courts, I just wish they had handled it a different way.

The reason why: like it or not, many attorneys are not equipped with sufficient technological skills to grasp the intricacies of e-filing. I write this with a trace of sarcasm; while the average reader of this blog would no doubt find e-filing a snap, many attorneys are still way behind the technology learning curve. I'm talking mostly about solo (and some small firm) attorneys here—large firm attorneys may not have the skills, but they certainly have staff capable of processing an e-filing transaction.

A case in point. My firm subscribes to the [Courthouse News](#), a great service that delivers an e-mail to us each day with descriptions of the latest court filings, both state and federal. A few months ago, the Courthouse News described a lawsuit filed in federal court by a lawyer here in Dallas, actually against the Northern District of Texas. The lawyer alleged that he lacked the computer skills necessary to e-file, and therefore the mandatory e-filing system here was discriminatory. We'll see how far this lawsuit goes, but the point is made: some lawyers are not equipped for this brave new world of e-filing.

A solution? Before a court system decides to go mandatory, they should offer e-filing as an option, with the notice that at some point in the future, e-filing will be the only option. At the same time, the court system should offer some sort of class to teach the basics of e-filing to lawyers and their staff. The classes can be online, at the courthouse, or in seminars through the bar association. I know some of the federal courts here in Texas require the attorney to take such a class before registering to e-file, but so far the state courts that have e-filing don't provide any obvious training—at least in Texas, anyway.

continued ...

Best Adware Solution = Buy a New Computer

This really makes me crazy. The New York Times is reporting on the number of people who, instead of trying to remove adware, spyware, and viruses from their computers, are [simply purchasing new computers](#). There are several anecdotes of individuals whose computers were completely bogged down with junk, but only one of them even bothers to mention that it *might* have been the user's activities that caused the spyware/virus infection (now you know: visiting Turkish news sites = bad).

There's one small paragraph that almost takes the article in a rational direction:

There are methods of protecting computers from infection through antivirus and spyware-removal software and digital barriers called firewalls, but those tools are far from being completely effective.

What? Firewalls and anti-virus programs are pretty darned effective at keeping bad things out, but only if the user *uses them correctly*. The article also states that Yale computer science professor David Gelertner "blames the software industry for the morass..." Again, nothing about the user's role in all of this.

An article like this really makes me believe that users are unwilling to accept any responsibility for security on their computer. Maybe this is all part of some grand conspiracy by the computer manufacturers—to convince users to buy more PCs, rather than keep their computers clean...

continued ...

JIM CALLOWAY'S LAW PRACTICE TIPS BLOG



Author(s):

Jim Calloway

Author Bio:

Jim Calloway, an attorney, is Director of the Oklahoma Bar Association Management Assistance Program. He was chair of ABA TECHSHOW™ 2005 and serves on ABA Law Practice Management Section Council. He has given numerous CLE presentations and co-authored the book *Winning Alternatives to the Billable Hour: Strategies That Work*.

Blog Bio:

Jim Calloway's Law Practice Tips Blog is an Oklahoma-based weblog about law practice management, the Internet and technology as it applies both in law practice and in all of our lives. It is produced by someone who is a full time employee of the Oklahoma Bar Association who offers practice management assistance and advice to its members.

Founding Date:

January 2, 2005

Topics:

Law practice management, the Internet, technology

Paste Special—One of the Best Tips Ever!; Paste Special—Part 2—Customizing Your Toolbars

Paste Special—One of the Best Tips Ever!

Several years ago when I was called on to do my first "60 Tips in 60 Minutes" program, one of my tips was about using Paste Special to copy and paste just the text from one document into another without bringing the formatting or hyperlinks or different font from the original document. (Just copy the text, open new document, then select Edit, then Paste Special, then Unformatted Text.) This is particularly useful when copying text from an online legal research provider or other web page into a word processing document. It has been a tip that is hard to "retire" as almost every time you mention it to a large crowd, someone says out loud, "Oh my gosh, I didn't know that" or something to that effect. I've received many e-mails over the years thanking me for this tip. This "classic" tip was the [subject of an article by Dan Pinnington](#) in this month's *Law Practice Today*. You might want to circulate the link to Dan's article (or this post) within your firm. Someone there may not know about this and it could save them lots of document clean up time.

Paste Special—Part 2—Customizing Your Toolbars

Last month I did a post called ["Paste Special—One of the Best Tips Ever."](#) I was pleased, but not surprised, that I received several grateful e-mails from those who learned for the first time of this way to copy and paste the words, but not the formatting. But I also received a few e-mails, beginning with one from attorney Michael T. Newman of Ft. Smith, AR, pointing out there's an even better way to do this—by adding buttons for Paste Special or Paste Unformatted to the toolbars. They are correct. I use it myself, but in a fast-paced tips program, I usually omit that part.

So thank you for the e-mail prompts to tell "the rest of the story." You can easily add a button to your toolbar for any of the functions you now access by using the drop down menus. Customizing your toolbar to add buttons for things you do frequently and remove the buttons that you never use is a great productivity tool. You can learn how to add and remove buttons from the toolbar by using your word processor's Help Files, but here are the steps as I've adapted them from the help files.

continued ...

To Add a Button to a Toolbar in WordPerfect

1. Click Tools, then select Settings and click Customize.
2. In the Customize settings dialog box, click the Toolbars tab.
3. Choose a toolbar from the Available toolbars list, Click Edit.
4. In the Toolbar editor dialog box, choose a category from the Feature categories list box.
5. Choose a feature from the Features list. (Note: Each Feature Category brings up a different set of Commands here and the various "paste" ones are under Edit.)
6. Locate Paste Special or Paste Unformatted (I used both) and either click Add Button or drag your choice up to the place on the toolbar where you wish it to be located.

Look at your choices. You may want to add several buttons to your toolbars.

To Add a Button (or Command) to a Toolbar in Microsoft Word

1. Make sure the toolbar you want to change is visible. How? On the View menu, point to Toolbars. Click the toolbar you want to display.
2. Click the Toolbar Options arrow . (located on the right end of the toolbar)
3. Point to Add or Remove Buttons, and then click Customize.
4. Click the Commands tab.
5. In the Categories box, click a category for the command you want the button to perform. (Note: Each Category brings up a different set of Commands here and the various "paste" ones are under Edit.)
6. Drag the command or macro you want from the Commands box to the displayed toolbar.
7. On the Customize dialog box, click Close.

JOTTINGS BY AN EMPLOYER'S LAWYER



Author(s):

Michael W. Fox

Author Bio:

Michael W. Fox is a shareholder in the Austin office of Ogletree, Deakins, Nash, Smoak & Stewart, P.C. He has an active employment law trial practice including successfully defending the first male on male sexual harassment jury trial in Texas. He is Board certified in Labor and Employment Law and a Fellow in the College of Labor and Employment Lawyers.

Blog Bio:

Comments on recent cases, trials and other matters of interest to labor and employment lawyers, human resource executives and anyone who has employees, by a lawyer with thirty years experience representing employers.

Founding Date:

July 17, 2002

Topics:

Employment and labor law related matters

Hostile Environment in the Kitchen—7th Cir. Sends Restaurant Sexual Harassment Case to Trial

Disagreeing with the trial court's grant of summary judgment, the 7th Circuit has held that 3 incidents over two years, combined with other testimony showing continuing problems in the workplace, is enough to require a jury sort out whether a restaurant should be held liable for sexual harassment. [Loughman v. Malnati Organization, Inc.](#) (7th Cir. 1/18/04). The EEOC has made harassment of teens a special priority, see their specific web site <http://youth.eeoc.gov/>. This decision provides a good example of why employers in the industry should beware.

Loughman, who started as a food runner at age 17, and worked for more than three years complained within her first three weeks of inappropriate comments from the kitchen staff ("do you like to have sex?" "would you have sex with me?"), but it was three physical confrontations that were the basis of her sexual harassment suit.

The first occurred after she was on the job for five months, when a kitchen employee caught up with her in the freezer as she was putting food away, "put his arm around her waist, pushed her into a room on the other side of the hall, and tried to kiss her. Loughman pushed him away and walked out, but [the kitchen employee] again caught up to her and blocked her path to the stairs for several minutes before relenting." After she complained to a restaurant manager the next day, the kitchen worker was told he would be fired if he ever touched her again. That warning worked and he did not bother Loughman again.

Nearly a year later, two kitchen employees followed Loughman into a walk in cooler, "turned off the light, and closed the cooler door. Hernandez grabbed Loughman, pinned her against the wall, grabbed her chest, and tried to put his hands down her pants. Loughman screamed and swung her arm, hitting Siffuentes. Siffuentes fell back into the cooler door, opening it. At that point, Hernandez backed away, and Loughman ran out of the cooler." When this incident was reported, a manager supposedly told her:

"[T]his is the kind of stuff that's going to happen and something [Loughman] should expect?; 'being nice to [the Hispanic kitchen workers] is like playing with fire'; 'this is in their culture'; 'most Mexicans are pigs'; and that Loughman should 'be a bitch to them.'"

continued ...

The manager denies making that statement, but for purposes of summary judgment, the Court accepted that it was made.

The third incident was in August 2002, almost 2 years after the attempted kiss, Loughman was talking to a customer on the phone and a driver “walked up behind her, ran his hands through her hair, slid one hand up her shirt, wiggled his fingers on her stomach, giggled and ran away.” Two days later, a district manager apologized to Loughman and began investigating the first two incidents that he claimed he had just learned about. (That evidence was disputed as well.) As a result of the investigation, Hernandez, one of the two employees involved in the walk-in cooler incident was fired.

In reviewing the basis for the trial court’s grant of summary judgment the appeals court found it relied on the facts that:

“[The employee who tried to kiss Loughman] did not bother her after the first incident, that Malnati’s eventually fired Hernandez, and that [the driver who stuck his hand up her shirt] apologized to Loughman and was transferred to another store, and concluded ‘Malnati’s not only had a sexual harassment policy in place but had an effective one.’”

The 7th Circuit view—a terse, “We’re not convinced.”

Noting that it was not just physical comments that Loughman was complaining about, but physical assaults, the mere fact that no employee committed two assaults was not sufficient to get the restaurant off the hook. Even testimony that a manager had talked to the kitchen staff 10 to 20 times about their comments to female workers was a double-edged sword. The employer arguing it showed diligence in enforcing the policy, the Court noting perhaps it meant at some point the restaurant should have taken a different approach. And the comments about the nature of the kitchen staff, “not helpful.” The ultimate determination—let the jury decide.

Anyone who has worked in, represented or probably even been a customer at fast food restaurants could

easily envision the events above. No doubt when the whole story is told at trial (assuming one ever takes place) Loughman herself may be implicated in the conduct, the timing and content of her reports will be disputed, in short there will be multiple shades of grey. But where the cost of preparing for and going through a multi-day jury trial and the risks of a runaway jury often drive the decision on settlement, there is little doubt of the impact of this decision on the parties involved.

Many restaurant and fast food franchise owners, which not atypically have young workers and often barely older supervisors, may well think today, that could be me. The remedy—aggressive training and no tolerance for any inappropriate behavior. A prescription easier carried out in theory than the real world of high turnover and low margins.

KNIGHT ON FAMILY LAW



Author(s): Stephen C. Knight

Author Bio:

Stephen Knight practices at Baydoun & Knight, PLLC, in Nashville, Tennessee. His practice focuses on appellate advocacy and commercial litigation. Stephen is former Judicial Clerk to Chief Judge Gilbert S. Merritt, Sixth Circuit Court of Appeals, and to U.S. District Court Judge Thomas A. Wiseman, Jr., Middle District of Tennessee.

Blog Bio:

The Knight on Family Law Blog is a forum for discussion of Tennessee divorce and family law news and issues.

Founding Date:

April 1, 2005

Topics:

Tennessee divorce, family law

Divorce Lawyers Relief Act; Divorce Lawyers Abuse Act

Divorce Lawyers Relief Act

If you think that trial lawyers and Republican legislators can't agree on anything, take a look at the [lead story](#) in the Tennessean this morning. A proposed law would allow a party in a divorce proceeding to recover "for pain and suffering, for alienation of affection, or for punitive damages" if the spouse proves by clear and convincing evidence that the other spouse "committed adultery, abandoned the spouse, or subjected the spouse to physical abuse" in the year preceding the divorce petition. A complaining spouse would also have the burden of proving that he or she did not engage in any of the prohibited activity.

One averred purpose of the law is to discourage bad behavior and thereby discourage divorce. But I don't think many divorce lawyers are concerned that the law would cause a drop in business. I would also expect private investigators to get behind the law (I shudder to think what would constitute clear and convincing evidence of adultery.)

John Hollins Sr. is quoted describing the proposed law as "harebrained." Cynthia Bohn takes the opposite view, calling it a "great idea." The TBA is concerned that the law would make divorce proceedings messier. I think we can all agree with that assessment.

Divorce Lawyers Abuse Act

Well, it seems that it's not all wine and roses between domestic relations lawyers and the Tennessee legislature. The legislature has two bills pending that would require domestic relations lawyers (and only domestic relations lawyers) to make certain disclosures to their clients:

1. A statement of rights and responsibilities describing that party's financial obligations to the attorney and his or her general rights and responsibilities in pursuing the representation; and
2. A good faith estimate of the charges that the party is likely to incur as the attorney pursues the representation.

The Nashville Bar Association has officially come out against this proposal:

"Be resolved that the Nashville Bar Association objects to the passage

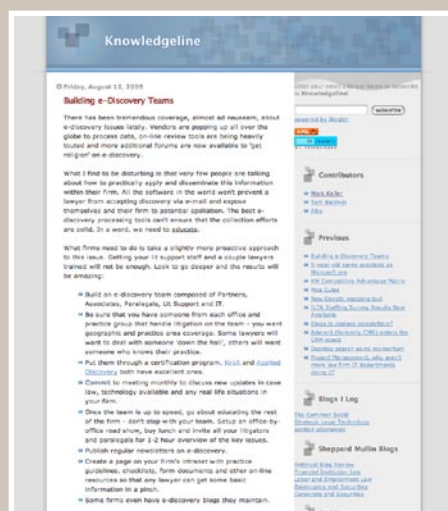
continued ...

of Senate Bill 0033 and House Bill 1231. It is a bill which is prejudicial to the administration of justice; it is directed only at domestic relations lawsuits; and the protections it purports to offer are not necessary in light of the regulations imposed upon members of the bar of the State of Tennessee by the Supreme Court of the State of Tennessee and the Tennessee Rules of Professional Conduct, Rule 1.5, Fees.

“Wherefore, the Nashville Bar Association strongly recommends against passage of this act.”

Talk about a can of worms. I wonder if the bills’ sponsors have any suggestions about how to estimate the charges that a client is likely to incur. Maybe they could create a statutory presumption that the cost of the representation will be the size of the marital estate times the number of children divided by the year of the marriage plus the weight of the couple’s tax returns divided by the square root of opposing counsel’s caseload.

KNOWLEDGELINE



Author(s):

Tom Baldwin

Author Bio:

Tom Baldwin is the Chief Knowledge Officer at Sheppard Mullin. Prior to joining Sheppard Mullin he worked at Foley & Lardner. Tom also serves as the Southern California Regional Vice President for ILTA (formerly LawNet). He has been in the law firm IT industry for 10 years, as a vendor, consultant and now working in-house.

Blog Bio:

KnowledgeLine is a blog loosely centered around knowledge management topics. It also covers innovative technology as well as management and strategic issues surrounding the successful implementation and use of technology within a law firm.

Founding Date:

October 14, 2005

Topics:

Knowledge management, technology, strategic issues surrounding both

Extranets Help Separate Firms, for Now

It looks as though collaboration tools, such as extranets, are not only on the cusp of becoming an integral part of how law firms work with their clients, but also as a way to differentiate themselves from their competitors.

If you've ever looked at the 'pitches books' law firms put together for prospective clients, it's no wonder something like an extranet can help set them apart. Most often a law firm's proposal boasts of a blue-chip roster of clients, touts the pedigree of their lawyers, trumpets the many successful cases/deals won for their clients and talks about their commitment to excellent client service. Virtually every law firm still in business can tell similar tales to one another, especially larger full-service firms who typically compete with other full-service firms. There's very little that helps a law firm set themselves apart when employing this standard RFP response. To that end, I once heard a client tell a group of lawyers that something as basic as publishing their rates in a proposal would be considered avant-garde.

While some are impressed with such basic things, more and more corporate legal departments are raising their expectations of what their outside counsel offer. Just ask Laura Owen, Director of Worldwide Legal Services, at Cisco Systems. Her recent article [The Tech Evolution: Change or Die](#) highlights several key trends:

- Commoditize routine legal transactions
- Create consortia to share needed work
- Move your legal work to low cost firms located in other regions away from high cost centers
- Use technology, not lawyers, to perform legal work
- Move 80 percent of your fees to a non-billable hour basis

While her thoughts are progressive, it certainly will only be a matter of time before more and more consumers of legal services start to see the wisdom in her approach. This is especially true if her concept of consortium for shared legal work takes off. Can you imagine the buying power large companies like Cisco, Ford, 3-M, Dupont, etc. could exert if they were to band together for joint RFPs?

If you analyze her points in detail, most of them are addressed through

continued ...

collaboration tools and technology. Firms that are currently able to provide these tools set themselves apart, but if Ms. Owen has her way, it will only be a matter of time before we all have to answer the call to better client service.

LAWTECH GURU



Author(s):

Jeff Beard

Author Bio:

Jeff Beard is the Legal Services IT Manager with Caterpillar Inc., and a national author/presenter on contemporary legal technology and practice management issues. Mr. Beard enjoys working with legal management and staff on strategic planning, practice support, project management, and implementation of numerous legal systems. He particularly thrives in the fast-paced intersection of business and technology enablers.

Blog Bio:

This popular blawg is dedicated to alerting and educating legal and corporate markets on savvy Internet and legal technology use, mobile computing, strategic planning, and law practice management issues. All posts are made in Mr. Beard's individual capacity, as LawTech Guru is his personal blawg.

Founding Date:

September 7, 2003

Topics:

Legal Technology, Law Practice Management, Savvy Internet Usage, Mobile Computing, Privacy & Security

The Palm OS Is Officially Dead (RIP 1996–2005)

Perhaps PalmSource has watched too many Monty Python episodes with their recent announcement, which goes something like this: And now for something completely different: We're dropping all traditional Palm OS development immediately and switching over to Linux. Not that I have anything against Linux, and recognizing the Palm OS may have reached the end of its road, but huh?

A number of people have asked me why I haven't posted much about Palms over the past year. The answer is simple: I just didn't see Palm going anywhere, even with the marvelous Treo as its flagship product. Don't get me wrong, as I love my Palm-based organizers with their simple ease of use. But the market has changed, and Palm has already been left behind as fairly irrelevant with the possible exception of the Treo. Much of the excitement is gone, and it's more than just market maturity. I see much more excitement over glitzy 3G camera phones and iPods—heck, even PocketPCs (which I *never* thought I'd ever say). Even the cool Treos didn't catch on in the corporate world nearly as well as BlackBerries.

Perhaps that's why PalmSource's interim CEO, Patrick McVeigh, [recently announced](#) that it's shifting engineering efforts from the traditional PalmOS to a future Linux-based Palm OS. He stated, "We are delaying all development of products not directly related to this." Recall that PalmSource is the OS division spun off from then-Palm, so Palm could become palmOne and focus on the hardware. palmOne exhibited innovation with devices such as the collapsible Tungsten, the cool Treos, and recently with the voluminous LifeDrive.

PalmSource innovation? Not so much. Many moons ago, PalmOS 5 was rebranded as Garnet, and it was described as an interim platform until the "next big thing". The forthcoming PalmOS 6, Cobalt, was supposed to be their flagship smartphone OS. Sadly, it turned out to be much ado about nothing, and PalmOS 5 remained, well, clunky and limited.

Given PalmSource's previous grand OS announcements that went nowhere (e.g., Cobalt), it's really tough to think "going Linux" will change things much for PalmSource or the Palm platform. Existing Palm OS apps likely won't run on the new Linux-based OS. Last time I checked, that was well over 10,000 apps (probably closer to 15,000 now, cumulatively speaking). Marooned. You may see some new Palm program version updates, but probably not beyond the point when the existing market share starts dwindling. Software developers will

continued ...

likely go into maintenance mode to eek out as much revenue as possible while changing development efforts or simply moving on.

Given the inertia and entropy PalmSource experienced with the PalmOS in recent years, it's not a huge leap to consider other OS platforms. Indeed, PalmSource has publicly mentioned this possibility on various occasions. It doesn't make much sense to go develop yet another proprietary OS, which made Palm's prior acquisition of Be a head-scratcher. So, why not go with an open source OS?

The market has tried Linux PDAs before—remember the Sharp Zaurus? It had moderately good success with the IT gearhead crowd, but never made the big splash in the consumer market. I'm certainly not saying it can't, but we haven't seen that kind of leadership at Palm in a very long, long time.

Speaking of time, per [Palm Infocenter](#), "He [McVeigh] also put a timetable on the release of the upcoming linux Palm OS products. The version for low end and feature phones is planned to be completed by summer 2006 and a high end version for smartphone is expected to be ready in the second half of next year." I could be wrong, but I expect PalmSource to encounter more problems along the way. Not to mention I expect those dates are just for the new OS availability. Even allowing for pre-release alphas and betas, hardware manufacturers will likely need lead time to develop their devices and debug them. The Palm-based cell phones (Treos) took noticeably longer for the wireless carriers to debug, test, tweak, customize and certify for their service. Consider how long it's taken for [the iTunes phone to evolve from vaporware status](#).

If they can get major cell phone manufacturers onboard, PalmSource may have a chance due to the larger market and becoming more of a B2B provider. Consider the news that [LG just signed on to be a Palm OS licensee](#). Why would LG do that if the traditional Palm OS is going bye-bye? Thus [some suspect](#) LG will produce one of the early Palm-Linux phones. I wish them luck, as I really like what LG has been cranking out in cell phones.

By then I fear Palm will be a fading memory in

consumers' minds. They're going to have to develop a platform that's radically better just to get noticed—something that Palm/PalmSource has never done except in its grassroot days.

With all this said, I truly hope that abounding rumors of Palm's demise are greatly exaggerated. I felt they built a better mousetrap and their products made my personal and professional lives easier. I found Palms so much easier to pick up and use compared to PocketPCs—particularly the Handspring line (courtesy of Jeff Hawkins, the visionary behind the original Palm, who's now back at palmOne). The Palm software and user communities reached cult status quickly. It made mobility *fun*. While my heart hopes that PalmSource can finally deliver, my brain has already moved on, thinking about iPods, digital cameras, and my next cell phone.

LAW UNDER THE MICROSCOPE



Author(s):

Cece Gassner

Author Bio:

Cece Gassner is a lawyer specializing in intellectual property and information security law. She counsels life science and technology-focused firms in the development and protection of their assets in their strategic alliances and research and development endeavors. When not lawyering, you can find her enjoying the great outdoors.

Blog Bio:

Synopses and thoughts on the latest news regarding FDA regulations, laws that affect life sciences companies, and information security practices (with only very occasional strays off-topic).

Founding Date:

August 1, 2004

Topics:

FDA, intellectual property, information security

NIH Still in Ethical Quandary

I have to imagine that there are some days where the director of [NIH](#), [Dr. Elias Zerhouni](#), just wants to run down the hallway with his fingers in his ears yelling "LA LA LA LA LA!" In the last year, one of the stickiest issues the NIH has faced and that has gained huge public attention is the dilemma regarding outside compensation to NIH scientists by corporations.

To sum up the issue—until last year, NIH scientists were able to receive a certain amount of compensation from outside corporations, so long as they disclosed that work. Then it came out that maybe two dozen of the thousands of NIH employees (researchers and non-researchers) had received rather hefty sums of money and it wasn't clear in each case whether those amounts were disclosed. Following Congressional hearings on the issue, Dr. Zerhouni placed a moratorium on any scientists receiving outside compensation for their work. In February, a new [interim final rule](#) was put in place that allows non-researchers to have up to \$15,000 in stock holdings of pharmaceutical companies, and no NIH employee may perform any compensated speaking, editing or writing for a regulated entity or any uncompensated outside employment. In addition, no senior employee may receive any gift or award because of their NIH position that is more than \$200 in value.

Oh, who knew how many problems this would bring to NIH ...

In the last few weeks, there have been several editorials and other articles on the issue. For instance, on April 2, 2005, Dr. James Battey, the then-chief of the human stem cell program, [resigned](#) because he said that he could not comply with the interim final rule. A family trust that he manages had substantial holdings that would take him out of compliance with the cap on the amount of stock an employee could have. Other researchers in the [same article](#) note difficulties they had, such as Dr. Ashani Weeraratna, a cancer researcher who had to turn down a speaking opportunity to present a paper to a physician's group in New York because they would have bought her train ticket that would have cost about \$200. The CEO of A&G Pharmaceuticals, a small biotech company, also notes that not having any NIH scientists on its board is a blow because the companies benefit from the scientists' expertise and the credibility that arises from having an NIH scientist conferring with them.

A few days after that article, the Washington Post's editorial board came out with a rather scathing [criticism](#) of the new ethics rules,

continued ...

calling them “overbroad, intrusive and unnecessarily punitive.”

At about the same time, Dr. Zerhouni was likely experiencing [some whiplash](#) from Congress, as the same congresspeople who had criticised the NIH for being asleep at the wheel suddenly came out saying that the new rule was too strict. Luckily for the NIH, Sen. Specter promised that the committee would be coming up with suggestions for how to fix the rules.

And about a day or 2 later, Dr. Zerhouni told the same committee that he agreed that some modifications were needed to the rules (in particular, the cap on stock holdings).

Interestingly, the LA Times’ editorial on April 11 said that Zerhouni should stick with the rules, arguing that without them, the credibility of the agency could be diminished and public faith lost.

And just last week, Michael Leavitt, the new Secretary of Health and Human Services, promised to look into the rules and see where some “softening” may be needed.

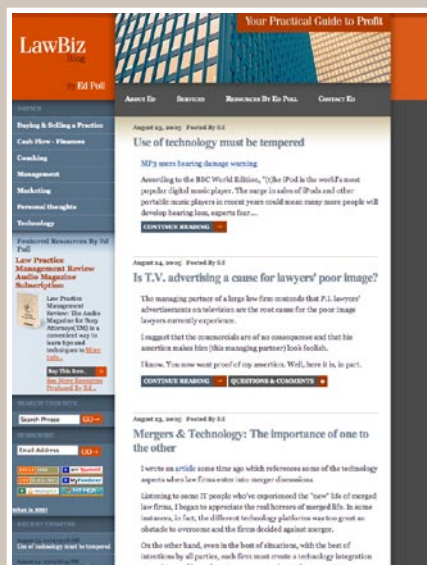
So where does this really leave us? Unfortunately, back in the legal morass of carve-outs and safe harbors. It seems to me that some of the rules are a bit too far-reaching—if an NIH researcher or staffer has absolutely nothing to do with a certain company’s product, it does seem silly to restrict their investing efforts. I just can’t imagine the nightmare that the Office of General Counsel, Ethics Division and the Office of Extramural Research will have to go through in sifting through the various forms to make sure that there are no such conflicts. It sounds like it would take a team of people just to fulfill that obligation (and, on top of a potential \$1.5 BN budget cut that would mean getting rid of 400 grants, that doesn’t sound too good).

Maybe they can streamline it by putting together categorical lists of what each regulated company develops and researches, and then send out a relevant list to everyone who works in a particular lab that says “Do you own stock in any of these companies? [List]” and then have them attest that whatever info provided is true and accurate, etc. etc. Send that out every year,

and pretty soon researchers start to learn what stocks they need to stay away from. Of course, then you might get screaming from the companies who want to protest which list(s) they are on and who is getting those lists.

In the end, it will be difficult to come up with a “perfect” solution. My theory is that the NIH went a bit harsher than needed on the interim final rule just so that when they adjusted, the rule was still fairly. It’s like negotiating a deal—one party starts a bit low, the other a bit high, each figuring they’ll come out somewhere in the middle.

LAWBIZ BLOG



Author(s):

Edward Poll

Author Bio:

As the principal of LawBiz Management, Ed is a nationally recognized coach, law firm management consultant and author. He practiced law on all sides of the table for 25 years—as a corporate general counsel, government prosecutor, sole practitioner, partner and law firm chief operating officer, and as a client.

Blog Bio:

Ed's blog posts are as casual and informal as a conversation over coffee. He's not afraid to voice controversial opinions. No matter what the topic, every LawBiz Blog post on finances, coaching, management or marketing never lose sight of "The Business of Law®."

Founding Date:

January 2005

Topics:

Coaching of lawyers, practice development for lawyers, selling a law practice, management of law practices, cash flow/finances for law practice

Succession Planning—Is It Possible?; Keeping Clients After a Lawyer Retires

Successful firms are more than just one successful lawyer and they should prepare for how best to serve a rainmaker's clients after he or she leaves active practice. Two separate posts address this issue.

Succession Planning—Is It Possible?

Most lawyers fail to plan for succession because i) they think they're immortal; ii) they live in a system (most law firms) in which they "eat what they kill" and therefore don't want to share; iii) most compensation systems do not reward "cross-selling" and therefore there is still less motivation to "share" a current client with the next-generation lawyer who might "steal" that client before the first attorney is ready to step away from active practice; and iv) most lawyers do not think in terms of building an organization that will have lasting value beyond their retirement/death.

In my work with lawyers, few actually believe they have something of value they can sell to another lawyer. They don't believe they have goodwill that can be transferred, thus there is even less willingness to share the current value of their attorney-client relationship, even with others in their own firm.

Those few law firms that actually think "system-atically" can create an institution of great value, value greater the sum of the individual parts. These few law firms have a mechanism, simple though it may be, of rewarding a lawyer for years of service by means of a "buy-out" or capital payout. These few law firms do understand that involving more lawyers in providing work for a client (sharing the client) allows the really great rainmaker to "create more rain" for the firm and bring in still more business.

Thus, by building the "book of business" involving other lawyers in the firm, there is less dependence on the one lawyer (even if he/she brought in the business) which makes succession easier.

And, by the firm keeping the "senior" lawyers engaged in the firm, doing goodwill kinds of things like "schmoozing" with clients, writing and speaking on behalf of the firm and continuing to bring in new business, the "old" lawyer won't be threatened by not having a specific "book of business" and will be more willing to pass off clients to other lawyers in the firm. That requires an "institutional" mentality, though,

continued ...

on the part of the entire firm.

to feed themselves and a platoon of associates,
demote them off the committee.

Keeping Clients After a Lawyer Retires

Question: How are clients kept with a firm when a lawyer retires?

And that's just for starters.

This is a classic and difficult problem for many law and professional firms. Typically 10% of the lawyers bring in 80% of the business. When the rainmakers hit 65, they slow down, and their referral sources retire. Meanwhile, the next generation of partners has been accustomed to inheriting business and has no marketing skills.

This is usually when I get a call.

Firms must start with the premise that clients are a firm asset, and not a partner's personal asset. I have advised law firms to:

- Have the rainmakers introduce younger partners to their client contacts.
- Build teams around the top 20 clients, and to let the client know they have a team.
- Actively start cross-selling the top 20 clients. For more info see Larry Bodine's webinar: [Best Practices Of Cross Marketing and Selling New Services To Clients](#).
- Create a business/strategic plan for the firm.
- Compose a strategic marketing plan built around the top industries in which the firm has clients.
- Train the lawyers to go after target businesses and have each lawyer compose a personal marketing plan. Those who don't make the effort have their pay docked at review time. Those who get results get bonuses.
- Don't make associates partners unless they have a book of business; don't hire associates unless they have business development skills.
- Require everyone on the management committee to be rainmakers. If they can't bring in enough business

LAWPUNDIT



Author(s):

Andis Kaulins

Author Bio:

Andis Kaulins: J.D. Stanford University Law School 1971; former Lecturer of Anglo-American Law, Legal Research and Legal Writing at the University of Trier Law School, Germany; co-author of the Langenscheidt and Routledge German-English, English-German Dictionary of Business, Commerce and Finance.

Blog Bio:

LawPundit comments and reports on all areas of law, life, humanity, politics and current events. LawPundit represents an independent political centrist view. We belong to no political party, adhere to no school of thought, and hold allegiance to no dogma or doctrine. We do not write for the masses, and we call them as we see them.

Founding Date:

October 1, 2003

Topics:

Law and Life in general, Internet Law, New Media Law, IP Law, Technology Law, Courts and Justice, The Use of Evidence inside and outside the Law

Microsoft Eolas Patent Case Remanded for New Trial

We have previously covered the Microsoft Eolas patent case in depth ([district court judgment in this case](#), the [Bonito Boats](#) precedent, the so-called [Eolas patent](#), and the [USPTO action](#) in the [Ex Parte Reexamination](#).)

We have viewed this case from the beginning as a paradigm example of the abuse to which patent laws are being subjected by companies and individuals patenting ideas, digital methodology, software and business methods. In our view, this issue is the most important matter being decided in law today, because it partially determines who will run the digital world of tomorrow. We must be extremely careful that monetary resources and power do not fall into the hands of simple opportunists, who are using flaws in our patent and copyright laws to try to enrich themselves at the cost of the populace without having contributed anything to the world from which they seek riches.

Not only is the United States Patent Office reviewing the Eolas patent (see the links above), but on March 2, 2005, in a case heard by the United States Court of Appeals for the Federal Circuit, in [EOLAS TECHNOLOGIES INCORPORATED and THE REGENTS OF THE UNIVERSITY OF CALIFORNIA v. MICROSOFT CORPORATION](#) Case Nr. 04-1234, the court affirmed-in-part, vacated-in-part and **remanded the case for a new jury trial**.

As Judge Rader, speaking for the Circuit Judges RADER, FRIEDMAN, and PLAGER, [writes](#):

“Because the district court improperly granted judgment as a matter of law (JMOL) in Eolas’ favor on Microsoft’s anticipation and obviousness defenses and improperly rejected Microsoft’s inequitable conduct defense, this court vacates the district court’s decision and remands for a new trial on these issues.”

If we use Judge Rader’s discussion of those particular issues as a guideline, Eolas has little chance of succeeding on retrial, since no jury will find for Eolas once these defenses are presented to them.

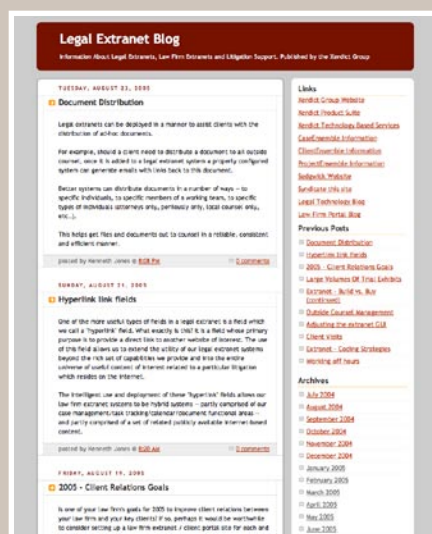
Eolas has invented nothing, but is trying to profit from the stupidity of our patent laws and the antiquated manner in which patents are still granted. Perhaps Eolas will ultimately add something to our world by its bad example, thus hopefully leading to more sensible patent legislation which makes it harder for this kind of nonsense to happen.

continued ...

Another and immediately important aspect of this case is that the parties had to split costs. Eolas is going to have to start to pay its own way in this world, and that will make its future increasingly and rightfully more difficult.

continued ...

LEGAL EXTRANET BLOG



Author(s):

Ken Jones

Author Bio:

Ken Jones is the Chief Operating Officer of the Xerdict Group LLC, a leading provider of collaboration products for law firms and corporate legal departments.

Blog Bio:

Information About Legal Extranets, Law Firm Extranets and Litigation Support. Published by the Xerdict Group.

Founding Date:

June 2004

Topics:

Legal extranets, collaboration, litigation support

Extranet—Selecting a Database Package to Build Your System

Building a legal extranet system—selecting technology?

One of the first considerations is probably which database platform to use. Hopefully those of you who have read this blog for a while can immediately rule out proprietary flatfile databases, leaving choices such as Oracle, SQL Server, DB2, and other open source options.

I, personally, like open source options but would be fearful of using them for legal applications. Law firms and their clients want bulletproof solutions and, for those reasons, I would recommend selecting a commercially available database package.

I think any of the three listed about could be good choices. DB2 is probably a bit too robust (and, this, not cost effective) for this type of relatively simple collaboration applications. Others may have different opinions, that is just mine, that this database is best used for very high volume, heavy transactional databases—and that it does a wonderful job in those areas.

SQL Server is certainly a strong choice. Of course, one would probably program using ActiveServerPages (ASP) on top of that. Integration with Internet Explorer is obviously excellent. If you have concerns about IE from a security perspective (or if your clients do), I'd be careful in unit and system testing my functionality against other browsers (more notably, Firefox) before deploying a system using these technologies. But, generally speaking, this certainly is a strong set of technologies to consider using.

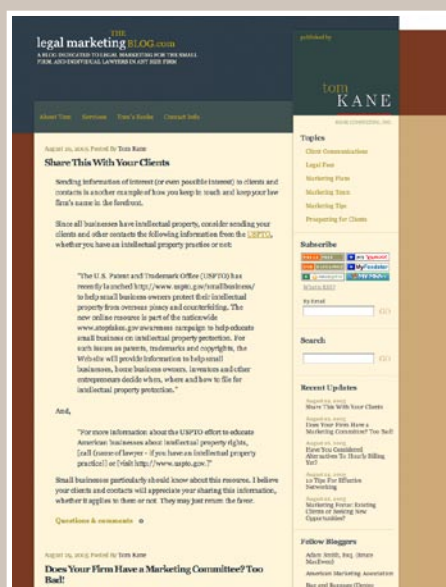
The Oracle database is also a strong choice. One could use a number of technologies to program against this (Java, PL/SQL to name a few). I think it is fair to say that, since databases are Oracle's core competency, it is probably a slightly stronger, scalable and bulletproof database package. That, however, is only an opinion and certainly others are entitled to their own opinions. But, whatever yours, it is clear that Oracle is also a very viable choice for a database engine for your legal extranet system.

Finally, although it is not the topic of this post, this database decision should be made in conjunction with your operating system and hardware decisions. For example, if one really wants to run their system using UNIX, the complexities and costs of SQL Server vs. Oracle are very different than those running a Windows on LINUX platform. I have

continued ...

worked in all three platforms, but since operating systems are not my core competency I will refrain from making comments on the pros/cons of each within this blog. It is however safe to say that one certainly must factor this element into one's technology decision making.

LEGAL MARKETING BLOG



Author(s):

Tom Kane

Author's Bio:

Tom Kane, a former practicing lawyer, has served as a law firm consultant and in-house legal marketer for the past 20 years. His firm, Kane Consulting, Inc., focuses on assisting small firms and individual lawyers in any size firm with planning, client feedback programs, and personal coaching.

Blog Bio:

A Blog Dedicated to Legal Marketing for the Small Firm, and Individual Lawyers in any Size Firm.

Founding Date:

January 5, 2005

Topics:

Law firm marketing tips, client communications, marketing plans, legal fees, marketing team, prospecting for clients

Most Effective Marketing for Lawyers

The following are my top 5 best practices for increasing your legal business.

Top 10 Marketing Tips: No. 1—Visit Your Client

The single most effective marketing technique which leads to immediate business in the vast majority of cases is to visit your client at their place of business.

This visit is not for the purpose of discussing a current matter you may be working on (unless client wants to, of course). The client should know that they are not being billed for the visit. Your purpose actually is multifaceted: relationship building, listening, learning, meeting others, and uncovering issues of concern. **The main point is to get into the client's workspace where their day-to-day problems are found, and for which you may be able to assist them.**

Such visits will not only enhance your relationship, but **it will almost certainly lead to IMMEDIATE work.** This has been validated many times over the years, and in my own personal experience as a sole practitioner. Many of the lawyers I have worked with in the past two decades confirm that 85–90% (okay, that's out of thin air, but it seems like that) of such visits result in immediate new business.

So, starting today, schedule a client visit or two. You will fast become a believer.

Top 10 Marketing Tips: No. 2—Entertain Your Client

Okay, I can hear all the "duhs" from here. If it is so obvious, why don't more lawyers do it? Clients are people too. In fact, entertainment is still one of the most effective one-on-one marketing techniques. It not only **allows quality time with a client, prospect or referral source**, but allows one to enhance a relationship on a highly personal level.

As a colleague of mine preaches, clients want to be loved. So, **building on the emotional bond between lawyer and client is very important for long-term relationships, and for what is even more effective from a business development viewpoint—a lasting friendship.**

continued ...

Top 10 Marketing Tips: No. 3—Seek Client Feedback Often

It continues to amaze many clients that more lawyers do not seek their feedback on the legal services provided. Over the years I have met with dozens of law firm clients, and heard often that they (1) welcome opportunities to provide feedback, (2) ask why the firm hadn't asked sooner, and (3) are surprised that more of the law firms they use have never asked.

A good time to ask clients for feedback on how your firm did, or is doing, includes at the conclusion of a matter, and on an annual or biannual basis. Clients are flattered to be asked, and most of the comments are very favorable (or they would be using another firm). Further, it is much **better to ask before the client leaves for another firm**, particularly if there is a problem that could be easily rectified.

Top 10 Marketing Tips: No. 4—Offer to Make Proposal

The idea involves looking for opportunities to demonstrate your expertise and land specific work. I am not referring to formal Request for Proposals (RFPs), although they obviously present opportunities as well. Those are more likely to involve competition which may or may not be a good thing.

Here I am talking about **asking for the opportunity to present your credentials on an issue or matter that has been identified** by the client (who may have used another firm for that work in the past), or a prospect where he or she has raised a problem in a conversation. In these cases, you could have the opportunity to present your expertise **without competing head-to-head with others.**

Top 10 Marketing Tips: No. 5—Communicate Often

As [stated](#) by James C. Turner, executive director of HALT, a national legal reform advocacy group in Washington, DC:

"One of the most frequent complaints his organization

gets is that "the basic communication between lawyers and clients is terrible." He cites one case where a client tried 13 times in a two-week period to contact the attorney. That's the type of situation that leads to mistrust and, ultimately, to a consumer fraud complaint."

Poor communication between attorney and client is also the most common reason clients file complaints with state bars. **A failure of communication is not only unwise from a grievance standpoint, it is just dumb marketing.** Even if the client may not need your services again, the client is likely to tell a number of people, who could be potential clients, about their unhappiness. That is one of the reasons I wrote [Letters for Lawyers: Essential Communications with Clients, Prospects and Others](#). (I know, I know – terribly self-serving, but what the heck I'm just trying to help the ABA sell more books).

There are scores of opportunities (in addition to keeping the client informed about their matter) to contact clients, referral sources and even prospects; and the more contacts made the better. **The best way to communicate would be with handwritten notes, next letters and lastly e-mails.** Obviously, they are in reverse order of ease of accomplishing, but think about what impresses you the most. E-mails have become an annoyance to many, and not as personal in my view. **The important thing, however, is constant communication.**

The other five among my Top 10 Marketing Tips can be found at www.LegalMarketingBlog.com.

LIKELIHOOD OF CONFUSION



Author(s):
Ronald Coleman

Author Bio:

Ronald Coleman is a lawyer, an alumnus of many large firms and founder of his own small one, and a writer. Ronald was a contributing editor of the ABA's Student Lawyer magazine and also wrote for the ABA Journal, for which he wrote the first article on Internet law in 1995. He is also general counsel of the Media Bloggers Association.

Blog Bio:

Likelihood of Confusion offers comments on developments in trademark, copyright, Internet law and the First Amendment, Ronald Coleman's areas of expertise and law practice, frequently from a contrarian point of view, and usually with some pale attempt at humor.

Founding Date:

January 1, 2005

Topics:

Trademark, copyright and free expression

Online "Freedom of Speech Carveout" Bill and the Blog Privilege

[Instapundit](#) points to [RedState.org](#), which reports on the "Online Freedom of Speech Act" that was introduced in the House:

"Today in the House of Representatives, Congressman Jeb Hensarling (R-TX) introduced a companion piece of legislation to Senate Minority Leader Harry Reid's bill (S.678) to exclude the Internet from the definition of 'public communication' in the Bipartisan Campaign Finance Reform Act of 2002."

Glenn Reynolds [thinks](#) we should all "get behind" it. It's hard to disagree, at least in the narrow sense that it would exempt the Internet from Federal Election Commission Rulemaking under under McCain-Feingold.

But. In a way, I can't think of anything worse.

I am in an alumni discussion group where a friend was just arguing, somewhat pedantically, that "it's not unconstitutional until a court says it is." Well, McCain-Feingold is unconstitutional, and [I say it is](#). (I'm [hardly](#) the only one.) Right now blogs and other Internet media are the most dynamic and, arguably, influential voices of democratic commentary and exercises of real free speech. That may not always be so, as hard as it is for bloggers and the like to [recognize](#) that.

For example, consider that websites on the Internet are *broadcasts*. You build it and—maybe—they will come. The Internet is increasingly becoming, however, a conduit for "narrowcasting"—the delivery of individually customized content. Will the "Internet exception" apply then? Well, under the proposed new language—"Paragraph (22) of section 301 of the Federal Election Campaign Act of 1971 (2 U.S.C. 431(22)) is amended by adding at the end of the following new sentence: 'Such term shall not include communications over the Internet'"—maybe it would. Maybe. But we neither know what form tomorrow's free speech will take, nor how yesterday's free speech may or may not yet be adapted to become a "communication over the Internet."

In fact, there is no principled reason to exempt the Internet from these provisions. If Harry Reid weren't so [highly principled](#), I would think he's merely trying to curry favor with the Blogosphere. But in fact, he's doing something slightly different, and worse: He's offering a separate peace so that the repressive McCain-Feingold laws, [bought and paid](#)

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[for](#) by partisan groups with a partisan agenda, can live on.

I am not so sure we should “get behind” this law and thereby take the pressure off the Net and the bloggers, who are the ones who should be fighting the good fight to rid all media of the special treatment given to “the press” for its commercial speech (called “news” and “editorial” content).

That doesn’t mean I’m not in favor of bloggers getting the same benefits—and responsibilities—as “journalists,” [as I have argued before](#) , and today, too, in [commentary](#) on Corante to a posting by Alex Wexelblat. [I am](#). I just think everyone should get them—or get them back. Everyone. And I am afraid that if the pressure is off bloggers, we’re more, not less, likely to continue down the path to free-speech hell.

MAULED AGAIN



Author(s):

Jim Maule

Author Bio:

Professor Maule (B.S. cum laude, Wharton School, University of Pennsylvania, J.D. cum laude, Villanova University School of Law, LL.M., highest honors, George Washington University National Law Center) is on the Villanova University School of Law faculty. His research and teaching interests include federal taxation, computers and law, wills and trusts, and First Amendment.

Blog Bio:

Prof. James Edward Maule's more than occasional commentary on tax law, legal education, the First Amendment, religion, and law generally, with sporadic attempts to connect all of this to genealogy, theology, music, model trains, and chocolate chip cookies.

Founding Date:

February 3, 2004

Topics:

Tax law, legal education

Truly, Tax Is Everywhere

I surrender. I can no longer resist commenting on some news from several weeks ago. It's an excellent example of tax policy run amok. Full credit to Paul Caron of the [TaxProfBlog](#) for picking up on this story and alerting us to it.

Denmark has an income tax. It excludes from taxation income earned by men who donate sperm to sperm banks. Stop. What's the reason for this exclusion? To encourage sperm donation? What's next, a deduction for purchasing chocolate?

Danish officials see the light. According to stories reported by the [BBC](#) and Reuters, the Danish government plans to revoke the exclusion. Good tax policy, as suggested by this [Tax Foundation report](#) on the story, demands that the source of income should not affect its taxation.

Denmark is home to Cryos International Sperm Bank, one of the world's biggest. It objected to the requirement that it report information about the men to whom it pays \$85 for each donation. The term "donation" is misleading, of course, because when a person gets paid for transferring something, it isn't a donation.

The issue affects about 160 men, down from 250 five years ago. Most are students. Cryos, which earns about \$1,700,000 a year, which presumably is taxed, assists in generating about 1,000 pregnancies each year. For Cryos, the concern is that its source of product will "run dry." Interestingly, only three years ago, [Pravda](#), yes, Pravda, was reporting that there were *too many* sperm donors in Denmark.

So Cryos argues against revocation of the exclusion. Its argument is simple. "It is a special kind of work and the fees paid cannot be compared to normal working income." Huh? Are the rest of us NOT engaged in special work? Should governments restrict income taxation to normal working income and exclude abnormal working income? Can we make a list of abnormal jobs?

Cryos claims that taxing the fee would cause 93% of current "donors" to stop participating. The reason isn't the money, but the privacy concern arising from the government learning the identities of the men, who fear being sued for child support. Huh? Danish law permits the sale of sperm but doesn't insulate the sellers by maintaining anonymity? Yes, but some politicians and activists have proposed abolishing anonymity to remove an objection to making artificial

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insemination available to lesbians, namely, that a child should have a mother and father.

So if the anonymity protection for sperm sellers is removed, would it matter that the payor would be reporting names and income to the government? So perhaps this isn't as much a tax problem as a cultural, social, moral, and theological problem. Hold on. Most tax issues are cultural, social, moral, and theological problems in disguise.

Such is the case here. According to this [New York Times report](#), there are laws that limit the number of children that a sperm donor can "father." The reason for the limit is to reduce the risk of accidental incest. So the United Kingdom caps it at 10, Denmark at 25, and the United States uses a more complex limit of "25 births for each donor within a population of 800,000." Yet one man, a Cryos client, has sired (interesting word) 101 children, a fact that even he does not know. Egads, if he and his children keep up that pace, in 300 years half the world will be his descendants. It took 1200 years for Charlemagne's descendants to reach some much lower fraction of the population.

Does society want this? Perhaps. Perhaps not. Yet it is safe to predict that the *tax laws* will end up being implicated to put the policies, whatever they are, in place. There already exist several tax incentives for adoption. What's next for the tax law in the world of reproduction policy? I have no clue. That's part of what makes tax fun, at least sometimes. Yes, the thrill of not knowing what surprises are around the next legislative corner.

MAY IT PLEASE THE COURT



Author(s):

J. Craig Williams

Author Bio:

The author of May It Please The Court, J. Craig Williams, first started writing with crayons, then pencils and pens and just recently graduated to a Royal typewriter. But now, now his fingers are practically glued to a keyboard, except when he's defending businesses in front of juries.

Blog Bio:

The May It Please The Court weblog covers legal news and commentary, and is an affiliate of the Law.com Blog Network.

Founding Date:

August 4, 2003

Topics:

Legal news and commentary, focus on business litigation, insurance and environmental topics

Environmental Audits: Burying Your Head in the Sand Or Discovering What's Out There

You're thinking about starting an [environmental audit](#), but you're not sure that you want to know [what's there](#). If you start and find something you didn't want to find, [do you have to tell?](#) More important, [do you have to pay](#) fines and penalties? What about the possibility of criminal indictments arising from unauthorized releases or spills you discover?

As you would expect, [there's more to it than that](#). Sure, there are endless possibilities of things that can happen if you stick your head in the sand. But what you're trying to do is avoid all of those consequences, and you want to find out what's out there on your property, in the water, air, sewer, storm water and waste streams. Before those people who control the [consequences](#) find out.

It's better to start looking, and start now. How do you look and avoid those consequences at the same time? Use your favorite attorney and your favorite environmental consultant, and invoke "the privileges." That way, you can get things corrected beforehand, avoiding the consequences altogether, while remaining a good corporate citizen. The privileges vary in form, so check locally.

Approximately 26 [states](#) have [audit privileges](#). Some of those statutes are based on the "Environmental Audit Privilege" bill, originally written by Coors corporation and circulated by the American Legislative Exchange Council ([ALEC](#)) to the state legislatures. California has a [policy](#), which became final in [July 1996](#) and was later amended in 1998, essentially requiring self-disclosure. The self-disclosure agreements with California and the USEPA dramatically reduce fines and penalties if you undertake self-disclosure, including the waiver of gravity-based penalties (see [Section D](#) of the USEPA policy for the requirements).

There are a number of bandwagons you can jump on, including the [ISO 14000](#) one. Keeping it simple, however, there's [the attorney work-product privilege](#), which in conjunction with several other privileges, allows an outside attorney to retain an outside environmental consultant to perform an environmental audit, as long as certain conditions are met. The consequences are what's important: the information discovered is protected from disclosure, unless you are required by an environmental statute to report a release.

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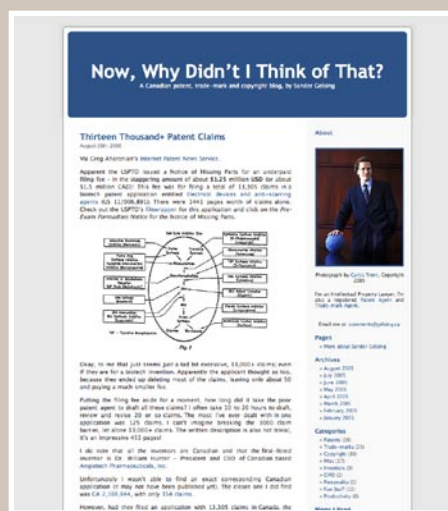
The conditions? Conduct the audit “in anticipation of litigation,” if appropriate. Perform the audit at the written request of your company’s outside attorney. Use an outside consultant engaged through and under the supervision of an attorney. Involve the attorney in all audit-related meetings between the consultant and company. Label each draft as “Draft” on every page, and destroy the draft as soon as the final report is finished. Label each page of reports with “Attorney-client Privileged,” “Attorney-work Product,” “Self-evaluation Privilege” [Bredice v. Doctors Hospital, 50 F.R.D. 249 (D. D.C. 1970), Webb v. Westinghouse Electric Corp., 81 F.R.D. 431 (E.D. Pa. 1978) and Reichhold Chemicals, Inc. v. Textron, Inc., 157 F.R.D. 522 (N.D. Fla. 1994)] and, if appropriate, “Prepared in Anticipation of Litigation.” Check your [local state listings](#) for language that may be appropriate in your state. This language should work in California.

Otherwise, keep the report as general as possible. Segregate factual data from recommendations. Generate any analysis in a separate document. Limit access to the report to the audit team. Give managers responsible for compliance a separate list of items that may need their attention without any factual data or analysis. Provide only limited disclosure to the Board of Directors, and keep that description as basic and general as possible. Secure the final report and do not leave copies available within the company, preferably keeping the information on a database available only through the company’s consultant.

The self-disclosure benefits are worth a look, and your consultant and attorney can advise you on the merits of those [programs](#). In the meantime, keep your head out of the sand and your eyes on the ball.

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NOW, WHY DIDN'T I THINK OF THAT?



Author(s):

Sander Gelsing

Author Bio:

Sander Gelsing is a Canadian lawyer and a registered Canadian patent and trademark agent. He helps inventors and companies with patent, trademark and copyright issues. He also assists foreign associates with their Canadian filings. Mr. Gelsing currently practices with the law firm of Sisson Warren Sinclair.

Blog Bio:

This creatively named blog covers the latest in Canadian patent, trademark and copyright issues. Legal developments in the areas of copyright file-sharing, patentable subject matter and functional trademarks are among the more prominent postings. As far as the author is aware, it is the only Canadian IP blog currently going.

Founding Date:

January 24, 2005

Topics:

Canadian Intellectual Property, fun trademarks and patents occasionally

Nescafe Model Awarded Millions for Two-Hour Photo Shoot

My wife pointed this out to me yesterday. Apparently former model [Russell Christoff](#) did a two-hour photo shoot for Nestle USA in 1986. Nestle doesn't tell him that it used his image on the Taster's Choice coffee jars. Then sixteen years later, in 2002, Mr. Christoff sees the jar for the first time. He sues Nestle and is awarded [US\\$15.6 million dollars](#). Wow, that is some hourly rate!

Apparently he stumbled across his likeness on a coffee jar while shopping at a drug store a couple of years back. The reason for the delay in noticing his image was: "I don't buy Taster's Choice, I do beans".

Come on, I "do beans" too, yet I instantly recognized the unique shape of the Taster's Choice jar. Even his mug on the Nestle jar looks familiar. Perhaps it is because I go to grocery stores and even walk down the coffee aisle (I pickup my coffee filters there). Maybe it was from print ads or even television ads. It also makes you wonder why the guy's family or friends never came up to him and said "Hey Russel, I saw your face on the Taster's Choice jars".

At any rate, in Canada I can see Mr. Christoff having a somewhat harder time with his case. One reason for this is that the law regarding misappropriation of personality is still being developed and therefore somewhat uncertain. Currently the right of an individual to control the use of his or her persona, and to commercially exploit their personality, is protected by a combination of Privacy statutes and common law decisions.

To be successful, the plaintiff should probably establish that the defendant *intentionally* appropriated his or her persona for gain. The plaintiff should also try to prove that his or her image is *sufficiently known to the public* and that the public can identify the plaintiff as a celebrity (probably hard to do for Mr. Christoff, Tim Horton on the other hand...).

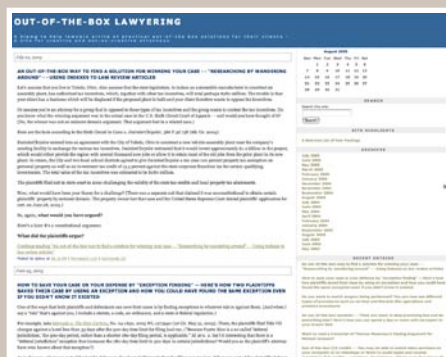
Even if successful, the measure of damages for a wrongful appropriation of personality is a *lost user fee*, that is, the amount that the plaintiff would have received had his permission been given. In one case, the damages awarded were a mere \$500 (and that is Canadian dollars).

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Some relevant Canadian cases includes: *Athans v. Canadian Adventure Camps Ltd.* (1977), 17 O.R. (2d) 425 (Ont. H.C.), *Joseph v. Daniels* (1986), 4 B.C.L.R. (2d) 239 (B.C. S.C.), and *Dubrulle v. Dubrulle French Culinary School Ltd.* (2000), 8 C.P.R. (4th) 180).

continued ...

OUT-OF-THE-BOX LAWERING



Author(s):

Adolph J. Levy

Author Bio:

Adolph J. Levy is a solo practitioner who started in 1983 speaking to attorneys on computer topics and demonstrating online databases using a 300-baud acoustic coupler. He has given lectures and workshops on “Creative Legal Problem Solving Techniques” and on “Winning the Unwinnable Case: What to Do When the Law Looks Like It Is Against You.”

Blog Bio:

This blog is about out-of-the-box lawyering. It's about legal creativity—how lawyers come up with unusual solutions in their practices. It's also about how you the reader can use these and other “out-of-the-box” problem-solving and legal-research techniques to solve your problems when what you learned in law school isn't working.

Founding Date:

May 30, 2003

Topics:

Legal creativity, problem solving, legal research

An Out-of-the-Box Way to Find a Solution for Winning Your Case—“Researching by Wandering Around”—Using Indexes to Law Review Articles

Let's assume that you live in Toledo, Ohio. Also assume that the state legislature, to induce an automobile manufacturer to construct an assembly plant, has authorized tax incentives, which, together with other tax incentives, will total perhaps \$280 million. The trouble is that your client has a business which will be displaced if the proposed plant is built and your client therefore wants to oppose the incentives.

Or assume you're an attorney for a group that is opposed to these types of tax incentives and the group wants to contest the tax incentives. Do you know what the winning argument was in the actual case in the U.S. Sixth Circuit Court of Appeals—and would you have thought of it? (No, the winner was not an eminent domain argument. That argument lost in a related case.)

Here are the facts according to the Sixth Circuit in *Cuno v. DaimlerChrysler*, 386 F.3d 738 (6th Cir. 2004):

DaimlerChrysler entered into an agreement with the City of Toledo, Ohio to construct a new vehicle-assembly plant near the company's existing facility in exchange for various tax incentives. DaimlerChrysler estimated that it would invest approximately \$1.2 billion in the project, which would either provide the region with several thousand new jobs or allow it to retain most of the old jobs from the prior plant in its new plant. In return, the City and two local school districts agreed to give DaimlerChrysler a ten-year 100 percent property tax exemption on personal property as well as an investment tax credit of 13.5 percent against the state corporate franchise tax for certain qualifying investments. The total value of the tax incentives was estimated to be \$280 million.

The plaintiffs filed suit in state court in 2000 challenging the validity of the state tax credits and local property tax abatements.

Now, what would have been your theory for a challenge? (There was a separate suit that claimed it was unconstitutional to obtain certain plaintiffs' property by eminent domain. The property owner lost that case and the United States Supreme Court denied plaintiffs' application for cert. on June 28, 2005.)

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So, again, **what would you have argued?**

Here's a hint: It's a constitutional argument.

What did the plaintiffs argue?

They argued that the tax scheme violated the Commerce Clause of the United States Constitution and the Equal Protection Clause of the Ohio Constitution because the incentives discriminated against interstate commerce by granting preferential treatment to in-state investment.

What was the result?

The U. S. District Court, to which the defendants removed the case from state court, dismissed the complaint for failure to state a claim. The Sixth Circuit reversed, holding that the investment tax credit violated the Commerce Clause. However, it also held that the property tax exemption did not violate that clause.

The court further held that none of the incentives violated the Equal Protection Clause of the Ohio Constitution.

Various parties, including plaintiffs and DaimlerChrysler, have now applied for cert.

How did the plaintiffs come up with that winning Commerce Clause argument?

I recently had a telephone conversation with Peter D. Enrich, a law professor at Northeastern School of Law. Prof. Enrich was on the plaintiffs' brief to the Sixth Circuit and argued the case to that court. In addition, he is the author of a 1996 article in the *Harvard Law Review*, "Saving the States from Themselves: Commerce Clause Constraints on State Tax Incentives for Business," 110 *Harvard Law Review* 377 (1996). (More of his articles are listed in Northeastern's site at <http://www.slaw.neu.edu/faculty/scholar.htm>.)

According to Professor Enrich, someone from the plaintiffs' side contacted Ralph Nader, who had had a long-standing relationship with activists in Toledo, where the plant was to be built. Mr. Nader knew Enrich and his tax incentive article, and got him involved in light of his Commerce Clause argument. The rest, as they

say, is history.

How could you have "discovered" or have been reminded of the winning argument?

Would you have automatically thought of or remembered the Commerce Clause argument? If not, this posting may help you win what may have *looked like* a losing case. It may also help you win other "losing" cases.

Here's one way. I call that way "**Research by Wandering Around.**" I previously wrote about another example of that type of research when I wrote about "exception finding" and how to find exceptions to whatever rule is against you. See <http://www.outoftheboxlawyering.com/archives/000099.html>.

Well, here's another example of "Research by Wandering Around," and it involves looking for law review and other articles that potentially involve your issue and just seeing what you might see. (It's also another example of Edward deBono's *Lateral Thinking*. See <http://www.outoftheboxlawyering.com/archives/000002.html>.)

In my "wandering around," I went to the 1997 volume of *Current Law Index*, which indexes, with topics and subtopics, over 900 law review and other law-related journals and publications. (The index is also online with at least Lexis and Westlaw under the online name Legal Resource Index. The same type of searching that I describe below could be done with the computer version. I went to the 1997 index volume because the case was from around that period.)

In the print version, I went to the various "Tax" topics and just started looking. I found the following article under "Tax Abatement":

Saving the states from themselves: **Commerce Clause** constraints on state tax incentives for business, by Peter D. Enrich, 100 *Harvard Law Review* 377-468, Dec. '96. (Emphasis has been added in this and the following citations; the format of the citations is roughly in the *Current Law Index* format.)

(You probably noticed that that's a Commerce Clause article by Professor Enrich. So you could have found him

continued ...

yourself without knowing Ralph Nader.)

In addition to the Enrich article, this is some of what I found under the topic "Tax Incentives":

Virginia's pro-business climate: a study of tax and business incentives in Virginia, by Evelyn L.T. Brown, 15 *Journal of State Taxation* 33-50, Spring '97 (With that State Taxation title, that could be an interesting journal to look into for additional articles that might also be helpful)

Tax incentives: to have or to have not, by Lawrence Kramer, George Denis, Steve Weitzer and Jenifer Young, 15 *Journal of State Taxation* 1-10, Winter '97 (There's that journal again.)

Saving the states from themselves: **Commerce Clause** constraints on state tax incentives for business, by Peter D. Enrich, 100 *Harvard Law Review* 377-468, Dec. '96 (This topic is another way you could have found Prof. Enrich's article.)

Since you would be opposing not only general tax incentives, but specifically state tax incentives, I went to the "State taxation" topics to see what might be helpful. There, under "Laws, regulations, etc.," among other tax incentive articles, I found the following possibly valuable article:

State tax competition and Congressional commerce power: the original prudence of concurrent taxing authority, by James R. Rogers, 7 *Regent University Law Review* 103-144, Fall '96.

But, under the "Litigation" subtopic, I found another potentially useful article:

Commerce Clause restraints on state taxation after *Jefferson Lines*, by Walter Hellerstein Michael J. McIntyre and Richard D. Pomp, 51 *Tax Law Review*, 47-114 Fall '95. (So here's another article that even has "Commerce Clause" in the title.)

Thus, by "wandering around," there are several ways that you could have discovered or, perhaps, been reminded of a winning constitutional argument that you might not have otherwise considered.

PATENT BARISTAS



Author(s):

Stephen Albainy-Jenei and Karlyn Schnapp

Author Bio:

Stephen Albainy-Jenei and Karlyn Schnapp are patent attorneys with Frost Brown Todd LLC. They handle a diverse intellectual property practice working chemical, pharmaceutical, biotechnology and emerging growth companies to brew up intellectual property protection and technology transactions. They both have been designated "America's Leading Business Lawyers" by Chambers & Partners.

Blog Bio:

With a FRESHLY-BREWED look, Patent-Baristas.com is stirring up a buzz in the patent law world. Providing news and commentary on intellectual property law from the biotechnology and pharmaceutical fields, Baristas Stephen Albainy-Jenei and Karlyn Schnapp are your hosts.

Founding Date:

October 1, 2004

Topics:

Intellectual property, biotechnology, technology business

Misconduct (and Not Just Scientific) Is a Problem for Everyone

There has been a lot of [reporting](#) of allegations of misconduct by U.S. researchers. [The Department of Health and Human Services](#) received 274 complaints—50 percent higher than 2003 and the most since 1989 when the federal government established a program to deal with scientific misconduct. The federal [Office of Research Integrity](#) closed only 23 cases last year and, of those, eight individuals were found guilty of research misconduct. In the past 15 years, the office has confirmed about 185 cases of scientific misconduct.

More disturbing, however, a survey published June 9 in the journal *Nature* shows about 1.5 percent of 3,247 researchers who responded admitted to falsification or plagiarism. (One in three admitted to some type of professional misbehavior.) This doesn't seem to be new—in 1974, Dr. William Summerlin, a researcher at Sloan-Kettering Cancer Institute, used a marker to make black patches of fur on white mice in an attempt to prove his new skin graft technique was working. It's just hard to tell, though, how much bad acts are increasing or just increasingly being found/reported.

Not to let anyone off the hook but there is a tremendous amount of professional pressure to publish papers and do more work in the academic setting than ever before. One researcher testified that he was working 80 to 90 hours a week, seeing patients two days a week, doing surgery one day a week, supervising medical residents, serving on as many as 10 different committees at the hospital and the medical school and putting on national medical conferences. He sought help from a psychiatrist who counseled him to cut back and from his boss who demanded he increase his research and refused to reduce his patient load (Gee, I think I know him).

While there are often many reasons cited, e.g., mental disorders and the like, it still all comes down to character. But not just the character of the researchers involved in the studies. What we have is a system that grinds people into the ground and then recoils as (horrors! gasp!) someone cracks under the strain.

Everyone is so quick to damn the individual researcher (and we should) but no one seems to be willing to indict their co-conspirators. The university administration that sets up a publish or perish environment; the requirement for more and more grants to support more and more (slave) students; the demanding federal grant

continued ...

application process. And even the whistleblowers tend to be punished instead of “upper management”—who get to turn a blind eye to the consequences of the system, all the while reaping the benefits of increased output.

Noteworthy is that the [National Institutes of Health](#) is [currently being asked](#) to explain why one of the agency’s scientists was fired after he complained about poor scientific practices within his division and inappropriate unprofessional conduct from his supervisor.

But, this practice is certainly not constrained to the research field. With billable hour requirements exceeding 2000 hours (and many associates required to bill as many as **2400 hours** annually in order to achieve the highest compensation levels) there can be a culture of “work or die” in a law firm just as intense as anywhere. The problem, of course, is that there are only so many billable hours in a day and increased pressure on associates (or any attorney, doctor, or other professional) to bill hours may, in turn, increase the temptation to engage in unethical billing practices, such as inflating the hours actually spent on tasks, euphemistically referred to as “padding.”

Chief Justice William H. Rehnquist once observed, “if one is expected to bill more than two thousand hours per year, there are bound to be temptations to exaggerate the hours actually put in.” *The Legal Profession Today*, 62 IND. L.J. 151, 155 (1987). Yet about a quarter of all partners and half of all associates are now billing more than 2000 hours per year.

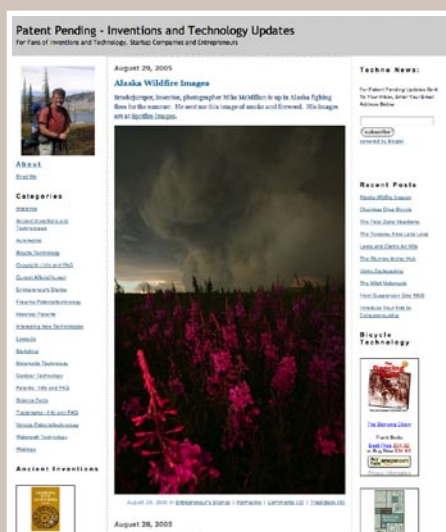
This is not just a misconduct question here. This relates to quality of life for professionals as well as their communities. Do we want professionals to be well-rounded individuals capable of contributing to society at all levels or do we want billing machines? I guess we could all be like as one partner in one of Chicago’s largest and most prestigious firms who recorded an average of 5941 billable hours per year for four consecutive years. Karen Dillon, 6,022 Hours, *Am. Law.*, July/Aug. 1994, at 57. If we assume that 70% of work time is converted into billable hours, this lawyer needed to work 23.3 hours per day, 365 days a year.

Unfortunately, everyone is being asked to do more and more but no one asks where “more” comes from. When I was growing up, my father worked all the time (including his one week of “vacation”). He was lauded as a hero for working hard. Now, we’re supposed to work even harder at work while also working more at home and elsewhere. More time at ballgames, dance lessons, school programs, and everything else we’re told we need to do to be good citizens. There is such a thing as too much.

Let’s hope that we hold the rule makers as accountable as the rule breakers.

More [here](#).

PATENT PENDING



Author(s):
Robert Shaver

Author Bio:

Robert Shaver went to law school at age 43, and worked in industry as a scientist before that. After law school graduation in 1995 he went to work at a Boise patent law office, and in 1999 formed a partnership with Frank Dykas. The firm, now called Dykas, Shaver, and Nipper LLP, does patent, trademark, and litigation work for clients all over the country.

Blog Bio:

Patent Pending is about the history of technology of all kinds. It has posts on the technologies of ancient peoples, firearms, bicycles, automobiles, airplanes. In addition to technology and patents, there are posts about entrepreneurs and advice for startup companies.

Founding Date:

October 1, 2004

Topics:

History of technology, patent information for inventors, business information for inventors

iMagic Software Makes Passwords "Trustable"

We are all familiar with passwords, and most of us use them every day ... or many times a day... in fact most of us are swimming in passwords. We use passwords to identify ourselves – on Yahoo!, or on classmates.com, or MSN, or match.com... we visit lots of websites that require a username/password and probably few of us are too worried about someone pretending to be us on these sites. But what about our on-line banking and brokerage accounts? Where people can actually make trades or transfer money? Or for guarding personal and private healthcare information... To name just a few... Are we comfortable with just a password here? Wouldn't it be nice if *only you* could use your passwords?

The big problem with passwords is that they are , for the most part, easy to guess or compromise—and once someone knows your password they *are* you! Because of this, businesses require their employees to use cryptic passwords and change them every month or two. It is a big problem and getting bigger every day. It is an expensive problem too.

Passwords are like the cave in Ali Baba—anyone who knows the magic word gets in. Wouldn't it be nice if we could improve that magic a bit and, in addition to recognizing the magic word, we could also recognize the speaker? This is the heart of iMagic Software's Trustable Passwords product technology—Trustable Passwords can recognize people by the way they type – meaning by looking at rhythms and patterns Trustable Passwords can authenticate the legitimate user—much like a fingerprint but using just a standard keyboard and normal passwords. Trustable Passwords truly works—and it is a revolution in authentication and security.

iMagic Software was founded in 2002 by Steven L Bender and Howard J Postley in Santa Barbara.

Trustable Passwords is based on Steve and Howard's breakthrough recognition methods and is patent-pending. Trustable Passwords is a significant advance over the prior art, usually called "keystroke dynamics" and represented by the BioPassword product, which has been in the market for more than a decade and a half with little success. "People have been trying to solve the problem of human authentication by typing patterns for more than 50 years—since the radiomen of WWII used distinctive rhythm signatures to recognize and authenticate their counterparts using Morse code", said Mr. Bender, "Trustable Passwords is the first technology which works in the broad

continued ...

sense and can be implemented across major enterprises.”

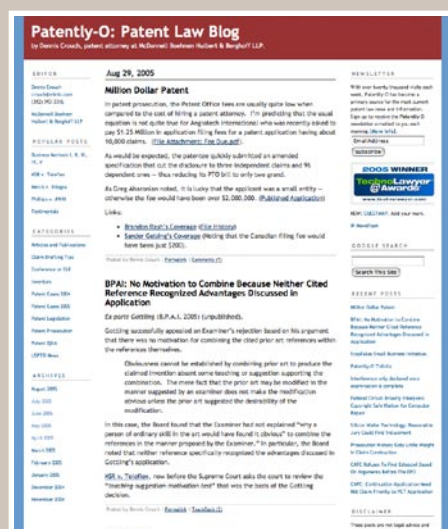
iMagic Software is now delivering Trustable Passwords to its first customers—famous major health systems with many thousands of doctors, nurses, and other care-givers, with critical data to protect. When someone logs onto a medical workstation, Trustable Passwords validates that they are in fact the authorized, legitimate user—while denying access to any imposter—even if they know the real correct password.

Mr. Bender has had a long and successful career in the software business. Steve has run several major companies, started several software businesses, and is responsible for numerous successful products—the most recent of which prior to Trustable Passwords was Genuine Fractals, a Photoshop plug-in for graphic professionals which has sold millions of copies and is the gold standard for commercial image resizing. Mr. Bender has a MBA from USC and is the recipient of numerous industry awards for achievement.

Mr. Postley has also had a long and successful career in the software business. Howard is a veteran of multiple software start-ups, as well as, working in premier jobs for some of the world’s largest and most successful companies. Most recently before founding iMagic Software, Howard was the Chief Technology Officer for the Information, Communications, and Entertainment Division of PricewaterhouseCoopers Management Consulting Service. Howard has won numerous industry awards for achievement, including an Emmy for technical excellence.

iMagic Software is privately held and financed.

PATENTLY-O: PATENT LAW BLOG



Author(s):
Dennis Crouch

Author Bio:

Dennis Crouch is a practicing patent attorney and contributing author to the patent law treatise "Patent Application Practice" (West). Dennis spent two years as a Peace Corps Volunteer in Ghana, West Africa where he had both the best and worst experiences of his life. He has a BSE from Princeton (cum laude) and a JD from the University of Chicago (cum laude).

Blog Bio:

Patently-O is focused on providing the most current analysis of patent law issues written from the perspective of a patent attorney. The blog is well regarded and visited by thousands each day for its concise, accurate and unique perspective.

Founding Date:

April 6, 2004

Topics:

Patent law, tips and analysis

Patent Tips for a Small Business with Grand Ideas; Aesthetically Pleasing Patent Found Indefinite

Patent Tips for a Small Business with Grand Ideas

Many small business owners have thought of becoming more aggressive in protecting their intellectual property rights. Although attorney's fees are always expensive, patent rights have become more important with each passing year. For many companies, a patent portfolio serves as a type of insurance that has small chance of having a great potential upside.

Here are a few tips for those getting their feet wet.

1. If someone at your company has an idea that may be patentable, act quickly. You can lose rights by disclosing the idea publicly or by offering it for sale before filing for a patent application. This type of disclosure can even occur before you make any engineering drawings or working models.
2. Try to keep records that help establish the novelty of the invention and the date of conception. This evidence may be important at a later date—especially if there is any delay in filing for patent protection.
3. Before you hire a patent attorney, bone up on the subject—Read the book "*Patents and How to Get One*." It is very short and is a great book to read on your next business trip.
4. Retain a patent attorney to discuss your issues, to help you decide whether to file any patent applications, and then to help with the preparation and prosecution of the patent applications. Even if you are only filing a single patent application, the relationship with your patent attorney will likely last many years. Thus, it is important to find a patent attorney and law firm that you can trust and that are comfortable with. Get references.
5. When thinking about your potential inventions, remember that you can obtain patents on devices as well as methods. Methods, for example, may include methods of manufacturing an item, methods of doing business, methods of using a device, and process flow methods that describe the flow of data in a piece of software. (Merely a few examples.)

continued ...

These tips are valid for almost any company that is starting down the road of patenting. However, every case is different. You should raise any concerns with your attorney.

Once you have applied for several patents, you will then begin to think about patent portfolio management, licensing and other forms of patent enforcement. However, that discussion is for another day.

Aesthetically Pleasing Patent Found Indefinite

Datamize v. Plumtree Software (Fed. Cir. 2005)

The CAFC has affirmed a district court's summary judgment of invalidity—finding that the claim term “aesthetically pleasing” to be indefinite under the second paragraph of 35 U.S.C. § 112.

Section 112 provides that the “specification shall conclude with one or more claims particularly pointing out and distinctly claiming the subject matter which the applicant regards as his invention.”

Generally, the court warns against applying the indefiniteness provision to invalidate a patent.

“If the meaning of the claim is discernible, even though the task may be formidable and the conclusion may be one over which reasonable persons will disagree, we have held the claim sufficiently clear to avoid invalidity on indefiniteness grounds.”

However, the Appellate Panel found that Datamize's arguments “fail to persuade [the Court] that ‘aesthetically pleasing’ can be given any reasonable meaning.

Affirmed—“Aesthetically pleasing,” as used in the independent claim, fails to “particularly point out and distinctly claim the subject matter which the patentee regards as his invention.

PHOSITA



Author(s):

PHOSITA is written collaboratively by a group of lawyers at Dunlap, Coddling & Rogers of Oklahoma City.

Author Bio:

The primary contributors are Doug Sorocco and Melody Wirz. Doug is a director and shareholder, and the founder and editor of PHOSITA. Melody is an associate who has been authoring posts since August 10, 2004.

Blog Bio:

In patent law, PHOSITA is a mythical person of ordinary skill in the art. In order to be patentable, an invention must not be obvious to PHOSITA. This blawg aims to provide intellectual property information, news and advice that is of interest to the PHOSITA in all of us.

Founding Date:

January 16, 2004

Topics:

Intellectual property information, news and advice

Microsoft Patents Apple—Don't Believe the Hype

I love mainstream media reporters and the [bloggers who foam at the mouth](#) whenever Microsoft and Apple are named in the same sentence as the word "patent."

This past week has proven once again, that everyone has an opinion on the value and relative merits of the patent system, but that no one really ever takes the time to understand what the issues are and the legal ramifications.

As they say, opinions are like... and everyone truly does have one.

[Denise Howell](#), over at [Between Lawyers](#), linked to the most recent "supposed" controversy between Apple and Microsoft regarding patents and asked that someone, anyone, make some sense of the whole mess. It was a challenge—so, since I am like everyone else—here is my take.

I thought my previous [Rethink\(IP\)](#) rants ([Rethink\(IP\) podcast #1](#)) on this subject or [Matt Buchanan's](#) post last year would have settled these issues already—but alas, it just ain't so.

The main stream press informed its readers that Microsoft was attempting to patent (depending on whom you read):

1. The [iPod](#) itself.
2. The iPod's clickwheel interface
3. [Steve Jobs'](#) first born child
4. The sun, moon, earth and everything in between.

Believe it or not—it isn't any of the above. Imagine that—the main stream press and the foaming blogger mouths (FBMs) got it wrong.

The facts: Microsoft filed U.S. Patent Serial No. 10/158,674 on May 30, 2002 (the '674 Application). The application is directed to a method of auto generating a playlist using multiple seed songs. The application and claims have been allowed by the US Patent Office (see the history [here](#)) and currently the patent is about to issue with 46 claims.

Now for you non-patent geeks out there—the claims control.

continued ...

The best way to think of claims are that they define the scope of your protection—just like the metes and bounds of a deed to land or property. The claims in a patent precisely set forth the boundaries of protection similar to real property—instead of saying you own a piece of land 150x300' as the crow flies, patent claims say that you own something that has four wheels, runs on gas etc. You can keep someone out of your property and you can keep someone from making a four wheeled vehicle that runs on gas. If they have three wheels, however, they are outside the “boundaries” and you cannot prevent them from making it.

So the claims control.

Really they do—they control everything, if the claim doesn't cover it—you don't infringe and, generally, if the prior art doesn't fall within the scope of the claims, the claims are not invalid. Any discussion of a patent should always start and end with the claims.

Given this—why are there the FBMs out there?

Well, first—they don't understand that the claims control or, if they do, they conveniently choose to ignore it in order to whip up interest for their blog posts. Second, it is really easy to read the background and disclosure of the patent application and latch onto something that the inventor may have mentioned as being included.

For example, I have one inventor who always puts into his applications “I love my kids Timmy, Johnny and Kimmy” (names changed to protect the innocent). I highly doubt that this inventor intends to “claim” his kids [interesting tactic]—he just puts it in there because he can. Likewise, inventors and patent attorneys will often put in wild, broad and clearly unpatentable statements in an attempt to provide support **in case there is a possibility** that broad claims are allowable. Once again, since the claims control—it doesn't matter what the background/specification states: if the claim doesn't cover it, it doesn't infringe.

So where are we—I have no comment on what the Microsoft patent covers or whether the iPod infringes or whether the Microsoft patent is invalid in light of the iPod. What I do know, however, is that folks need to do

their research and understand the issues. If the claims don't cover it—it doesn't infringe. If the claims don't cover the prior art (i.e. what others have done before)—the prior art doesn't render the claims invalid.

PROMOTE THE PROGRESS



Author(s):

J. Matthew Buchanan

Author Bio:

J. Matthew Buchanan is a registered patent attorney in Perrysburg, OH with a practice that focuses on the intellectual property needs of established and start-up companies in various industries, including the medical device, pharmaceutical, and chemical industries. Mr. Buchanan also assists clients in the FDA-regulated industries with various regulatory issues. Mr. Buchanan is of counsel to Dunlap, Coddling & Rogers, P.C., a national intellectual property firm headquartered in Oklahoma City.

Blog Bio:

Promote the Progress carries updates, analysis and commentary on intellectual property policy issues, including legislative developments, originating from the United States and from around the world.

Founding Date:

January 21, 2004

Topics:

Intellectual property legislation, intellectual property regulation, intellectual property generally

Predictions on Content and Time Frame of Coming Patent Reform Bill

I thought it would be fun to make predictions about the upcoming patent reform legislation. What will the bill include when its introduced? Will there be competing bills introduced? When will a bill be introduced? I know, predicting the actions of Congress is a fool's game. That doesn't change the fact that its sort of fun...so here are my predictions on the *when* and *what*:

When?

I think a bill will be introduced **before** the National Academies meeting on June 9. Lamar Smith has purportedly agreed to deliver a lunch keynote address at the meeting, and I'm betting he'd love to talk about the bill he *recently introduced* on the subject. Of course, I could be completely wrong...he may use the platform to talk about a bill he *plans to introduce* soon. What actually happens, of course, will depend on the negotiating and lobbying that is occurring right now. See the What? section below for more on that subject.

What?

What reform proposals will actually make it into the bill that gets introduced? I think most of the major proposals will be in the bill, including:

- adoption of a first inventor to file system
- implementation of a post grant review system within the Patent Office*
- elimination of the best mode requirement
- a complete overhaul of the inequitable conduct 'system'—moving the question out of the courts and into a new office within the Patent Office
- allowance of applications to be filed by companies
- changes to the standard for awarding willfulness—including codification of Knorr-Bremse and an explicit indication that mere knowledge of a patent is insufficient

continued ...

- 18-month publication of all applications that are not-abandoned, and
- a change to the calculus for awarding injunctive relief**

* Two questions need to be resolved on this reform proposal:

1. Timing—by what deadline must an application for post-grant review of a patent be filed ? 9 months after issuance? 12 months?
2. The existence of a second 'window.'
 - After expiration of the initial window provided by #1, will a second window be available within which a party can request review?
 - How does the second window open?
 - What constitutes sufficient notice of infringement if that is indeed the mechanism by which the second window opens?
 - Are there any time constraints on the second window, if it exists, or can an application for post grant review be filed at any time in the term of a patent once the criteria for opening the second window are met?

** This has to be the hottest area of debate on the entire patent reform topic right now. Points to consider on this issue:

1. It is possible that this provision will not be included in the draft bill. The pharmaceutical lobby has squared off against the software and manufacturer's lobbies on this issue. Will it be killed before introduction? This is, I believe, the most interesting question to be resolved upon introduction of the bill.
2. I believe it will be included in the bill (hence its inclusion in the What? section) for this reason—during the hearings, a belief emerged that it may be possible to tailor this reform proposal to specifically address the patent troll situation, which

nearly everyone acknowledged as a problem, while accommodating the concerns of others.

Please remember that these predictions are entirely my own. I'd love to hear comments from anyone who agrees or disagrees with these predictions.

REID MY BLOG!



Author(s):

Reid F. Trautz

Author Bio:

Reid is a nationally recognized consultant, author and presenter on practice management issues, including business process improvement, law practice technology, attorney-client communications, and risk management. His articles have appeared in Law Technology News and Law Practice Today, among others.

Blog Bio:

Reid My Blog focuses on the challenges and opportunities lawyers face in the constantly changing marketplace. The practice of law is a profession, but a law practice is a business. The posts provide lawyers with information and ideas on management, governance, and ethics, to help them succeed in the business of practicing law.

Founding Date:

February 2005

Topics:

Practice management, law firm governance, legal ethics

Add a Legal Fee Calculator to Your Website

North Carolina family lawyer [Lee Rosen](#) has something other lawyers should envy: A [legal fee calculator](#) on this website. Any potential client visiting his site can answer Yes or No to eight simple questions, then click a button to reveal a well-defined fee range if the matter can be resolved before filing suit. Click another button to get a range if the matter involves litigation.

I just love this idea. I loved it so much when I heard about it several years ago, that I suggested the story idea to the *ABA Journal*. They wrote a [great story](#), and I thought fee calculators would pop up on lawyer web sites all across America. However, a quick search on [Vivisimo](#), reveals only a handful of U.S. law firms have followed suit.

To me, this is a lost opportunity to capitalize on one of clients' biggest fears: uncertainty over legal fees. Many clients make purchasing decisions based, at least in part, on cost. If they think you are going to be too expensive, they will remove you from consideration. If your fees are within range of their expectations, you will at least be one of the finalists in their lawyer search. That is why allowing a potential client to obtain fee information prior to an initial consult is such a great idea.

According to Lee, the simple part was designing the eight questions and writing the functional computer code to add to the web site. It took his IT person just a few hours to make it happen. The hard part was developing the dollar value for each question in the fee calculator; Lee and his staff invested dozens of hours to review prior files and client bills to create the range of fee estimates used in the calculator.

Lee has a family law practice, and having practiced family law for nine years, I know how hard it is to provide divorce clients with an estimate of fees. However, by investing time in reviewing a cross-section of client files and bills, Lee was able to identify key cost-drivers in client bills, develop fair ranges for each stage of the litigation, compare gross assets to gross fees, and translate that data into an understandable format for potential clients.

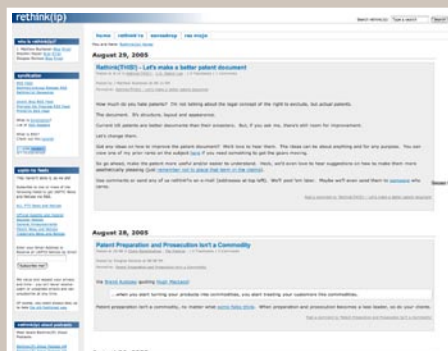
It may seem daunting at first, but try this: Print out the full bills of four or five representative clients over the past several years. Compare them. What are some similarities and differences? What conclusions can you draw? It is just a start, but it may be enough information to spur your firm into further action.

continued ...

This is a significant investment of time for any lawyer in any type of practice. However, such an investment is sure to pay off if the calculator is incorporated into your marketing efforts. If you add a fee calculator to your web site, promote it in other marketing efforts. Inform potential clients that you are trying to provide some certainty in an uncertain world; that you are empowering your clients to have greater control over their potential fees. Use it as a way to distinguish your firm or practice in the marketplace.

Lee knows his investment has paid off: Fewer potential clients are calling, but a higher percentage of the ones that do call end up retaining his firm. More clients, no more wasted initial consults, fewer misunderstandings about fees. That is what I call a return on investment.

RETHINK(IP)



Author(s):

J. Matthew Buchanan, Douglas Sorocco,
Stephen Nipper

Author Bio:

Each of the three contributors to Rethink(IP) is a practicing patent attorney that also maintains an individual blog relating to patent and intellectual property law. Indeed, the trio met through blogging.

Rethink(IP) is a product of their immediate friendship and like-thinking on professional practice. Originally, the trio hailed from three different law firms. That number has now dropped to two.

Blog Bio:

Rethink(IP) is focused on rethinking the practice of intellectual property law. The thoughts and writing can be applied to many legal disciplines and across professional practices in general.

Founding Date:

April 8, 2005

Topics:

Intellectual property practice, improvements to legal practice, improvements to professional practice

Lawyers as Leaders in Customer Service by Professional Service Providers: A Little More Texaco

I've been thinking a little more about my prior 'Texaco/Back to the Future' post on customer service. As a short recap, I think law firm customer service, in the general sense, has slid to an all time low. The Texaco scene from [Back to the Future](#) provides a vivid indication of the depths to which customer service has slipped in general. In the scene, set in 1950s America, uniformed station attendants *rush* toward a car that just entered the station... looking to help the customer with whatever they need. This, of course, never happens any more. Not at gas stations or fast food restaurants. And, most disturbing to me, not in law firms.

Over the weekend, I did a little *rethinking* on this issue and now I'm focusing on *opportunity* instead of bad examples.

Why? Its simple. *I think the other professions are actually worse at customer service than lawyers.*

Here's two examples that started my rethinking. In Saturday's mail, I received two invoices from professional service providers: one from an accountant and one from a health care provider (the hospital, I think; its hard to tell who actually sent it).

The accountant's invoice reads "March accounting services... \$X.XX". That's it. No explanation of the services provided whatsoever. To make matters worse, I wasn't even aware that I was a client of this particular accounting firm (they do the firm's work, not my personal work). That's true... I had no idea I was a client. How's that for customer service?

And then there's the health care provider. The invoice was for a recent visit my wife and I made to the emergency room with our newborn baby. That visit is, to date, *the worst example of professional customer service that I've personally experienced*. These guys took poor customer service to a whole new low. Everything turned out ok on this particular visit, but I remember leaving the hospital with a "what just happened" kind of feeling. During the visit, no one would give me or my wife a straight answer on the problem. Not the nurses, not the physician's assistants, and not the doctors (believe me, we asked). Two doctors argued over the 'diagnosis' (in front of us, by the way) and my wife and I were eventually sent home without receiving any form of

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treatment for our 6-week old son. Seriously, *they didn't do anything*. We sat in a room for a few hours, and then they sent us home. Period. I still don't know who won the argument.

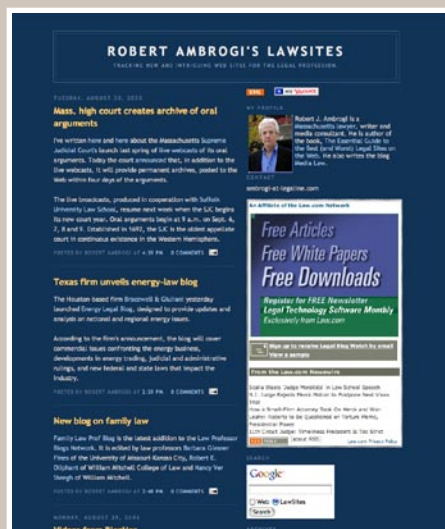
I understand that no treatment may have been the best route. I don't need a "product" to feel like I've received the benefit of professional services. But *I would have appreciated a competent consultation on the matter*. In fact, I think my wife and I deserved this. I suppose its possible that my insurance doesn't cover that level of service...

I know that clients of law firms have had similar experiences. A friend of mine recently relayed an example in which his monthly litigation invoice took a huge jump recently (up, not down). Turns out, the firm handling the case had added three associates to the team. Full time. The first he had heard about his new "teammates" came via the invoice. Funny thing is, he said that he would have authorized additional resources had they approached him with a plan. But, because of the way in which he was made aware of the "need" for more resources, he was left with a negative impression about the firm.

"Will you use that firm for your next litigation." (I love asking the obvious questions). He gave me a simple and telling response: "Absolutely not. Even if we win this one."

So here's the rethinking. What if we improved? What if law firms became *the* example of premier customer service from professional service providers? Other professionals are so poor at it that we could be the best with minimal effort. A few baby steps might do the trick... like improving invoices. And, if that's true, think of what a giant leap or two would do... like returning phone calls and eating a little overhead once in awhile. The sky's the limit here.

ROBERT AMBROGI'S LAWSITES



Author(s):

Robert Ambrogi

Author Bio:

A lawyer, writer and media consultant, Robert J. Ambrogi is author of two books, including *The Best (and Worst) Legal Sites on the Web*, and former editor-in-chief of both *The National Law Journal* and *Lawyers Weekly USA*. Besides practicing law, Bob provides consulting on media and the Web.

Blog Bio:

Robert Ambrogi's LawSites tracks new and intriguing Web sites of interest to legal professionals.

Founding Date:

November 19, 2002

Topics:

Law-related Web sites, legal marketing and media, law practice

Survey Reveals FindLaw's Aging Core

[Editor's note: The following are condensed versions of four posts published on July 12, 14 and 19, 2005.]

Survey Reveals FindLaw's Aging Core—Part 1

FindLaw's core is showing its age. Started in 1994 as an index of legal resources on the Internet, [FindLaw](#) used that index as the foundation on which to build a range of resources for legal professionals, businesses and consumers. But in recent years, FindLaw has let its index go to seed, failing to weed out dead URLs, update site descriptions or add new resources as they come along. The deterioration of FindLaw's index is so extreme as to call into question its usefulness as a primary resource for legal professionals.

Browsing FindLaw's index is like stepping through a time warp, finding a sepia-toned picture of legal resources on the Internet as they once were. It is as if a moment came when FindLaw stopped the upkeep of its index. Regrettably, that moment seems to coincide with FindLaw's acquisition in January 2001 by the former West, now [Thomson](#).

At the time of the acquisition, a West statement said: "Everything that exists on FindLaw today... will remain." It seems that, with respect to the index, West took that promise too literally.

FindLaw has had few greater cheerleaders than me... In both the 2001 and 2004 editions of my book, [The Essential Guide to the Best \(and Worst\) Legal Sites on the Web](#), I gave FindLaw my highest rating of five stars, calling it "the best starting point for finding legal information on the Web"... But in recent years, I began to notice weaknesses in the index—more dead links, more out-of-date sites and few, if any, updates or additions...

I decided to subject FindLaw's Web index to some "site-checking"—going through it and checking the integrity of its links. The results shocked me. More than a quarter of all links I checked, 28 percent, were bad—dead or defunct sites, expired URLs, pages not found and servers not found. In one practice area, more than half the links were bad. Other key practice areas had a third or more of their links bad. The best I found for a practice area was an error rate of 16 percent. I found one link to a supposed legal resource that actually led to a porn site.

Of the links that remained "good," many were to out-of-date resources or bore descriptions that no longer reflected the site's content. Some

continued ...

were redundant, others simply irrelevant.

Were this some mom-and-pop collection of legal links, I'd not be surprised to find such failings. But this is FindLaw, a subsidiary of Thomson. These are two of the biggest names in legal research. I expect the resources they provide to be timely and accurate. I expect much better from both companies.

Instead I found an index that continues to provide several links to Law Journal EXTRA!, a Web site that was discontinued at the end of 1998. It is an index that continues to provide multiple links to the Internet Law Library—without at least explaining that the once-popular ILL closed early in 1999 and is now more a historical artifact than a serious research tool.

As if trapped in time, the index contains several references to the 1997 “Nanny Murder Trial” of Louise Woodward and the 1997 Bosnia War Crimes Tribunal, but I found no references to major trials of recent years.

Amid these historical curiosities, I found little evidence that FindLaw is updating its index with more contemporary sites. Where, for that matter, are the blogs? Shouldn't any contemporary index of key legal resources include at least some of the leading blogs? In the sections of FindLaw's index I reviewed, I found only one link to a blog—a blog that is no longer published.

My survey looked only at FindLaw's index of law-related Web sites. Elsewhere, FindLaw provides a great deal of valuable information, all at no cost to lawyers... But for legal professionals performing online research, it is important that they understand the weaknesses in FindLaw's index, so that they do not rely on it to the detriment of their research.

FindLaw's Aging Core, Part 2: The Numbers

To conduct my “site-check” survey of FindLaw's Web index, I started from FindLaw's [legal professionals welcome page](#). At the top of that page is an index of “Resources by Practice Area.” For each practice area, I clicked through to the “Web Guide” and, under that, to the category, Web Sites. That brought up FindLaw's list of Web sites for that practice area. I then simply

clicked on each link and made note of the results. I did this for 24 of the 38 listed practice areas, focusing on the ones I believed to be most popular among legal professionals...

In total, I checked 1,427 links. I found 406 to be bad—for a failure rate of 28.5 percent. In general, I considered any link to be bad that did not point to what it described. This included Web sites that no longer exist, 404 messages for pages not found, messages for servers not found and expired redirects...

Bad-link rates vary among the practice areas. The worst was gaming, with 54 percent of the links bad. The best was international law, where 15.9 percent were bad. Probate law had a surprising 44.2 percent of its links fail, and labor and employment had 33.6 percent fail.

The Aging of FindLaw, Part 3: Notes

In this final post of my report on the aging of FindLaw's index, I offer some notes and comments on the links within specific practice areas.

[Editor's note: For space reasons, we omit these notes and comments. You can read them online at www.legaline.com/2005/07/aging-of-findlaw-part-3-notes.html.]

In discussing the aging of FindLaw's index, I have focused on the bad links that need to be weeded out. But the point should not be lost that FindLaw's index has failed to keep up with new sites of interest to legal professionals. The omission of virtually all blogs is a glaring example, but the index omits many other Web sites that it should include.

Having gone through the process last year of updating my own book on legal Web sites for its second edition, I appreciate how much work is involved in keeping an index such as FindLaw's fresh. To make it even more difficult, the Web is ever changing. But lawyers turn to an index such as FindLaw's in search of a shortcut to the best Web sites. Given FindLaw's pedigree, lawyers who turn to it have every right to expect it to be timely and accurate. Unfortunately, it is not.

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FindLaw CEO Says Links Now Accurate

[FindLaw](#) CEO Scott Kinney... today... said that, as of Friday, the links were verified through a new content-management system and should now be 100 percent accurate...

... Kinney said that he expects that FindLaw's new content-management system will facilitate addition of newer sites. He noted, however that FindLaw's index is a free service, which limits the resources the company can devote to keeping the index up to date. He said that the company has devoted greater resources to building its corporate counsel center and its pages for non-lawyers.

SECURITIES LITIGATION WATCH



Author(s):

Bruce Carton

Author Bio:

Bruce Carton is the Vice President of ISS' Securities Class Action Services. Prior to joining ISS, Mr. Carton was a partner with the law firm Piper Rudnick LLP, and Senior Counsel in the U.S. Securities and Exchange Commission's Division of Enforcement. Mr. Carton speaks and writes regularly about securities litigation-related topics.

Blog Bio:

Securities Litigation Watch seeks to provide a valuable, timely resource for anyone interested in developments involving securities litigation or securities enforcement. Securities Litigation Watch takes a particular interest in the business of securities litigation, i.e., the events, people and trends that shape the industry.

Founding Date:

August 15, 2003

Topics:

Securities class action litigation, SEC enforcement

2004: The Year in Review

Here are my picks for some of the best, worst and oddest securities litigation-related events in 2004:

Best Settlement: The historic settlement in the WorldCom/Citigroup case, which resulted in a massive settlement fund of \$2.575 billion. This is the second-largest settlement of all time, behind only the \$2.85 billion settlement in 2000 by Cendant Corp. The stakes will be even higher in the upcoming trial of the non-settling defendants in the WorldCom case, which is set to begin Feb. 28.

Best Friend of the Plaintiffs' Securities Class Action Bar: New York Attorney General Eliot Spitzer, whose activism has helped fuel private securities litigation in recent years, spurred yet another huge wave of securities class actions in the fourth quarter of 2004 through his investigation of, and litigation against, insurance brokers and companies. And it now appears that Mr. Spitzer's work may help plaintiffs' law firms on the expense side of their business, as well. In December, his office announced that it was investigating whether improper behavior by insurance companies has been a factor in the rising cost of malpractice insurance for lawyers, and reportedly began interviewing class action attorneys about their particular problems getting insurance.

Best Comeback: After having their securities class action against Bristol-Myers Squibb Co. thrown out by a federal judge in April 2004, shareholders appealed to the Second U.S. Circuit Court of Appeals. Even before any ruling came from the appeals court, the investors were able to strike a \$300 million settlement agreement, one of the 20 largest of all time.

Best Last Laugh: Back in 2003, a 71-year-old West Palm Beach retiree who lost \$2 million when MCI and WorldCom stock plummeted, took the novel legal approach of suing Citigroup for his pain and suffering (which allegedly included high blood pressure, anxiety attacks, and mental and physical stress) under the Florida tort of "outrage." Told that at least one prominent securities defense attorney found the claim laughable, plaintiff's attorney Ted Babbitt countered, "We'll see who laughs last... it only takes a finding by one judge to make this cause of action available to millions of shareholders." In September, a state circuit judge denied a motion to dismiss the suit, a ruling that Mr. Babbitt's firm says has put the case "on a road to a Florida state jury trial and potential punitive damages."

continued ...

Worst Holiday Season: Martha Stewart, who spent the holidays as an inmate in the minimum-security women's prison in Alderson, West Virginia (a.k.a. "Camp Cupcake"). Runner-up for worst holiday season goes to all counsel involved in the high-profile criminal prosecution of Richard Scrushy, former CEO of HealthSouth, who is scheduled to go to trial on Jan. 5.

Best Line Written about the Martha Stewart Case:

In February, Ms. Stewart's lawyers announced that she would not testify and would put on only one defense witness and a handful of documents. Her lawyers estimated that her defense would take about 15 minutes, or as Greg Smith of the New York Daily News put it, "the same amount of time the diva recommends letting a German Chocolate Inside-Out Cake cool after baking."

Harshest Opinion: The 69-page decision by Chief Administrative Law Judge Brenda P. Murray prohibiting Ernst & Young from taking on new audit clients for six months. In her decision, Judge Murray said "the evidence shows that [E&Y] has an utter disdain for the Commission's rules and regulations on auditor independence."

Most Eye-Opening New SEC Enforcement Trend: Huge penalties (tens of millions of dollars) against corporations for perceived non-cooperation during SEC investigations.

Most Eye-Opening New DOJ Prosecutorial Trend:

The quasi-"deputization" of private counsel conducting internal investigations of alleged fraud at corporations. In April, several former executives at Computer Associates International were indicted for obstruction of justice based on statements made not to any government official but rather to the company's outside counsel, which was conducting an internal investigation of possible financial fraud.

Worst Headline: "SEC expected to keep watching out for investors," The Associated Press, Sunday, Dec. 12. Of course, this is only an "expectation."

Most Unexpected Reprieve: Gary Winnick, former chairman of Global Crossing. After a lengthy SEC

investigation concerning the public disclosure of certain "swaps" of fiber-optic network capacity with other telecom companies, the SEC's Enforcement Division recommended that the SEC bring a case and impose a fine against Winnick. After Winnick reportedly agreed to settle by paying a fine of \$1 million, the proposed case and settlement were presented to the SEC commissioners for approval. In a highly unusual occurrence, however, the SEC commissioners voted 3-2 to reject the SEC staff's recommendation, concluding that Winnick did not sign off on the disclosures at issue. As a result, Winnick was neither charged nor fined by the SEC.

Best Comic Relief: The SEC's job posting for an in-house psychologist to help "improve employee attitudes and satisfaction related to employee retention, job satisfaction, burnout, conflict and stress," which prompted an immediate barrage of one-liners. Among them, Bill McLucas (former director of the SEC's Division of Enforcement) reportedly joked, "Just one? They should get a couple." He also suggested that current Enforcement Director Stephen Cutler should get the first appointment once the psychologist came on board so that "he can take out his hostilities with that person instead of my clients." No word on whether the position was ever filled.

A Hearty Welcome to: Class action settlement notices written in plain English as required under the recent amendments to Federal Rule 23(c)(2). Rule 23(c), which now requires that settlement notices be written "in plain, easily understood language," has had a dramatic effect on the readability and usefulness of these important notices.

Good Riddance to: "Buried notice," the dubious practice of trying to avoid competition for the roles of lead plaintiff/lead counsel by publishing the required "notice" of newly filed cases not on a national business wire such as PR Newswire or Business Wire, but rather in places designed not to attract attention (such as in the back pages of a hard copy newspaper). Although the Private Securities Litigation Reform Act, which was enacted in the infancy of the Internet, technically permits notice to be published in any "business-oriented publication," the industry practice and standard is to provide notice via

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the business wires. Indeed, in March, a federal court in Baltimore ruled that even publishing notice in The New York Times is now insufficient under the PSLRA.

SOUTH CAROLINA TRIAL LAW BLOG



Author(s):

David Swanner

Author Bio:

David Swanner is a plaintiff's attorney in Myrtle Beach. He taught interrogation for the military (back when we followed the rules). He also developed and teaches a PowerPoint for Trial Lawyers class and a Comedy Workshop for Trial Lawyers class. He has put together a disk of 100 PowerPoint examples from lawyers around the country that is free to plaintiff's attorneys.

Blog Bio:

The South Carolina Trial Law Weblog focuses on using technology to be a better trial attorney. The weblog discusses trial tips, techniques and ideas from a plaintiff's attorney's perspective, practice management issues and technology useful for trial lawyers.

Founding Date:

January 25, 2005

Topics:

Trial techniques, practice management, technology

How to Be a Better Trial Attorney

This post is for the younger attorneys, because most of the advice will be obvious to experienced attorneys.

1. Join Trial Lawyer Associations—If you want to be a trial lawyer, hang out with other trial lawyers who have already been there. Join ATLA and join your state TLA. Go to their seminars, go to their conventions. If you're just starting out, go to as many as you can afford (or go to one more than you can afford). Listen to what people are saying and talk to the other lawyers. You'll learn an awful lot about being a good trial lawyer, just by hanging out with good trial lawyers.

2. Go to ATLA Colleges—The ATLA colleges are about as good as it gets. Start out with the Essentials of Civil Litigation and work your way from there as your budget and time allows. When I was a younger lawyer, I would sign up for a college every time I got a sizeable settlement in. You can learn more in several days than you would in years otherwise. One of the great things about the ATLA colleges is that they will match you with people with similar experience. If you're brand new, they'll put you in a group of people that are new to relatively new. If you've been practicing for 10 years, they'll group you with more experienced attorneys. Going to the colleges also gets you hanging out with other trial lawyers.

3. Participate in Listservs—SCTLA has a wonderful listserv that is very active. When I talk to people from other states, their listservs are not nearly so active or helpful as ours. My guess is that perhaps being a smaller state and the lawyers knowing each other more, we get more participation. Either that, or the people are just nicer in South Carolina. Get on the ATLA listservs, get on your state listserv and if your state doesn't have an active listserv, join the San Antonio Trial Lawyers Association listserv, which is recognized as one of the best in the country.

4. Learn Anatomy and the Physics of Injuries—We deal with people that are injured. The more we know about the body, the mechanics of the injury and how well the client will recover, the better we can convey that to the jury. When reading medical reports, look up any term you don't know on the internet. Before the internet the information was not freely available. Now anything you want to know is at your fingertips. Once you have this basic knowledge, figure out a way to convey this information so that it is easy to understand.

5. Learn from the Best—As you go to more and more seminars and

continued ...

conventions and you see the best, copy them. At first, you'll be a pale imitation, but over time you will improve and the next thing you know, people will be asking you for advice. You have to learn from someone, and it's better to imitate the best. The alternative would be imitating the competent, which is not nearly as good an idea as imitating the best.

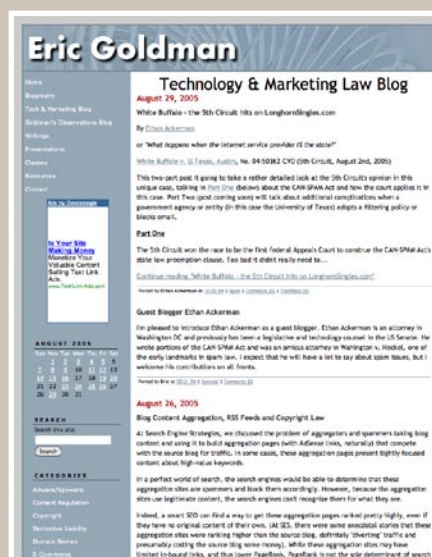
6. Learn About Your Clients—When you ask your clients about how the injury has affected their life, they don't know what to tell you. They really don't. No matter how many times you ask the question, you won't get real good answers. Go out to their house and see how they live and what is important to them. Are there tons of pictures with them and their small children? Bowling trophies? A big yard with lots of landscaping? Going out to your clients house and meeting with them, you get a much clearer sense of who they are. You can't tell a jury who your client is if you don't know yourself.

7. Try Cases—Okay, this sounds obvious, but get in a courtroom. Don't settle every case. If the insurance company doesn't put good money on the table, try the case. The more you get in the courtroom, the more comfortable you will be.

8. Read and Soak in Information—Read as much as you can get your hands on. Read books about trial techniques, read books about trial lawyers, read biographies about trial lawyers. Read about storytelling techniques and the decision making process. Read about public speaking and how to put together presentations. Read about graphic design and how to convey information in an visual format. Read about psychology and anatomy. Read about education and how people learn, read about group dynamics... Well, you get the point. It amazes me when people say they are bored with this profession, I have a backlog of over 30 books sitting on my shelf that I want to read and haven't got to yet.

There are no shortcuts or secrets. Just work hard, work on your trial skills, learn how the body works and fight for your client. After a few years of that, you'll be surprised at how good you'll get.

TECHNOLOGY & MARKETING LAW BLOG



Author(s):

Eric Goldman

Author Bio:

Eric Goldman is an Assistant Professor at Marquette University Law School, where he concentrates on Internet, technology, entrepreneurship and IP issues. Previously, he was General Counsel for Epinions.com and an Internet attorney at Cooley Godward LLP. He received his BA, JD and MBA from UCLA.

Blog Bio:

The Technology & Marketing Law blog discusses Internet and intellectual property law with an emphasis on adware/spyware, search engines and other marketing issues.

Founding Date:

February 8, 2005

Topics:

Internet law, intellectual property law, marketing law

Artists' Rights and Theft Prevention Act—New Criminal Copyright Infringement Standard

As part of the [Family Entertainment and Copyright Act](#), Congress enacted the "Artists' Rights and Theft Prevention Act of 2005" or the "ART Act." The ART Act adds two new major criminal standards: (1) using a camcorder to record a film in a movie theater, and (2) the willful distribution of pre-release software, movies and music by making it available on a computer network accessible to the public. There are some other goodies for copyright owners, including instructions to the Copyright Office to create a registration process for pre-release works and instructions to the Sentencing Commission (to the extent that body still matters) to ratchet up sentences for criminal copyright infringement yet again.

The ART Act is the first major change to criminal copyright law since the [No Electronic Theft Act](#) (the "NET Act") in 1997. In 2003, I wrote a paper [examining the effects of the No Electronic Theft Act](#), where I concluded that the law was both ill-conceived and a failure in practice. In the paper, I further explored why criminal sanctions for non-commercial copyright infringement were excessive and unproductive.

Although not specifically stated, both the NET Act and the ART Act target a group of pernicious infringers called warez traders. Warez traders engage in the trading/distribution of copyrighted works as a hobby/avocation. I specifically described their [motives and personality profiles](#) in a paper released earlier this year.

Since the NET Act, the DOJ has had significant success prosecuting warez traders. (I described this success in [my 2004 article on warez trading](#).) I stopped counting when the DOJ hit about 100 prosecutions and 20 jail sentences in 2004, and there have been more since then. In other words, prior to this amendment, the DOJ has successfully used the NET Act to go after individuals who trade copyrighted works, including pre-release copyrighted works, without a commercial motive.

Because of the DOJ's track record, I'm not as outraged by the ART Act as I expected to be. Indeed, the marginal addition to the NET Act is so small, I really don't expect it to amount to much at all. The only thing the ART Act does is negate the need for the DOJ to prove a quantum of loss to the copyright owner in the case of pre-release works. In theory, this is a problem because, by definition, pre-release works do not yet have a market value. The ART Act overcomes that "problem"

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because merely placing the pre-release works on the Internet (or into the share directory of a P2P file-sharing software program) will meet the standard without the need to prove any loss at all.

While [Declan thinks this is a problem](#), I'm less moved. I don't think the DOJ has been significantly impeded in prosecuting warez traders to date. While the ART Act makes the DOJ's life easier, I don't expect any different substantive outcome in any cases they choose to pursue.

This is not to say that the law criminalizes behavior optimally; far from it. There is no question that criminal copyright law covers ordinary Americans. I'm pretty confident that everyone reading this blog is eligible to be prosecuted as a criminal copyright infringer if the DOJ wants to do so. The ART Act gives the DOJ an easier way to go after a few of us, but this isn't a failing of the ART Act. Instead, it's an indictment of our entire scheme of criminal copyright infringement (and, some would argue, our criminal legal system generally), which overcriminalizes behavior with the understanding that the DOJ will exercise its discretion appropriately. I have argued that [we should fix that defective architecture](#), but I see no movement in that direction. Instead, elsewhere [I've explained \(in the conclusion\)](#) why Congress remains obsessed about warez traders and doesn't care about the collateral consequence of criminalizing everyday behavior among most Americans. Meanwhile, I have also [argued](#) that increased criminal sanctions for copyright infringement has a counterproductive effect on the intended audience of warez traders, so Congress is only further moving in the wrong direction policy-wise if its goal is really to curb illicit trading of pre-release works.

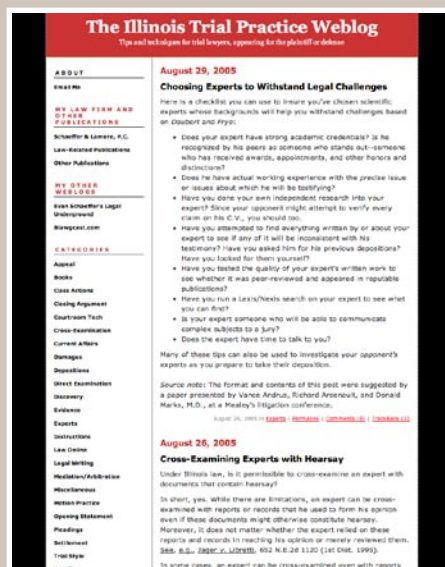
I disagree with [Susan Crawford](#) about this law expanding the distribution right. I think the distribution right already included situations where a party merely makes copyrighted works available. See [Hotelling v. Church of Jesus Christ of Latter-Day Saints](#) (4th Cir. 1997).

UPDATES:

[Pres. Bush signed this into law April 27.](#)

[Declan's write-up of the signing.](#) Note that I never said that I expect the DOJ to act "responsibly." My point was that I think the DOJ already had the power to prosecute infringers who distributed pre-release content, so I don't see the DOJ doing anything differently than in the past.

THE ILLINOIS TRIAL PRACTICE WEBLOG



Author(s):
Evan Schaeffer

Author Bio:

Evan Schaeffer is a class action and mass torts lawyer based in the St. Louis metropolitan area. His firm is Schaeffer & Lamere, P.C. Schaeffer's Op-Eds and essays have been published in many national publications, including Runner's World, the Chicago Tribune, the Houston Chronicle, and the St. Louis Post-Dispatch.

Blog Bio:

This blog is Evan Schaeffer's attempt to give back to the legal community after receiving so much helpful information from colleagues and mentors as a young lawyer. It is much more about trial practice than it is about Illinois. Tagline: "Tips and techniques for trial lawyers, appearing for the plaintiff or defense."

Founding Date:
January 2004

Topics:

Trial practice, discovery, legal writing

Electronic Discovery: What to Do in Every Case; Discovery Concerning the Parameters of Electronic Information

Electronic Discovery: What to Do in Every Case

You say you don't know how to get started on electronic discovery? Here are some basic steps you can take in every case to discover information stored in an electronic format:

- Send a letter to your opponent asking that all electronic data be preserved. Often called a "preservation letter," this step will make it easier for you to add a claim for spoliation of evidence if the opposing party destroys electronic evidence;
- Have the court enter an order requiring the preservation of electronic data;
- Embark on initial discovery to determine the scope of the opposing party's computer capabilities;
- Use what you learn in this initial discovery to tailor more specific discovery requests seeking the specific information you will need to prove your case (taking care, however, not to telegraph too much of your litigation strategies in the process);
- Consider the use of a electronic-discovery expert to help you make sure that you have considered all sources of electronic data that might be available from your opponent.

In my next post, I'll expand on step three: what sorts of discovery devices are available to find out the scope of the electronic information available in any particular case, and what should you be looking for?

Discovery Concerning the Parameters of Electronic Information

In my post, "Electronic Discovery: What To Do in Every Case," I discussed some of the basics of electronic discovery, including a suggestion that you should embark on discovery early in the case to determine the scope of the opposing party's computer capabilities and the ways the opposing party manages its data.

continued ...

This discovery can take the form of interrogatories, requests to produce, or depositions, either of a corporate representative or a designated IT employee. What sorts of things do you want to find out in these early stages? Here are some areas to focus on—

- What type of computers and networks are used by the opposing party's employees?
- What types of information are stored on the opposing party's computers?
- Who is responsible for the design and maintenance of the opposing party's computer systems?
- How does the opposing party insure that its electronic information is backed up electronically?
- Does the opposing party have a document-retention policy, and what does it say?

The idea is to find out what sorts of information is stored on the opposing party's computers that will be useful to *your* case. After you conduct preliminary discovery, you can begin with more detailed requests for information.

My own preferred method of discovery at this stage is a deposition of a corporate representative under the procedures of Fed. R. Civ. P. 30(b)(6) or a state-court equivalent. Here are some suggested deposition topics for your notice, taken from a notice I used in one of my own cases:

Topics of Examination

1. [Opposing party's] computer system configurations, including, without limitation, the type the computers and other hardware used, desktop and network operating systems, and the type of network and communication software and hardware used.
2. [Opposing party's] computer application software and utilities, including, without limitation, all application software and all utilities used on [defendant's] networked systems.
3. [Opposing party's] databases, including, without limitation, all records and fields and structural

information and such databases containing any reference to, or information about, communication or contact with potential or current customers of [opposing party], payments by customers to [opposing party], or complaints by such customers or potential customers.

4. [Opposing party's] computer back-up procedure and frequency, including without limitation, the name and version of the back-up software used, the type of media used, the schedules used for incremental and full back-ups, the length of time back-ups are kept, and how often back-up media is reused, and how backup media is indexed and stored.

THE INVENT BLOG



Author(s):

Stephen M. Nipper

Author Bio:

Stephen M. Nipper is a registered patent attorney with Dykas, Shaver & Nipper in Boise, Idaho. He works with an emphasis in patent and trademark prosecution, intellectual property litigation, and licensing. His main experience is in agriculture, biological and chemical sciences, pharmaceuticals, mechanical arts, computer software and Internet related technologies.

Blog Bio:

The Invent Blog is a law blog covering news and information for inventors/entrepreneurs and attorneys who represent them. Topics include technology tips, intellectual property regulation/legislation, interesting inventions, practice tips, etc. Posts tend to be brief and don't typically rehash the same information covered on most of the other intellectual property blogs.

Founding Date:

January 8, 2004

Topics:

Intellectual property law, tech tips, legal technology

Tech Tips

This is a compilation of some Tech Tips, a regular feature on The Invent Blog.

1. ClearType Tuner

One nifty tool that caught my eye is part of the new WindowsXP PowerToys. It is called "[ClearType Tuner](#)" and it..."lets you use ClearType technology to make it easier to read text on your screen, and installs in the Control Panel for easy access." I installed it and it really does smooth the fonts. It is definitely worth the download. What is great about it is that you just install the PowerToys and ClearType is automatically enabled (you don't have to monkey with a bunch of setting changes to get it to work). Dummy proof.

The other WindowsXP PowerToys: RAW Image Thumbnailer and Viewer, HTML Slide Show Wizard, Open Command Window Here, Alt-Tab Replacement, Tweak UI, Power Calculator, Image Resizer, CD Slide Show Generator, Virtual Desktop Manager, Taskbar Magnifier and Webcam Timershot. You can download ClearType Tuner [here](#) or can download the PowerToys [here](#).

2. How to Create Symbols in Windows

Did you know that it is really easy to stick symbols such as (c), (R) and [™] into documents (word processing, blog posts, e-mails, etc.)?

The trick is to hold down the ALT key AND type a code on the number pad (it HAS to be the number pad, not the row of numbers 1-0 above your letter keys).

Some of my favorites:

- ALT 0169—©
- ALT 0174—®
- ALT 0153—™
- ALT 0167—§
- ALT 0176—° (the degree symbol)
- ALT 0188—¼

continued ...

- ALT 0189 – ½
- ALT 0190 – ¾

Additional directions and more symbols can be found [here](#).

3. Del.icio.us

[Sorocco](#) started it...now both [Buchanan](#) and I are becoming converts. What is it? [Del.icio.us](#).

What in the world is [del.icio.us](#)? When first asked, [I told Buchanan](#) (in the most unhelpful way) that it is "social bookmarking." I think he was worried it was some disease his high school home economics teacher warned the class about. While it is technically "social bookmarking," that term generally is gibberish to the average person. Let me try my own explanation.

Del.icio.us is essentially an online bookmark site that asks you to (when you create a bookmark) pick one or more words categorizing the website. For instance, [other people have](#) created links to my "Downloading Patent Copies" post and have categorized it as: patents, useful, blogs, and/or brevets (I have no idea why "brevets"...). One main benefit of doing this is that you can later search through all of your own bookmarks to find all of the bookmarks you previously tagged as "useful," or "patents," or "blogs," thereby quickly finding the link you were looking for.

A second benefit is the aggregation of everyone else's categorizations. For instance, you can find all links other people have tagged as "patent" by searching <http://del.icio.us/tag/patent> (replace "patent" with any other word to perform other searches). Then, you could set up an RSS search of the patent "tag"...<http://del.icio.us/rss/tag/patent>...you get the point. The possibilities are endless.

I've only been using it for the last 2 weeks...but think it has some real potential. If you want to see my page (to see what crazy stuff I am linking as "save for later reference")...the link is here: <http://del.icio.us/jurisnipper>

One more link to the road. The "hottest" web pages and blog posts on the Internet (as determined by individuals creating del.icio.us bookmarks in their accounts) [can be](#)

[found here](#).

4. Old Software Versions

Can't stand the new Acrobat Reader version...wish you could download Reader 4.0? Look no more. Check out: <http://www.oldversion.com/> ("Because Newer is Not Always Better"). Old software versions available include: AOL Instant Messenger, Eudora, MSN Messenger, IrfanView, iTunes, QuickTime, RealJukebox, RealPlayer, Winamp, Windows Media Player, Internet Explorer, Acrobat Reader, DeadAIM, WinZip, etc. You get the point.

5. Smacking Adobe Acrobat Reader Around

Adobe Acrobat Reader 7.0 loads considerably faster than 6.0. Know why? Adobe loads 30+MB of its files in the background everytime you reboot. This blog post explains how to smack Reader 7.0 back into submission. <http://blogs.msdn.com/jonathanh/archive/2004/12/22/330288.aspx>

That above post mentions <http://www.acropdf.com> who has a PDF Tweak Utility that allows you to: Enable or disable the plug-ins as needed, Turn off all Updates features, Disable the splash screen during program startup, Remove the My eBooks folder created in My Documents, Turn off the advertisements for Adobe products in the upper-right corner of the toolbar, Remove PrintMe and Adobe Reader icons, Disable Browser Integration, Disable confirmation dialog when closing Adobe Reader, Better speed for LAN and Cable connection, Clear Adobe Reader Recent Files History, and Restore to original settings at any time.

6. Grabbing Pictures

Need help snagging a picture for your IP blog (i.e., snag part of a figure from a patent)? Try the freeware program HoverSnap. <http://www.hoverdesk.net/freeware.htm>

The rest of my "Tech Tips" can be found within my "Tech Tips" category at: http://nip.blogs.com/patent/tech_tips/index.html

THE TRADEMARK BLOG



Author(s):

Marty Schwimmer

Author Bio:

Marty Schwimmer left a partnership in the largest trademark practice in the world and founded Schwimmer Mitchell, a full-service IP micro-boutique in Westchester County, New York, where he represents owners of famous and not yet famous trademarks.

Blog Bio:

The Trademark Blog was founded in May 2002, making it one of the older IP law blogs. A lot of people claim that the Trademark Blog inspired them to create blogs, which may or may not be a compliment. The Trademark Blog shows up on IP law syllabi every so often.

Founding Date:

May 12, 2002

Topics:

Trademark, copyright, domain names

Live Nude Domain Names

[ICANN announced recently](#) that it has begun negotiations with an applicant for another 'sponsored' (non-open) top level domain, .XXX.

There has been a fair amount of coverage, for and against.

My initial reaction is (with the proviso that the public information to assess these things is always insufficient): .XXX seems plausible for what it is but it isn't what many probably think it is.

First, the basics. The applicant is the [ICM Registry](#) of Jupiter, Florida. The sponsoring organization is [The International Foundation for Online Responsibility](#). The back-end provider appears to be Afllias (the .info registry, which itself is a consortium of many registrars). ICM estimates that it will register 500,000 such names so the usual suspects stand to make some money.

The application is [here](#). It states as its purpose:

"The .xxx TLD is intended primarily to serve the needs of the global online adult-entertainment community. The online adult-entertainment community is defined as those individuals, businesses, and entities that provide sexually-oriented information, services, or products intended for consenting adults or for the community itself. The terms "adult-entertainment" and "sexually-oriented" are intended to be understood broadly for a global medium, and are not to be construed as legal or regulatory categories. Rather, the referenced Community consists generally of websites that convey sexually-oriented information and for which a system of self-identification would be beneficial."

The application goes on to indicate that benefits include:

"potential defenses in domain-related litigation, enhanced acceptance by search-engines and therefore increased functionality, better opportunities to negotiate with credit card and transaction providers, and new marketing opportunities."

And that's the key to understanding this. This TLD is intended to be a trade association and is not a form of regulation.

.XXX (and I, for purposes of this conversation) sidestep the hottest hot button issue with porn which is whether it is immoral.

But .XXX also sidesteps other hot button issues. Consider the various

continued ...

'harms' associated with 'adult content':

1. Exposure of porn to minors;
2. Involuntary exposure to adults, through misleadingly labeled sites, 'dropped' domain names, spam, 'cloaked' search engines results, etc.;
3. Workplace exposure;
4. Harm to consumers (i.e. credit card theft);
5. Harm to sex industry workers.

It seems that the idea of a voluntary .XXX TLD will have little or no effect on issues 1 to 3 and seems only targeted at 4 and 5.

It's true that filtering will be made easier if an ISP can block anything containing an .XXX but of course if someone's business (or scam) is based on deception of some form, they aren't going to migrate to .XXX (cf. FTC bulletin "[Requiring "ADV" Labeling for Commercial E-Mail Won't Reduce Spam](#)"). If adolescents (or employees) behind a .XXX filter want to access porn, then it won't matter that 50% or 95% of the porn in the world has been blocked.

To its credit, ICM Registry doesn't really push filtering as a selling point for .XXX (at least not in its application). IFFOR does make statements that it wishes to combat child pornography. I don't think the TLD itself will do that, maybe giving money to IFFOR will.

The TLD actually targets harms to consumers and to industry workers (which of course serves a public interest). The registry seeks to become something of a better business bureau for the online sex industry, as it promises to 'incorporate a best business practices provision into the registrant's domain name registration agreement and will develop compliance mechanisms to address non-adherence.' So perhaps there would be some harm reduction on that score.

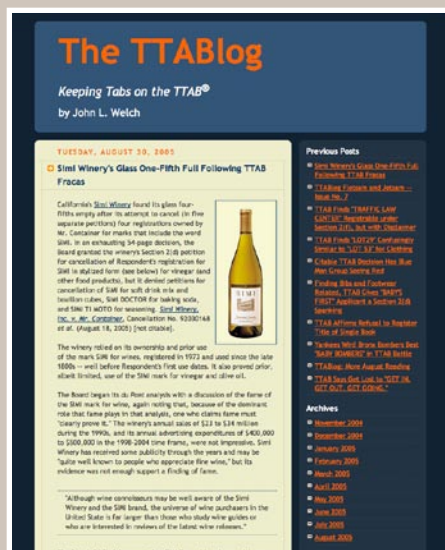
As to whether ICANN should be doing content-oriented TLDs like this at all, there is much discussion on, for example, [ICANNWatch](#).

As to whether Congress may be seek to push all adult content into this TLD, maybe.

As to how not to do a voluntary inclusion zone, see [.KIDS.US](#).

As to how it affects you? Probably not that much.

THE TTABLOG



Author(s):

John L. Welch

Author Bio:

John L. Welch is Counsel to Foley Hoag LLP in Boston, Massachusetts. He received his B.S. in Electrical Engineering at the University of Illinois and his J.D. at Harvard Law School. John is a frequent author and lecturer on trademark law, and is also Contributing Editor for Allen's Trademark Digest, 1998–date. He also serves as a member of the Editorial Board of The Trademark Reporter, 2004–2007

Blog Bio:

The TTABlog provides commentary and information regarding decisions of the Trademark Trial and Appeal and the courts relating to trademark law.

Founding Date:

November 8, 2004

Topics:

TTAB, trademark law

Flag Football on the Fourth: Revisiting the TTAB's *Old Glory Condom Decision*

On June 22, 2005, the United States House of Representatives approved an amendment to the U.S. Constitution that would give Congress "the power to prohibit the physical desecration of the flag of the United States." ([H.J. Res. 10](#)). Friday's TTABlog posting and the current political climate led me to wonder: what would happen if the TTAB (and perhaps the CAFC) were today presented with the *Old Glory Condom* case? [In re Old Glory Condom Corp.](#), 26 USPQ2d 1216 (TTAB 1993).

As you may recall, in *Old Glory*, the Board reversed a Section 2(a) refusal to register the mark OLD GLORY CONDOM CORP & design for "prophylactics (condoms)." The Board noted that "the design feature of applicant's mark consists of a pictorial representation of a condom decorated with stars and stripes in a manner to suggest the American flag." The drawing was lined for the colors red and blue.

The Board further noted that the flag design is not applied to the Applicant's condoms themselves. The back of Applicant's packaging stated its "Old Glory Pledge":

"We believe it is patriotic to protect and save lives. We offer only the highest quality condoms. Join us in promoting safer sex. Help eliminate AIDS. A portion of Old Glory profits will be donated to AIDS related services."

The Examining Attorney contended that the mark comprises "immoral or scandalous" matter under Section 2(a), and in particular that the use of the American flag as part of applicant's mark for condoms was scandalous because it was likely to offend "a substantial composite of the general public:" that "a majority of the American public would be offended by the use of American flag imagery to promote products associated with sexual activity," and that "the flag is a sacrosanct symbol whose association with condoms would necessarily give offense."

Applicant, however, emphasized "that its mark is expressly designed not to offend but to redefine patriotism to include the fight against sexually-transmitted diseases, including AIDS."

The Board was not impressed by the PTO's flimsy evidentiary support: "The examining attorney's objection to applicant's mark seems to be directed to the mark's linking of flag imagery and a pictorial

continued ...

representation of a condom, each of which, in itself, she apparently finds unobjectionable. Precisely why this combination of images is scandalous the examining attorney fails to articulate."

"Her position is supported mainly by an expression of opinion that a substantial composite of the public would be offended by applicant's mark, which opinion is, in turn, supported by her opinion that the American flag is a 'sacrosanct' symbol. To bolster the latter opinion, she alluded to an unsuccessful proposed amendment to the U. S. Constitution to prohibit flag burning and to a comment by Chief Justice Rehnquist in his dissent in [Texas v. Johnson](#), 491 U.S. 397, 428 (1989) that many Americans have an 'almost mystical reverence' for the American flag."

The Board found Applicant's proofs to be more persuasive. Observing, that "whether applicant's mark would be likely to offend must be judged not in isolation but in the entire context of the mark's use," the Board ruled against the PTO:

"Here, applicant markets its condoms in packaging which emphasizes applicant's commitment to the sale of high quality condoms as a means of promoting safer sex and eliminating AIDS and its belief that the use of condoms is a patriotic act. Although we know that not everyone would share applicant's view that the use of condoms is a patriotic act, the seriousness of purpose surrounding the use of applicant's mark—a seriousness of purpose made manifest to purchasers on the packaging for applicant's goods—is a factor to be taken into account in assessing whether the mark is offensive or shocking. When we consider that factor, along with the others we have discussed, we find that applicant's mark can in no way be considered 'scandalous' under Section 2(a)."

The Board's reversal of the PTO's Section 2(a) refusal met with swift criticism from then Congressman James [Traficant](#) (D-Ohio), who railed against the TTAB decision:

"OLD GLORY CONDOMS ALLOWED TO UNFURL (House of Representatives. March 09, 1993) [Page: H1061]

"(Mr. TRAFICANT asked and was given permission to

address the House for 1 minute.)

"Mr. TRAFICANT. Madam Speaker, the Old Glory Condom Corp. appealed a prior decision that banned their red, white, and blue condoms. Now, Old Glory contended that the use of their red, white, and blue condoms was in fact a patriotic act. And, guess what? The U.S. Trademark Office of Appeals agreed with that.

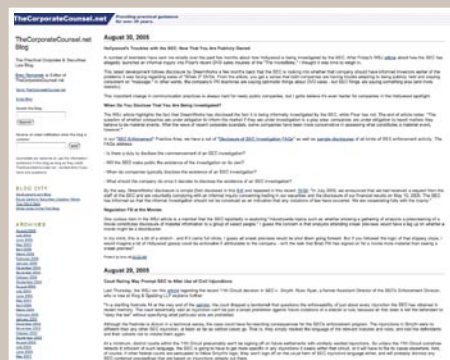
"Here is what the panel said. The name Old Glory and its logo of a flag shaped like an unfurled condom is neither scandalous nor offensive nor unconstitutional.

"No wonder the American people are losing confidence in our Government. What is next, the Congressional Medal for Benedict Arnold? When our Government starts treating the flag like an Old Glory condom, something should be done."

TTABlog comment: What would happen today if the PTO Examining Attorney provided better proof of the public's perception of the OLD GLORY CONDOM mark? As stated in the *Love Beverage* case discussed [here](#) on Friday, the question is whether a "substantial composite of the general public [not necessarily a majority] are offended by use of this term in connection with applicant's identified goods."

I'm still wondering.

THE CORPORATE COUNSEL



Author(s):

Broc Romanek

Author Bio:

Broc Romanek is Editor of numerous Web sites, such as DealLawyers.com and CompensationStandards.com. Broc frequently writes and speaks about corporate and securities law; he teaches a MBA corporate governance class at George Mason University; serves on the Advisory Council for the SEC Historical Society and is Editor of the Corporate Governance Advisor.

Blog Bio:

Broc's Daily Blog on TheCorporateCounsel.net is one of the oldest legal blogs. It continues to have a strong, loyal following in the corporate and securities and corporate governance fields. It will give readers a heads up on a hot issue and provide practical guidance about possible solutions.

Founding Date:

January 1, 2003

Topics:

Corporate and securities law, corporate governance and M&A

Egads! The Big Three?

Lots of [news](#) about KPMG pleading for its life due to the tax shelters it sold in the 1990s and its subsequent alleged obstruction of justice activities (see these [court opinions](#) that illustrate how aggressive KPMG was in the lawsuits filed against them over the tax shelters, much to the judiciary's chagrin, and last week's [apology](#) from KPMG for this aggressive posture). In my mind, it's pretty clear that the corporate world cannot live with only three major audit firms, as the independence rules often forces companies to hire at least two—if not three—of the Big 4 to perform the various audit and non-audit services they need.

In this [blog](#), a venture capitalist notes how he testified last Friday before the SEC's Small Business Advisory Committee that "the formation of a fifth or sixth major national auditing firm would provide small companies with a better alternative than what exists today while helping to restore the balance of negotiation between auditing firms and their clients."

Of course, creating additional national audit firms is no easy feat. To see how far the auditing profession would have to change to create them, read this [recent article](#) that indicates that the 5th largest firm presently has no Fortune 500 clients—and only two of the Fortune 500 companies use an auditor other than the Big 4.

The problem with relying on smaller audit firms to conduct public company audits is reflected in a recent Glass Lewis study. The June 2nd study reveals that smaller audit firms have an error rate of about three times that of the larger audit firms—and small public companies have a much higher restatement rate than that of large companies. Overall, the restatement (i.e. error) rate in financial statements audited by smaller audit firms is high—and thus commands a higher price for capital. So I believe we are just plain stuck with the Big 4 for the time being.

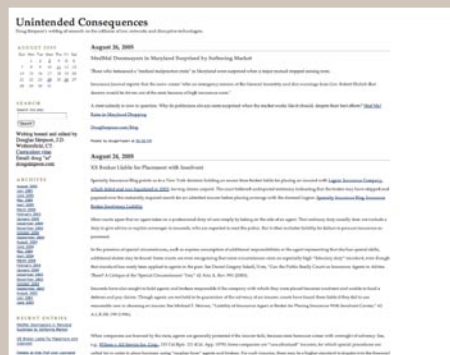
So the question remains: how does the market (or regulators) ensure that these "too big to fail" entities don't cross the criminal line? One thought is for audit firms to have a board of directors, with independent directors to oversee management and ensure that the appropriate culture and behavior is instilled. The use of an oversight body should help protect audit firms from these "death penalty" type of situations—and ultimately protect investors as well as clients.

Probably a crazy notion if you thought of this governance framework

continued ...

in the law firm context. But one crucial difference between a law firm and an audit firm: a lawyer's role is to serve as an advocate for clients; an auditor's role is more about getting clients to conform with applicable regulations. Let me know your reactions to this dilemma.

UNINTENDED CONSEQUENCES



Author(s):

Doug Simpson

Author Bio:

Doug Simpson graduated from Dartmouth College and University of Connecticut School of Law. He was with the law department of a major insurance company for over 25 years. He now practices part-time as Of Counsel to Shipman, Sosensky, Randich & Marks, LLC and teaches at the University of Hartford and UConn School of Law.

Blog Bio:

Unintended Consequences includes squibs with links and short essays about the intersection of law, self-organized networks and disruptive technologies, particularly those relating to the policy issues of the insurance system and other risk-transfer mechanisms.

Founding Date:

June 2003

Topics:

Insurance, science and economics of networks, intellectual property

MIIX: Another Case Study in MedMal Underpricing?

Underpricing and under-reserving by well-meaning new players in the medical malpractice insurance marketplace often ends in financial disaster for the company, its policyholders and claimants. It is politically popular for regulators to play to those wanting to keep premiums down and to encourage self-insurers, physician-owned mutuals, reciprocals and risk retention groups. Too often, those groups face an inherent conflict of interest between their mandate to "make affordable coverage available" and their obligation to obtain enough premium to cover all claims and contingencies.

That conflict becomes most acute during "crises" in which commercial insurers withdraw from markets that have become losing propositions for any financially responsible provider. It is economically vital that those that regulate insurance providers and the insurance coverages of health care providers also enforce the less popular legal requirements forbidding premiums that are "inadequate," to avoid melt-downs like MIIX Insurance, presently operating in "solvent runoff". [N.J.'s Med-Mal Writer MIIX Continues in Runoff Without Guaranty Fund](#) (Insurance Journal, July 21, 2005). The regulatory euphemism "solvent runoff" is ironic, considering that less than a year ago, MIIX had a negative surplus of some \$300 million.

The story of MIIX Insurance could be added to a list of case studies in dysfunctional insurance management and regulation, joining the list with [Reciprocal of America](#) and many others.

Other online resources providing a timeline of the decline and fall of MIIX Insurance:

[MIIX Group Reports Fourth Quarter Results, Announces Quarterly Dividend and Sets Record Date for 2001 Annual Meeting](#) Investor's News at MIIX.com Website (2/22/01), in which management stated:

"Our written premium declined over \$30 million in 2000 and we expect further reduction in 2001 as a result of our ongoing re-underwriting and re-pricing efforts. During 2000, we aggressively sought to eliminate unprofitable business and we will continue to focus on retaining and intelligently growing our business prudently and where opportunities exist. We believe that this bottom line focus will result in greater long term profitability, particularly in the current very hostile market climate."

continued ...

"Our book value at December 31, 2000 exceeded \$21 per share and we believe that the current trading range represents a significant opportunity for long term investors. We believe that reserve adequacy, debt leverage and management are key considerations when looking at MIIX as an investment. Our reserves continue to be carried at Company best estimate levels and at year end our gross loss reserves approximated \$1.142 billion, of which incurred but not reported (IBNR) reserves represented \$690 million, or 60.3% of the total, up from 58.1% at September 30, 2000 and 57.6% at June 30, 2000. Debt leverage at the Holding Company level approximated 2% and is not expected to increase in the near future. Lastly, the new MIIX management team has demonstrated its commitment to take the appropriate, often difficult actions to ensure the Company's long-term success."

[MIIX Group Reports Third Quarter Results](#) (reporting book value of over \$23.00 per share) Investor's News at MIIX.com Website (11/1/01).

[MIIX Announces Decision of Chief Financial Officer to Leave in March 2002](#) Investor's New, MIIX.com Website (12/21/01).

[MIIX Group Reports Fourth Quarter Results](#) Investors News, MIIX.com Website (Reporting reserve increases, \$12/share net operating loss and book value below \$10 per share) (2/28/02)

[MIIX Group Reports Fourth Quarter Results](#) Investor's News, MIIX.com Website (2/26/03). This year-end report blamed the sudden downturn on the necessity of increasing reserves for past policy years:

"For the twelve months ended December 31, 2002, the Company incurred a net operating loss of \$107.5 million, or \$8.03 per share, compared with a net operating loss of \$149.6 million, or \$11.06 per share, during the twelve months ended December 31, 2001."

"The Company's losses in 2002 are reflective of the turbulent legal and medical economic environments in the states where the Company wrote the majority of its business," stated Chairman and CEO Patricia A. Costante. "Results reflect fourth quarter gross reserve adjustments

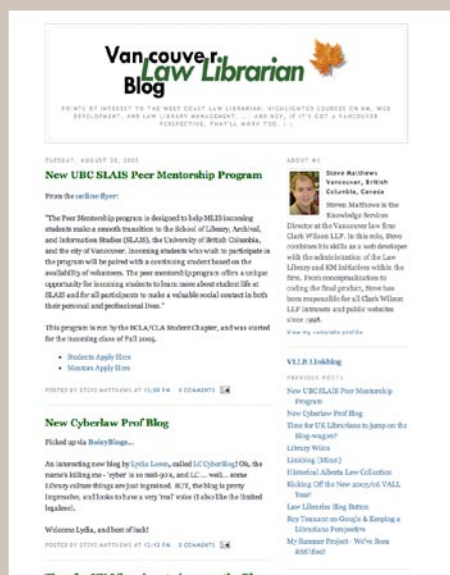
of \$85.1 million, which are directly attributable to the continuing upward trend of loss severities to unprecedented levels. The reserve adjustments associated with the New Jersey physician market primarily relate to accident years prior to 1999 when the Company undertook an effort to restructure its New Jersey program. The continuing rise in loss severities in the fourth quarter to historically high levels follows loss and ALAE reserve adjustments made by the Company in the first quarter of \$35.6 million and in the third quarter of \$30.7 million."

[The MIIX Group Announces Court Places Insurance Subsidiary in Rehabilitation](#). Investor's News at MIIX.com Website (9/30/04)

[The MIIX Group announces bankruptcy filing](#). Investor's News at MIIX.com Website (12/20/04)

There's a graduate level case study in here somewhere.

VANCOUVER LAW LIBRARIAN BLOG



Author(s):

Steven Matthews

Author Bio:

Steven Matthews is the Knowledge Services Director at the Vancouver law firm Clark Wilson LLP. In this role, Steve combines his skills as a web developer with the administration of the Law Library and KM initiatives within the firm.

Blog Bio:

Vancouver Law Librarian Blog provides points of interest to the West Coast Law Librarian. It includes highlighted sources and commentary on KM, legal web development, and Law Library Management. ... And hey, if it's got a Vancouver perspective, that'll work too.

Founding Date:

November, 2004

Topics:

Legal KM, Web development, law library management

Information Overload's Bad Definition; Making Law Firm KM Smaller

Information Overload's Bad Definition

[Steven Cohen](#) believes that [IO is a myth](#).

Cohen's 'myth' concept seems to stem from people being overwhelmed by personal choices, and unable to meet their own unreasonable expectations. The solution: Cull your reading selections, match the time you have available with the most important sources, unplug a bit, and you'll reduce the possibility of IO even existing. Fair enough, and a good strategy.

The standard meaning or [definition of IO](#) is usually along the lines of "the state of having too much information to make a decision or remained informed about a topic". I don't buy it. Do we really think that it's human nature to be paralyzed by information? Well, most of the Librarians in the room don't. If we're running along these lines, then Cohen's right—it's a myth.

The problem for me, is that I believe that IO does exist, and it usually occurs when people have no clue how to match their interests with appropriate information sources. For example, I want to be informed about web technology trends in non-law libraries, so I read [Cohen's blog](#). I could load up on sources similar to what he reads, but that's not core to what I do, and not a good use of my time. But what if I made a bad call, and did exactly that? To me, that's IO and it's such an easy mistake to make. Is it about correctable 'choice'—yes, but it still exists.

My take, and perhaps simply a difference in definition, is that **IO is the negotiation between information want & need**, and being in a personal state of over-delivering on the 'wants'. If we have the opportunity to consume any information we want, most surely we will make bad choices (kid in the candy store & all...). Cohen is correct in stating that IO is not a passive process (or a state of the world, as the media might have us believe), but the vast majority of people cannot work backwards from their own gluttony of content choices.

Defining one's interests, evaluating sources, and selecting an appropriate number of sources are all vital; but learned skills that few people do well. If you define IO my way, honestly, I don't think it could possibly be a myth.

continued ...

Making Law Firm KM Smaller

I'm willing to admit, firm wide sharing is incredibly difficult to encourage. In many cases, the problem gets proportionately worse as the firm's size increases. So how does one encourage knowledge sharing if [Altruistic Information Sharing Doesn't Happen?](#) (thanks to Rees Morrison for getting me thinking...)

One of the big challenges, in my mind, is to break down the sharing process so it means something for the Lawyers involved. One of the reasons it's difficult to get contribution to a firm wide 'black hole' KM collection is that Lawyers have no connection to it. Forgetting the *value proposition* for a moment, unless you can forge an *affinity* between a lawyer and the collection, getting any type of contribution is going to be difficult.

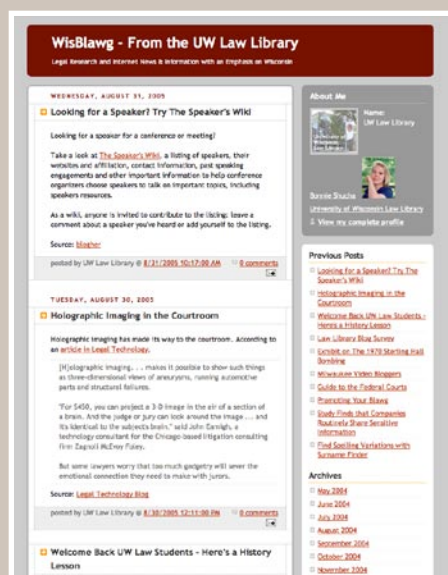
Creating this connection can be as easy as letting Lawyers keep track of the content *they* find valuable or useful (what a concept!). Or, try to promote sharing as a benefit to *meaningful or functional groups*—be it by practice area, or a more interesting concept, connecting those with a common topical interest.

Content collections which are grouped or classified will retain contextual meaning, and will still be accessible by global firm wide KM searches. Topical or group oriented collections can also make for more interesting browsing, and potentially encourage a 'collection connection'.

At the very least, if you create a collection holding area for a niche topic which matches a particular lawyer's interests, you may get an opportunity to showcase your services. Also, encourage your lawyers to partner with you on the content collection - to help seed it, and to help encourage others to contribute—**Every content collection needs a champion!**

Some of the best collections are already in existence, but need to be found (no need to create a connection here!). Want proof? Go into any Lawyer's office and look around. Do you see any personal binders of precedents or articles? The truth is, Lawyers are every bit the collection builders Librarians are, and I don't think they're hiding content. The issue is trying to get them to collect openly and beyond personal use; and that's an easier sell when they're part of the process.

WISBLAWG

**Author(s):**

Bonnie Shucha

Author Bio:

Bonnie Shucha is the Reference & Electronic Services Librarian at the University of Wisconsin Law Library where she develops and provides reference and instructional services, with particular emphasis on electronic resources. Ms. Shucha has written articles and presented at conferences and workshops on electronic research, Web design, and blogging.

Blog Bio:

WisBlawg offers legal research and Internet news & information with an emphasis on Wisconsin. It features new Web research resources & technologies, legal research news, announcements of local workshops & events, and more.

Founding Date:

May 20, 2004

Topics:

Wisconsin law, legal research, Internet news

Comments on the Court's Use of Google; Forbes Reminds Readers About Databases Free at Public Libraries

Comments on the Court's Use of Google

Today I received an email from [Wisconsin Court of Appeals Judge Daniel Anderson](#) who commented on yesterday's post: [Court Notes that Google Search Might Have Turned Up Missing Defendant](#). He reminded me of a CNET story on this issue ([See WisBlawg post dated 5/24/04 for the link](#)). The article raises concerns that judges are using search engines to do their own research.

As I replied to him, librarians are keenly aware of the shortcomings of a Google-only strategy in the search for authoritative information. That's not to say that search engines aren't valuable tools—but they are just one of the many tools that the legal researcher has in her workshop.

Sure I can pound a nail with a wrench, but it will take me twice as long and will probably look awful. Give me a hammer I can hit the mark more quickly and with more precision. There is something to be said about using the right tool for the job.

Forbes Reminds Readers About Databases Free at Public Libraries

Kudos to [Forbes](#) for reminding readers about the many wonderful databases available at no cost to researchers from their public libraries. The author writes:

"[Public libraries] offer Net access to an increasingly wide range of databases that don't exist on the open Web and, because they reside behind a fee-based gate, don't get indexed by the likes of Google... Since libraries license the info in bulk, it typically costs individual users not a penny. Which is a lot less than it can go for on the open Web."

In fact, the availability of this very article serves to illustrate that point. Although this [article is available on the Forbes Web site](#), you must register to become a member of Forbes.com first. While membership is free, registration raises privacy and efficiency concerns.

Fortunately, *Forbes* is one of the many titles available full text via [BadgerLink](#), a collection of subscription databases containing articles from thousands of newspaper and periodical titles, image files, and

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other reference materials. *BadgerLink* is freely available to all state residents via Wisconsin's libraries through funding from the DPI.

Besides access to known articles, the subscription databases in *BadgerLink* offer advanced search capabilities for locating authoritative information, [alert services](#) which inform you of new articles, and access to an archives of older articles, including *Forbes* back to 1985. Try finding all that on Google!